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Introduction to Group History

Taprobane Holdings PLC was established with a view of forming a group of companies, to create a large fund base that mobilizes funds by providing a range of financial products, and in turn investing such funds in the government securities market, debt securities market, equity and real estate markets. The company

was incorporated in Sri Lanka on 20th September 2006 as a public limited liability company and re-registered under the Companies Act No.7 of 2007 on 3rd August 2009. On 17th May 2012, the company was successfully listed on the Diri Savi Board of the Colombo Stock Exchange. Commencing operations as an

inter-bank money broker, the company's financial services spectrum broadened over the years to include equity broking, corporate finance and margin trading through its subsidiaries.

Taprobane has a long history in bond trading, managed and run by experienced personnel with over 20 years' in the

Key Milestones



market, and our money broking operations have a sizeable share in the market.

We are one of the few equity brokerage houses with a track record of profitability supported by our lean structure and efficient operations. Despite our short history in corporate finance, in 2013, we catalogued a landmark transaction as

managers of the largest non-bank listed debenture issue in Sri Lanka.

Our strategic acquisition of Lanka Century Investments PLC (LCI) rendered a major transformation in history, from being a small company with operations centered in financial services, to now, a relatively medium sized diversified conglomerate

with interests in porcelain, textiles and footwear segments. In steering this venture towards success, Galle Face Group, textile giant Hirdaramani group and Navitas joined hands with the company. The Group has undergone a series of changes since, in building sustainable performance and most changes are already proving to be fruitful.

Obtained Listing on the Colombo Stock Exchange

Disposal of Browns Investments PLC

A 29% investments in Lanka Century Investments PLC

2012

Acquisition of Capital Trust Partners (Pvt) Ltd

Lanka Century Investments PLC becomes a subsidiary of the Group

Further increased stake in Lanka Century Investments PLC from 46.19% to 80.79%

2014

2013

Managed Largest Non-Bank listed debenture issue

2015

CHC Investments (Pvt) Limited, a consortium of investments buy into Taprobane Holdings PLC.

Our vision is to be the most recognized investment power house in the country

We aim to do so by providing a range of financial services in a manner that achieves maximum customer satisfaction, while optimizing the return to the company and to relentlessly search for new investment opportunities in diversified sectors so as to be the most recognized and sought-after investment power house in the country.

Chairman's Review

As the Chairman of the Group, I am pleased to present to you the annual report for the year 2016/2017. This has been a year of progress, with the company staging a turnaround in performance. Most subsidiaries have returned to profitability which depicts that initiatives taken in the transformation process is already yielding results.

Macroeconomic Front

The year 2016 was not without its challenges. On the macroeconomic front, the Sri Lankan economy growth slowed to 4.4% in 2016 with a marked fall in agricultural production although construction and investment offset the adverse impact to a certain extent. Inflation was variable but moderate and monetary policy tightened to slow a very rapid private sector credit growth. Foreign holdings in government securities dwindled and the Sri Lankan credit profile came under pressure causing yields to rise sharply. The exchange rate continued to depreciate as foreign outflows persisted and higher interest rates dampened investor confidence.

Looking ahead, notwithstanding the risks and global volatilities, overall policy reforms, foreign inflows to the domestic securities market, improving fiscal conditions and removal of the restriction on Generalized Scheme of Preferences (GSP+) on Sri Lanka, is expected to have a positive impact on performance resulting in a more encouraging outlook for the Group.

Financial Performance

The Group's revenue grew 15% YoY from LKR 9.51 billion to LKR 10.97 billion during the review period. The Group made an impressive turnaround as profit for the year amounted to LKR 121.91 million against an LKR 2.02 billion loss the last year supported by our key strategic investment, LCI's turnaround. Excluding the one-off losses last year the Group still reported a better performance. The footwear and the porcelain segments performed exceptionally well and buoyed the profits as restructuring efforts paid off. The textiles segment had a weaker profit showing because of the costs incurred due to the floods and other one-off costs last year. Property on the other hand, also recorded lower profits as the company did not actively engage in revenue generating undertakings and Financial services were impacted by the macroeconomic adversities coupled with hefty finance costs incurred on acquisition of LCI. A more detailed segmental performance review is captured under 'Introduction to Strategic Business Units' section on pages 16 and 17. It is noteworthy that our presence in an array of segments has resulted in a better diversification of risks and an overall better showing for the year. This together with initiatives such as product diversification, expanding market reach, capacity expansion, cost control measures, balance sheet restructuring at different levels within the Group aided the better performance.

Restructuring

Taprobane's transformation phase is focused on becoming a nimbler, tighter and customer focused organization and I am pleased to state that the Group is moving towards the right direction, making impressive progress in the restructuring process to achieve a sustained long-term wealth creation for the stakeholders while ensuring strict adherence to corporate governance.

In creating a dynamic organization, we are focused on strengthening the revenue streams and seeking new investments to enhance returns to the shareholders. With a futuristic mindset, a vision 2020 plan was developed for all group companies with the objective of building a sustainable business entity while driving the Group towards positive performance, creating that competitive edge to ensure better ability to withstand the volatilities in the environment and building a resilient organization.

Into the Future

Taprobane's financial arm would also act as the financial hub for the Group, leveraging on the wealth of experience and expertise to orient decision making in fund management, financing the needs of the Group and treasury management. In the long term, we aim to enhance revenue through strategic partnerships, seeking new markets and developing new businesses in the financial services segment to complement our current

product offering.

In manufacturing, mainly under LCI, our core businesses are in porcelain, leather and textiles. In porcelain, we have a globally-renowned name under the “Dankotuwa” brand ably supported by a second brand under Royal Fernwood, cumulatively making the Dankotuwa Group of Companies the local leader in the porcelain industry. We hope to strengthen these brands and create a unique product offering incorporating innovation, quality and ensuring reach so that these local brands are positioned as the next iconic brands in porcelain, competing in the international arena with traditional, established, western and Japanese porcelain brands.

South Asia Textiles, a renowned manufacturer of knit fabric, takes pride in exporting to some of the renowned global brands. However, in the long term we plan to further entrench our footing locally and develop new markets and offerings to augment our revenue through realigning processes, and research and development. Through these initiatives, we hope to be a regional fabric specialist with state-of-the-art R&D and innovation facilities to cater to domestic and international apparel trends.

DI a well-known local brand in the leather footwear industry is being re-engineered to cater to today’s modern trends.

The real estate segment under the Group - Colombo City Holdings is being

strategized to look at avenues to optimize resource usage.

Overall LCI, our main subsidiary, is focused on building a sustainable business cluster to ensure efficiencies are improved through revamped process re-engineering and realignment in keeping pace with today’s trends.

While we work our way towards ultimate objectives, I would like to stress on the fact that every step towards progress is bound by the corporate governance framework. We continue our efforts to create an effective corporate governance structure and implement systems that will enable compliance with international risk management standards.

Appreciation

We wish to thank the shareholders for the trust and confidence placed in the organization, the CEO, management and all staff for their relentless efforts and wish to assure our continued quest to build value to all stakeholders across in a sustainable manner.

I would also like to extend my thanks to our valued clients, partners and all other stakeholders for the continued support extended to us including my fellow directors for their commitment and loyalty towards the company.

Sgd.

Sanjeev Gardiner

Chairman

23 August 2017

Group Managing Director / Chief Executive Officer's Review

It is with great pleasure that I review the performance of the Taprobane Holdings PLC and its subsidiaries for the year 2016/2017. The main focus of the corporate transformation for the year was centered on redefining and realigning the strategic objectives for each entity in line with that of the Group's vision, and the convergence of processes to establish efficiency and a more integrated entity. As the parent of the Group, Taprobane Holdings PLC takes on the strategic role of setting the vision, direction and the framework and acts as the financial advisory to the Group.

Our Group Role...

As the financial services arm of the larger diversified group, we play a pivotal role in adding financial value to the organization. With financial services as our forte, we play a strategic role in bringing a wealth of knowledge, expertise and experience in financial markets incorporating treasury management, financial restructuring and advisory services - in essence we take on the role of being the financial knowledge hub of the Group. We offer financial advice in helping our Group entities restructure their balance sheets, better utilize their assets and aid in decision making with regard to investments. Moreover, we articulate and direct the corporate vision for the Group in establishing the strategic direction at all levels to achieve this ultimate corporate vision. As a key element for sustainable performance, we set the standards for Governance, Risk, Compliance and other related areas to develop sustainable and ethical business

models. In addition to this we take on the role of inculcating a risk-reward culture in the organization to build a performance oriented culture throughout the Group.

Strategic Priorities for the Year...

We commenced the year focused on four clear strategic priorities. The foremost priority was the arduous task of returning Group performance to profitability by making all entities profitable, through the realignment of revenue and cost drivers. Secondly, we embarked on strategic restructuring for the overall welfare of the entity and all stakeholders. The strategic restructuring was rolled out by realigning the company with emerging trends to be robust and sustainable, developing a strategic road map across the group, and making structural adjustments and changes where required to reflect a constantly changing environment. Thirdly, we focused on short term corrections to reflect market requirements and better financial management to ensure a stronger balance sheet and more sustainable performance. Finally, we embarked on developing a corporate strategic framework and the related aspects, with due emphasis on brand image, positioning and business landscape.

Strategic Restructuring Progress...

Although Taprobane's restructuring programme is still underway, some of the restructuring activities initiated during the year such as the cost efficiency measures and better management processes have already yielded results. Certain plans

drawn up for restructuring span more than a year, though the more immediate plans initiated this year such as corporate discipline, cost improvements and better management across the board proved to be worthwhile. These plans included initializing a centralized treasury management, a re-look at corporate and retail brands and embarking on repositioning where needed. As such, a unique positioning for each business vertical and for the Group was identified taking into consideration industry norms, challenges and the changing dynamics of our businesses. Alongside these initiatives, at the Taprobane level, we realigned the business of financial services by weeding out unprofitable businesses and enhanced our risk management on areas such as bonds and shares to minimize losses.

Restructuring was Based on Five Main Pillars...

The overall restructuring of the Group was mapped under five broad areas covering key elements of the transformation based on the present status and the intended status. **'Corporate identity'** was the foremost of this process to ensure the existing legal structure is reviewed and amended as required to facilitate greater value enhancement to all stakeholders. This involved envisioning the vision, values and developing sustainable business clusters whilst ensuring the best legal structure is retained to add value to the Group. The **'Market space and placement'** was the second pillar where every business would go through the process of identifying and building

a business strategy for year 2020 and beyond. This entails the task of being future proof from a market perspective beyond 2020 whilst ensuring greater returns. This would also examine disruptive strategies and lead the way, thus, we redirect the local industries where possible creating our own space.

Third and an important area is the **'management'**. With changes, the need to build a structure that is as robust as much as the business plan comes as a key. An agile and robust structure that would not only be proactive but will be future centric while being cost efficient. Shared services and many other collaborative and outsourcing options are being pursued under this. A well-articulated policy and procedure framework along with a well-defined GRC framework to ensure governance and risks are addressed properly, will be part of this process. Along with this, the fourth key focus area would be **'capability and capacity'** building as required, covering human resources to machinery and processes. We would be revisiting the core ideology and core competencies as a means of enhancing them and making them more relevant for tomorrow. Finally, a 'risk and reward based philosophy' that would optimize the resource usage and returns whilst ensuring stability.

Ultimate Objective of Restructuring...

The result of the restructuring is aimed at satisfying our stakeholders. We envision a future oriented, lean, robust

and dynamic entity, geared towards a sustainable business model amongst other medium size conglomerates. While the transformation is still underway, I am pleased to say that we have already witnessed an improvement in our results as the Group's performance returned to profitability compared to a significant loss last year. New teams were built by subsidiaries to manage better and we are in the process of building policies in many areas from financial to retail. New technological platforms are being enacted, whilst the Group centralized ERP is being rolled out this year.

Taprobane's contribution to Group during the year...

Taprobane's contribution to Group performance was adversely impacted due to the holding cost incurred in our strategic investment in LCI. As a result, hefty finance costs of LKR 535.70 million rendered a significant loss of LKR 378.07 million. The stock broking and money broking operations remained profitable during the year which helped partially negate the impact on the financial services segment performance while also reassuring the solid fundamentals in these financial sectors even in adverse conditions. We are in the process of restructuring the debt to ease finance cost pressure and minimize any mismatches in funding.

Contribution by other companies during the year...

The main investment LCI, our manufacturing arm, turned to be

profitable, contributing LKR 394.10 million to the bottom line. Hence the Group posted a profit of LKR 121.91 million from a loss of LKR 2.02 billion the prior year, a remarkable improvement. At the total comprehensive income level, the Group made a profit of LKR 224.15 million as against a loss of LKR 1.45 billion in the previous year. Hence, Taprobane's strategic acquisition of LCI and the business has not only helped diversify its risks but has brought about a significant improvement into its overall financial stability helping to spread the business risk, making the entity more future proof and sustainable. The Group's net asset per share came in at LKR 3.51 while the Company net asset per share was LKR 1.65. Revenue at Group level was LKR 10.97 billion while Company Revenue amounted to LKR 167.72 million.

During the year under review, all subsidiaries under LCI made profits signifying the turnaround across, due to better management of revenue and cost drivers. While the textile sector contributed to 57% of Group revenue, the porcelain, footwear and property sectors contributed 22%, 13% and 0.16% respectively. LCI as a company through its lending activities posted a revenue of LKR 211.71 million. All subsidiaries are being re-aligned with the new group vision and are expected to continue their growth trajectory.

Challenges and Opportunities...

Macroeconomic fundamentals play a significant role in the financial services business and other areas too. While

increasing interest rates affected financial services such as stock broking and increased funding costs, the higher forex rates had an impact on the raw material imports in the manufacturing. The uncertainty in the tax regime dampened the market sentiment especially in the capital markets thus impacting the overall business sentiment in this sector. The higher interest rate regime also shuns away many possible investments due to higher costs of funding. While the manufacturing segment is also vulnerable to the economic vagaries, the sector is also faced with risks related to labour shortages. The shortage of skilled labour and increasing attrition rates drive costs higher. However, we believe that better risk management and the human resource activities deployed would help to mitigate these risks somewhat.

Our transformation would position us ideally to leverage on opportunities that the market presents. Fiscal reforms and improved foreign reserves is expected to have a positive impact on economic vagaries supporting better performance for the financial services arm. The reinstatement of GSP+ facility and the strengthening of the bilateral relations

and possible entry opportunities will have a positive impact on the textiles and porcelain segments. Additionally, we hope to achieve greater efficiencies at our manufacturing facilities through leveraging on technological advancements thus bring about greater cost efficiencies and shorter lead times. Enhanced liberalization of forex investments opens a window of opportunities to develop trading hubs and other collaborations overseas and the opportunities presented by the real estate and related sectors open avenues for future investments through our group subsidiaries.

The Future...

While the intensity of some headwinds has eased somewhat, it will take time to fully capitalise on the opportunities that a better environment will present. Having worked last year to secure our foundations we are now building deliberately and patiently to deliver an improved business growth. We are expanding our current offerings and business verticals in the financial sector which is overseen by Taprobane. We seek to expand our footprint to new markets, expand our current market

through collaboration and develop new business avenues within the focused area of financial services. Strategies for the subsidiaries are emphasis on efficiency in management of active investments across all verticals to enhance stakeholder wealth and leveraging on technological advancements to enhance collaboration and synergies in the manufacturing sector. Realign business verticals to bring synergies and achieve a better return on capital deployed. We continue to look beyond the horizon and seek opportunities to build our revenue to augment the current offerings and boost profitability.

I take this opportunity to thank the Chairman and the Board of Directors for their guidance and support, the team at Taprobane for their great support, Chief Executive Officers of Taprobane Financial Services and all its subsidiaries, the Group companies, the respective boards, Chief Executive Officers and management/staff for their support, our stakeholders from customers for their confidence, banks and financial institutions, suppliers, business partners and other service providers and our shareholders for their continued trust in us.

Sgd.

Murali Prakash

*Group Managing Director/
Chief Executive Officer*

23 August 2017

Financial Services Review

The change in monetary policy, fiscal reform measures, and associated volatility in global financial markets together with rising yield rates had resulted in a reduction of our deal flows and trading opportunities for most part of the financial year 2016/2017. The Sri Lankan economy growth slowed in 2016 due to several natural disasters experienced during the year including floods and droughts. The economy also experienced headwinds due to policy rate hikes by the Central Bank of Sri Lanka (CBSL), and hawkish monetary tightening by the US Federal Reserve Bank. This coupled with the worsening foreign reserves resulted in a plummeting of foreign holdings in government securities as investors' confidence was wavering. This in turn resulted in yields rising sharply. Inflation was also high during the year owing primarily due to supply disruptions amid adverse weather conditions. Market liquidity remained tight for most of the Fiscal year in line with CBSL's monetary tightening. The equity market saw a lack of retail participation as the CBSL pursued its tightening of interest rates making the market less attractive for investments.

The non-conducive macroeconomic situation had a bearing on the revenue of our main financial services businesses,

equity, money broking and bond trading, albeit remaining profitable. Overall financial services segmental revenue however was broadly stable at LKR 204.28 million (FY Mar 2016: LKR 201.04 million) buoyed by contribution from our Group investments. On the other hand, performance remained in the red weighed down by hefty finance costs from investments, albeit at a reduced loss of LKR 551.62 million compared to last year's LKR 2.39 billion loss which incorporated a one-off loss from a strategic associate investment. A more detailed commentary on subsidiary performance can be found on Introduction to Strategic Business Units on pages 16 and 17.

The prevailing market conditions not only required a great deal of understanding and experience in handling our core operations but also highlighted the need to continue in our efforts to be resilient enough to face challenging dynamics. In line with the changes within the Group at our financial services arm we are exploring ways to strengthen revenue streams while ensuring that we give our clients a fully-fledged financial package with optimal returns. Each business division is working on enhancing the quality of services extended to clients with strict adherence to governance in our transactions. We are

moving towards a performance oriented culture and redefining our goals to ensure that we are focused on achieving the ultimate strategic objective for the organization.

The efforts initiated within the Company to strengthen our presence in our core businesses together with more favorable developments in the economy is expected to result in a better performance in the future. The outlook for the economy is for modest recovery in growth as the government implements an economic program of fiscal reform. With the successful launch of International Sovereign Bond (ISBs) earlier this year along with improved fiscal and monetary discipline, the Government of Sri Lanka is on a better footing to face the upcoming year. Foreign inflows to the government and equity market has been promising and the trend is expected to continue. Overall, the market is much more favorable than it was a year ago, although some uncertainty remains over the new tax regime, and its effect on the yields.

In conclusion, I wish to thank the Board for their unwavering guidance, senior management for their dedication and support, our clients for their continued trust in us, shareholders and our team for their commitment and tireless efforts.

Sgd.
Ruwan Sugathadasa
Chief Executive Officer
Taprobane Holdings PLC
 23 August 2017

Board of Directors

Mr. Sanjeev Gardiner

Chairman/Non Independent Non-Executive Director

Mr. Sanjeev Gardiner counts over 27 years of Management experience in a diverse array of businesses and is the Group Chairman and Chief Executive Officer of The Galle Face Hotel Group, which includes Ceylon Hotels Corporation PLC, of which he is the majority shareholder and principal owner and Kandy Hotels Co.(1938) PLC of which he is the Owner / Chairman. He is also a Director of many public quoted and unquoted companies including Cargills (Ceylon) PLC.

Mr. Gardiner holds a Bachelor of Business Degree (Economics and Finance) from the Royal Melbourne Institute of Technology and a Bachelor of Business Degree (Banking & Finance) from Monash University, Australia.

Mr. Sanjeev Gardiner has been a Council Member of the Governing Body of HelpAge Sri Lanka (HASL) for over a decade. He is the Trustee of Sir Chittampalam A Gardiner Trust which amongst other donations helps several schools around the country with endowments. He is a life member of many prestigious charitable organizations where millions have been donated in the name of the Sanjeev Gardiner Foundation.

Mr. Gardiner was appointed as the Brand Ambassador for the prevention of Chronic Kidney Disease in Sri Lanka by His Excellency the President of Sri Lanka.

Mr. Ajith Devasurendra

Deputy Chairman/Non Independent Non-Executive Director

Mr. Ajith Devasurendra is a veteran in the financial services industry in Sri Lanka and counts more than 33 years' work experience both in Sri Lanka and overseas. As one of the pioneers in money markets, he was able to bring new dimensions to the local money market industry. He acted as a consultant to Price Water House Coopers, Bombay, India on a USAID project. He was appointed to the Board on 20 September 2006 as a Non Independent Non-Executive Director.

Mr. Devasurendra is the Chairman of South Asia Textiles Ltd, Director of Ceylon Hotels Corporation PLC and Dankotuwa Porcelain PLC.

Mr. Murali Prakash

Group Managing Director/CEO

Mr. Murali Prakash is currently the Group Managing Director / Chief Executive Officer of Taprobane Holdings PLC and Lanka Century Investments PLC. Taprobane Holdings PLC is a Financial Services and Investment company and the parent of Lanka Century Investments PLC, the Investment Holding and Management Company of Ceylon Leather Products PLC., Colombo City Holdings PLC., Dankotuwa Porcelain PLC., Royal Fernwood Porcelain Limited and South Asia Textiles Industries Lanka (Pvt) Ltd. Mr Prakash serves as a Director on the boards of a majority of these private and public quoted subsidiaries within the group.

He also serves as a Non-Executive Director of LAUGFS Holdings Limited, LAUGFS Gas PLC., and several other subsidiaries of the LAUGFS Group.

With over 35 years of experience holding key management positions in the areas of general management, organization transformation, investments/credit management, retailing/retail management, manufacturing, marketing / sales and business consultancy, some of his previous roles include serving as the Group Managing Director/Chief Executive Officer of Browns Group of Companies, a public quoted conglomerate involved in trading, manufacturing, finance, leisure, plantations, healthcare and strategic investments, the Chairman of Galoya Holdings (Private) Limited and the Sales Director of Singer (Sri Lanka) PLC. He has also served on the Boards of Singer (Sri Lanka) PLC., Singer Finance (Lanka) PLC., and Singer Industries (Ceylon) PLC.

Mr. Prakash holds an MBA from University of Southern Queensland and is also a Certified Professional Marketer (Asia Pacific) and a Certified Management Accountant (Aus.). He also holds an Executive Diploma in Business Administration from the University of Colombo and is an Alumnus of the National University of Singapore and the Asian Institute of Management, Manila. He is also a Fellow Member of the Chartered Management Institute (London) and Certified Professional Managers, Sri Lanka.

Mr. Priyantha Fernando

Independent Non-Executive Director

Mr. Priyantha Fernando holds a B.Sc degree from the University of Peradeniya and a M.Sc degree in Statistics from the University of Birmingham, England. He has over 35 years of experience in the banking and finance sectors, as a regulator and Independent Non-Executive Director. He was appointed to the Board on 27 December 2011 as an Independent Non-Executive Director.

He was attached to the Central Bank of Sri Lanka serving in senior and diverse capacities. He was the Deputy Governor of the Central Bank of Sri Lanka, from January 2010 to September 2011 in charge of the Financial System Stability and the Corporate Services clusters. Mr. Fernando has extensive experience and expertise in the fields of Banking and Financial Sector regulation, Information Technology, National Accounting and Statistics, Fund Management, Risk Management, Restructuring, and stabilisation of financial distressed companies. At the Central Bank he was the Chairman of the Financial Stability Committee, Member of the Monetary Policy Committee, Member of the Risk Management Committee and the Chairman of the National Payment Council.

He was an Ex-Officio Board Member in several regulatory organisations namely Securities and Exchange Commission of Sri Lanka, the Insurance Board of Sri Lanka, the Chairman of the Credit Information Bureau of Sri Lanka, Chairman of Institute of Bankers – Sri Lanka and Board Member at Employer's Trust Fund, Lanka Clear (Pvt) Ltd and Lanka Financial Services Bureau. During his career he has initiated and spearheaded several key projects of national importance, especially in the area of the advancement of the national payments and settlement system, infrastructure.

Mr. Fernando has served in a number of committees at national level covering a range of subjects representing the Central Bank.

Presently, Mr. Fernando holds directorships in Union Bank of Colombo PLC, Commercial Leasing and Finance PLC, Ceylon Leather Products PLC, Thomas Cook Travels Sri Lanka (Private) Limited and Imperial Institute of Higher Education.

Mr. Harsha Amarasekera P.C.

Non Independent Non-Executive Director

Mr. Amarasekera, President Counsel is a leading Lawyer in Sri Lanka having a wide practice in the Original Courts as well as in the Appellate Courts, specializing in Commercial Law, Business Law, Securities Law, Banking Law and Intellectual Property Law.

He also serves as an Independent Director in several leading listed companies in the Colombo Stock Exchange including CIC Holdings PLC (Chairman), Chemanex PLC (Chairman), Vallibel One PLC, Expo Lanka Holdings PLC, Royal Ceramics Lanka PLC, Chevron Lubricants Lanka PLC, Amaya Leisure PLC, and Vallibel Power Erathna PLC. He is also the Chairman of CIC Agri Business (Private) Limited.

Mr. Ranil Pathirana

Non-Independent Non-Executive Director

Mr. Ranil Pathirana has extensive experience in finance and management in financial, apparel manufacturing and energy sectors. He is a Fellow member of the Chartered Institute of Management Accountants, UK (FCMA) and holds a Bachelor of Commerce degree from the University of Sri Jayawardenapura. He was appointed to the Board on 26 October 2015 as a Non-Independent Non-Executive Director.

Mr. Pathirana is a Director of the Holding Companies in the Hirdaramani Group and is a Director of the Associate Companies; Windforce (Pvt) Ltd and Renewgen (Pvt) Ltd. He is a Non-Executive Director of Sampath Bank PLC, Alumex PLC, Beira Brush (Private) Limited, Ceylon Hotels Corporation PLC and Odel PLC.

Mr. Sarinda Unamboowe

Independent Non-Executive Director

A Director of MAS' Apparel Board, Sarinda is currently the CEO & Managing Director of MAS Kreedha, the Nike division of MAS Holdings, and heads Environmental Sustainability for the Group. Having joined MAS in 2001 as the CEO of Linea Aqua, he is also a member of MAS' Innovations Leadership Team and serves on the Board of Biodiversity Sri Lanka.

An alumnus of Ithaca College, New York, Sarinda received his Executive education at the INSEAD School of Business, Cornell University and Tuck School of Business at Dartmouth.

Sarinda is a recipient of the Humanitarian Alumni Award 2016 conferred by his alma mater -- Ithaca College for his humanitarian efforts and is a Trustee of two separate charities,

1. The Colours of Courage Trust; where he co-founded TRAIL – in 2011 he walked from the southernmost town of Sri Lanka to its northernmost tip, raising USD 2.6 Mn to build a cancer hospital in Tellipalai, Jaffna and most recently, Trail 2016 -- a 28 day walk, this time from North to South to raise USD 5 Mn and build a Cancer hospital in Karapitiya, Galle.
2. The Wheels for Wheels Foundation, and under its banner "Around the Pearl", participates annually in a 10 day bicycle tour around Sri Lanka to promote awareness for Cerebral Palsy and raise funds for wheelchairs to aid children afflicted with the disease.

He is an avid conservationist and published wildlife photographer, having published three books documenting Sri Lanka's wildlife. His passions also include endurance cycling and trekking.

Desamanya Deva Rodrigo

Independent Non-Executive Director

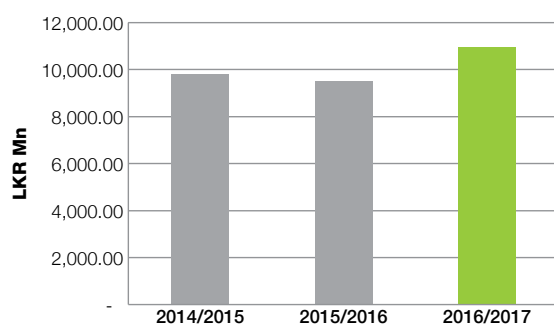
Desamanya Deva Rodrigo, a Fellow Member of the Institute of Chartered Accountants of Sri Lanka, is the former Territory Senior Partner of PricewaterhouseCoopers, Sri Lanka and Maldives and a past Chairman of the Ceylon Chamber of Commerce. He was appointed to the Board on 26 October 2015 as an Independent Non-Executive Director.

He is also an Independent Director of Chevron Lubricants Lanka PLC, Non Executive Director of Cargills Ceylon PLC and has held public sector appointments as a member of the Monetary Board of the Central Bank of Sri Lanka, the Administrative Reforms Committee, National Council for Administration, Presidential Commission on Trade and Tariffs, Telecom Regulatory Commission.

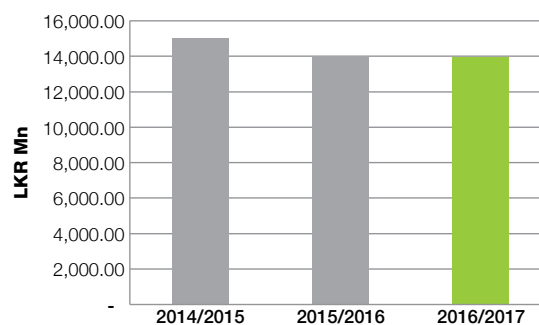
Financial Highlights

	Group	2016/2017	2015/2016
INCOME STATEMENT	Revenue (LKR Mn)	10,967.82	9,506.23
	Gross Profit (LKR Mn)	1,855.05	1,601.24
	Operating Profit Before depreciation, interest and tax (LKR Mn)	644.79	315.72
	Finance costs (LKR Mn)	713.81	472.33
	Pre-tax Profit/ (Loss) from Continuing Operations (LKR Mn)	102.10	(1,852.60)
	Profit/(Loss) from Continuing Operations (LKR Mn)	(23.07)	(1,874.89)
BALANCE SHEET	Total Assets (LKR Mn)	13,936.92	13,988.29
	Borrowings (LKR Mn)	6,140.93	6,155.45
	Shareholders' Funds (LKR Mn)	3,515.56	3,672.96
INVESTOR RATIOS	Earnings Per Share (LKR)	(0.05)	(1.74)
	Net Assets Per Share (LKR)	3.51	3.66
	Market Price Per Share (LKR)	4.00	4.00
	Dividends Per Share (LKR)	-	-
KEY RATIOS	Gross Profit Margin	16.91%	16.84%
	Operating Profit Before depreciation, interest and tax margin	5.88%	3.32%
	Interest Coverage Ratio (Times)	0.44	0.08
	Return On Capital Employed	2.68%	0.34%
	Debt to Equity Ratio (Times)	1.75	1.68

Revenue



Assets



Group 2020 Vision

As part of the restructuring strategy, improvements were made to current business processes and facilities and we had initiated implementation of new technology solutions and processes to achieve increased cohesiveness and connectivity amongst the Group's diversified companies resulting in closer strategic alignment with Taprobane's goals. The ultimate objective is to strengthen overall Group competitiveness in the face of growing competition and increasing unpredictability of external risk factors. We focused on a 2020 vision for the Group and focused on areas of business strategies, human capital development, technology, supply chain management, retail branding and channel management and in financial services-group financial management.

In human resources, changing and improving human resource management policies and procedures and developing motivational models through better structured rewards and recognition methods are to be rolled out across all the companies of the Group. Special attention was paid towards integrating technology with human applications across all business lines to enhance overall productivity. This human capital transformation process is now well underway with diverse improvements being implemented within our subsidiaries.

In technology, our ultimate objective, from an ICT perspective, is to create a paperless, seamlessly connected organisation that is more nimble, flexible and responsive to external changes, while enhancing internal organisational strengths. The Group's previous ICT architecture, of many different segregated systems among the different subsidiaries, have been replaced by a common,

interconnected platform that facilitates cross communications and intra-group coordination, using state-of-the-art ICT solutions. The key targets for the new financial year are, to fully implement the sales force automation platform and create a new IT strategy that would enable the new business strategy. The integration of technology into production aspects, through online and real-time applications for machinery and equipment use, is another area of consideration to enable higher productivity and cost savings.

Financial management for the Group will be subject to greater supervision and management oversight to maximize returns for shareholders, while ensuring commensurate benefits for other key stakeholder groups. This process will be supported by a central treasury policy and a centralised monitoring mechanism to ensure common standards and policies across the Group conform to the best practices available within the scope of financial risk management. The centralised process is expected to generate higher returns, while enabling greater flexibility and synergies, particularly in areas of foreign exchange transactions, short-term liquidity, corporate finance and investment management, through shared financial expertise and more stringent fund management.

In manufacturing, a comprehensive process mapping was conducted among all manufacturing facilities, by defining workflows and all processes involved in the production chain. Guided by this exercise, a factory floor and operations optimization will be introduced to enhance overall productivity levels and generate efficiency gains. Extensive supply chain mapping exercises have been conducted across all LCI subsidiaries to identify areas

for improvement in terms of cost and management efficiencies. Retail branding strategies, targeting households and individuals, have been developed by our subsidiaries for their respective product portfolios, to reposition and re-align as required to stay relevant.

Taprobane and its subsidiaries have made steady progress within the past 12 months in driving Group transformation. The effectiveness of the change management process is demonstrated by the continued improvements in both financial and non-financial parameters of our subsidiaries, while maintaining uninterrupted business operational growth. Within this encouraging backdrop, Taprobane is set to forge ahead with its transformation plans in the new financial year. The next step of the Taprobane transformation will be to develop a clear and structured Financial Policy. Based on a hub and spoke structure, where each subsidiary will enjoy autonomous functionality for flexible and independent business operations to be market centric, the shared financial vision will also ensure minimizing of potential business risk and alignment with overarching Group corporate objectives.

Taprobane is confident that the benefits of the current ongoing restructuring will be reflected in the Group financials from the second half of 2017 and thus can assure its stakeholders of continuous improvements as the company forges ahead with its new strategic blueprint.

Introduction to Strategic Business Units

Financial Services Segment



This comprises of bond trading, strategic investments, stock broking and money broking. The bond trading and strategic investments are carried out by the parent of the Group, Taprobane Holdings PLC, while Taprobane Securities (Pvt) Ltd and Taprobane Investments (Pvt) Limited cater to the stock broking and money broking segments respectively. The operations of these segments are highly dependent on the interest rate movements and investor sentiment making it relatively more vulnerable to economic vagaries. Information flow is imperative in such business operations and we are in the process of enhancing information flow and develop knowledge sharing. We plan to strengthen our presence in the local market and expand our services in financial markets. An overview of the segment is captured in section Financial Services Review

Taprobane Investments

We are one of the most active foreign exchange/ money brokers in Sri Lanka headed by a well- experienced team of money brokers with more than 20 years of experience. Our expertise and knowledge of the market gives us an in-depth understanding of the market trends and the ability to assess future trends so that we may provide a commendable and satisfactory service to our clients. The key to our success has been our ability to understand the requirements of our long-established network of clients. We adhere to strict standards to ensure that we uphold ethics and corporate governance in our business activities and uphold a strong reputation for our fair dealings in the market. Our role

encompasses acting as an intermediary in inter-bank money market transactions and facilitating transactions between banks and primary dealers, in treasury bonds, bills and currency. We are the money broking arm of the Group, a wholly owned subsidiary of Taprobane Holdings PLC. We are a highly regulated entity, coming under the purview of the Central Bank of Sri Lanka.

Financial Performance

TIL's revenue which predominantly comprises of bond brokerage dropped by 11% YoY reaching LKR 79.37 million and profitability dropped 34% to LKR 15.18 million. Persistent foreign outflows from the Government Securities market due to an increase in US policy rates, adjustments in the sovereign rating, tightening monetary policy and uncertainty in the tax regime with regards to investments resulted in a less appealing investment landscape.

Taprobane Securities

We are one of the few equity brokerage houses with a track record of profitability supported by our lean structure and efficient operations. Our strength lies in the expertise offered and the experienced personnel in our team allowing us to maintain long standing relationships with our clients. Better known for catering to the retail segment we are gradually moving towards a healthy balance of retail and institutional clients. Institutional investors are served by a highly skilled and competent team who offer professional research-based advice, market making facilities, speedy order execution, for effective communication with over 20 years of experience in the stock broking field. Retail clients are served with special one-on-one attention and research on client request as and when the need arises, supplemented by our routine reports. We aim to serve with good governance practices in all our transactions with an emphasis on compliance and regulation. The stock broking arm of the Group and a fully owned subsidiary of Taprobane Holdings PLC and our stock broking activities are governed by the Colombo Stock Exchange's regulations and directed by the Securities Exchange Commission Act No 18 of 2003.

Online trading facilities – as offered by Taprobane is significant – within the context of improving efficiency of order execution. In terms of debt trading, Taprobane Securities (Pvt) Ltd focuses on trading of medium to long term listed corporate debentures through the automated trading systems in place. Investors can view the market at the retail gallery, which features all necessary facilities such as seating capacity, market viewing facility through large screens, order entering facility through investment advisors, library facility to refer to annual reports, quarterly reports, company announcements, research publications and stock exchange publications. The retail clients who are unable to reach the retail gallery can deal over the phone and through the internet. In addition, all retail investors have access to the proposed corporate website that is proposed to bring together all market information, historical data base, corporate information and research publications. Thus, emphasis is placed on improving the knowledge of retail investors which will be significant for making the right investments.

Financial Performance

In equity broking, revenue declined 40% to LKR 22.64 million in line with the drop in the stock market activity, the All Share Price Index (ASPI) declined by 9.7% to 6,228.3 points and S&P SL20 Index declined by 3.6% to 3,496.4 points at end 2016 compared to 6,894.5 and 3,625.7, respectively, the previous year. The company made a loss of LKR 12.48 million compared to a profit of LKR 2.7 million mainly owing to a one-off impairment on investment property. Excluding the one-off impairment, TSL's profit amounted to LKR 12.52 million for the year, a marked improvement from the prior year.

Manufacturing and Real Estate Segment

The manufacturing and real estate segment primarily encompasses Taprobane's strategic investment in Lanka Century Investments and its key subsidiaries South Asia Textiles Limited, Dankotuwa Porcelain PLC, Royal Fernwood Porcelain Ltd, Ceylon Leather Products PLC and Colombo City Holdings PLC, which are engaged in the textiles, porcelain, footwear and property segments respectively.



Lanka Century Investments PLC and its Key Subsidiaries

Lanka Century Investments PLC is a long standing public quoted company with an established presence in porcelain, textile and footwear segments through its subsidiaries. As an investment holding company, LCI has grown through its many acquisitions and has a presence in diverse segments catering to local and international markets.

The Group's textile manufacturing arm caters to leading Sri Lankan apparel companies that manufacture clothing for high street brands in the US, UK and Europe. The company is engaged in the

manufacture and export of knitted fabrics to some of the globally renowned brands such as PUMA, Diesel, Marks & Spencer and DKNY among others through the best companies in the garment industry in Sri Lanka. Plans for the textile arm include diversifying geographical risks by seeking new areas of growth on the backdrop of challenges in the global economy. The company embarked on several upgrades and process improvements with investments to enhance capacity during the year which is expected to result in improved performance for the year.

LCI's porcelain subsidiaries together have an impressive share of the porcelain sector in Sri Lanka. Dominating the industry for over 3 decades the group

has a rich heritage of craftsmanship and a total combined production capacity of over 20 million pieces annually. The "Dankotuwa" brand is strongly associated with that of quality and innovative design and is one of the preferred brands in Sri Lanka and are found in some of the most renowned department stores around the world. For this segment, brand building will be emphasised locally and in export destinations to position the brand as a premium international brand. Production facilities have been overhauled to support cost efficient capacity expansion, coupled with new product developments, targeting new customer segments to expand revenue growth avenues.

In footwear, the "DI" Leather brand



is predominantly known for its safety leather products and has a history that spans over 77 years. The entity is in a transformational phase and is expected to cater to a more diverse array of segments as a part of its repositioning strategy. We are in the process of expanding our domestic footprint and extensive overhauls of internal systems and processes with emphasis on organisational culture change towards a performance based business. We are progressing towards becoming a cost-efficient and flexible company so that we may adapt to the ever-changing needs of the local and global markets. LCI's real estate arm, Colombo City Holdings PLC had property worth more than LKR 1.5 billion at the end of FY Mar 2017 and we

are currently in the process of exploring ways to maximize utilization and optimize the returns on these assets. Options such as repositioning the company into being a niche property developer, exploring real estate opportunities in general and other related opportunities are being explored.

Financial Performance

LCI made a turnaround in performance this year from a loss of LKR 1.64 billion to a net profit of LKR 394.10 million this year. The net profit, excluding a one-off gain on subsidiary liquidation amounted to LKR 255 million which is still an improvement from the past year. The footwear, porcelain and investment management sectors were the main contributors while textiles and property witnessed a steep drop-in

profitability. Overall revenue improved 15% YoY to LKR 10.76 billion due to higher contributions from the footwear and textiles and investment management while the contributions from porcelain and property declined.

The textiles segment revenues improved 9% to reach LKR 6.89 billion (FY Mar 2016: LKR 6.30 billion) although high costs incurred due to sludge removal due to the floods last year coupled with a mandatory, government stipulated wage increase and pricing pressures of exports pressured the bottom line resulting in a sharp drop in profitability by 63% to LKR 128.92 million.

The footwear segment revenues increased more than two-fold to LKR 1.4 billion from



by improvements to bottom line primarily due to successful efforts at cost controls, yield and efficiency improvements.

LCI's investment management revenue improved 32% to LKR 87.80 million, while losses reduced to LKR 173.62 million from a loss of LKR 1.98 billion. Meanwhile the property segment revenue declined to LKR 17 million from LKR 29.37 million and profits followed suit with a decline of 39% to LKR 202.67 million as the company did not actively engage in revenue generating undertakings.

LKR 594 million the previous year. The improved turnover aided in a reduced loss (excluding inter-company balances) of LKR 45.68 million compared to a loss of LKR 357.12 million last year amid cost efficiencies and the efforts to improve sales in our institutional business sectors and consumer markets.

Meanwhile the porcelain segment revenue was relatively stable at LKR 2.36 billion (FY Mar 2016: LKR 2.39 billion) while profits demonstrated a remarkable increase 5-fold to reach LKR 139.95 million and were supported

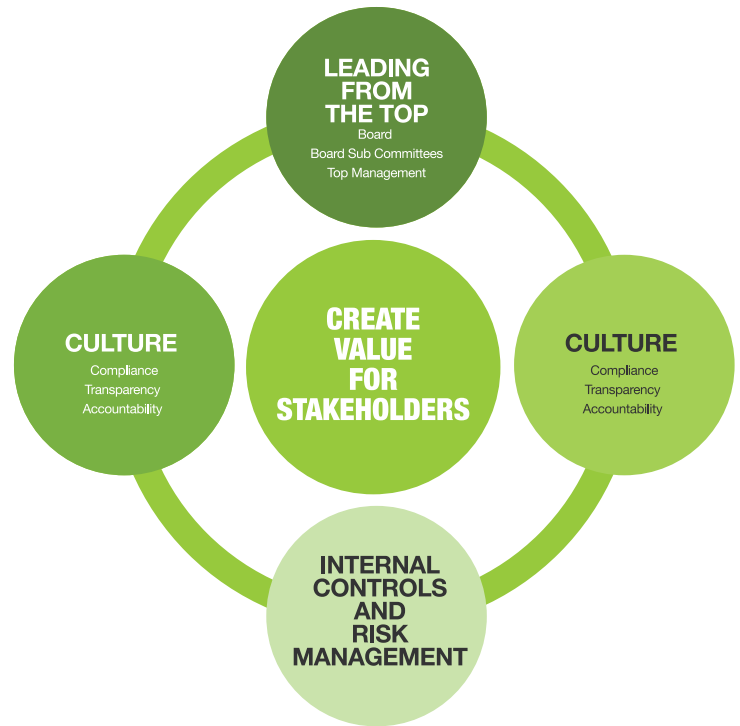


Corporate Governance

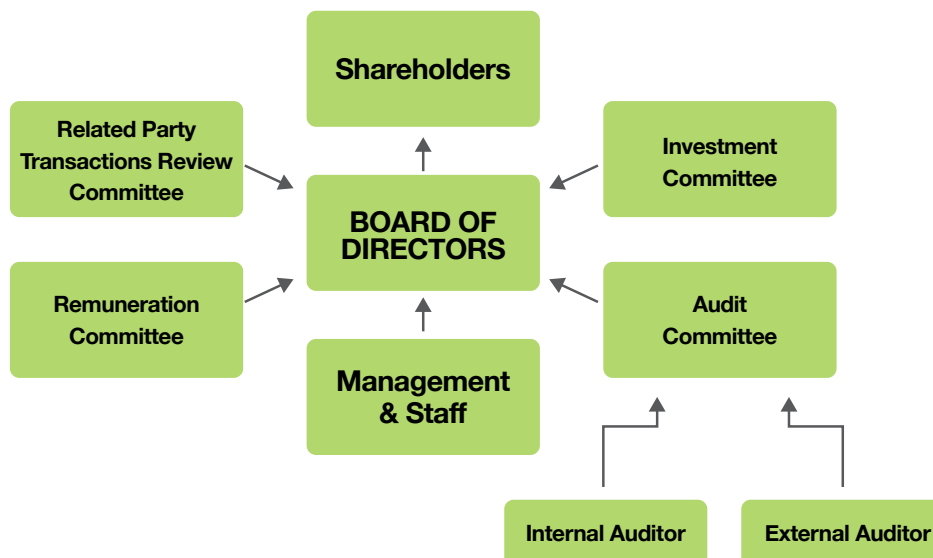
Taprobane's corporate governance structure has been designed to ensure conformity with regulatory compliance and industry best practices. The central objective is to adhere to principles of accountability, participation and transparency. We believe this is the bedrock for the creation, enhancement and maintenance of a sustainable business model.

The principles of good governance has been instilled across all levels of the Group through a commonly held set corporate values and code of conduct and an internal control system that is constantly monitored and improved. During the year, all systems and procedures were reviewed for compliance, transparency and accountability in all business activities, and where necessary, have been replaced or realigned for greater internal control.

Continually striving to improve the quality of our governance system, the Board confirms that TAP has been and is, fully compliant with all the mandatory provisions of the Companies Act No. 7 of 2007, Listing Rules of the Colombo Stock Exchange (CSE) and the Securities and Exchange Commission of Sri Lanka Act (SEC) except for the rules on minimum public float and all other legislation and rules applicable to the businesses of the Group. Further, the Group's practices are in line with the Code of Best Practices on Corporate Governance jointly advocated by the SEC and the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka).



Governance framework



1. The Board

The Board is the highest governing body of the Group and during the year it continued its efforts to improve governance practices to safeguard the best interests of shareholders and other stakeholders.

The role of the Board includes:

- ⦿ Providing entrepreneurial leadership to the Group;
- ⦿ Providing strategic guidance and evaluating, reviewing and approving corporate strategy and the performance objectives of the Group;
- ⦿ Approving and monitoring financial and other reporting practices adopted by the Group;
- ⦿ Reviewing management performance in meeting the agreed goals, monitoring the reporting of performance and ensuring that the necessary financial and human resources are in place for the Company to meet its objectives.
- ⦿ Reviewing HR processes with emphasis on succession planning for the top management
- ⦿ Appointing and reviewing the performance of the CEO
- ⦿ Monitoring systems of governance and compliance
- ⦿ Overseeing systems of internal control, risk management
- ⦿ Determining discretions/ authorities delegated from the Board to the executive levels

- ⦿ Reviewing and approving major acquisitions, disposals and capital expenditure
- ⦿ Composition and Balance of the Board

The objective in formulating the board composition is primarily to ensure regulatory compliance and also to maintain a healthy balance between the Executive, Non-Executive and Independent Directors to facilitate access to in-depth business knowledge, while also ensuring access to experience, objectivity, and independent oversight.

In line with the above objectives, the present Board comprises of Eight (08) Directors of whom Seven (07) are Non-Executive Directors and One Executive Director. The Non-Executive Directors provide considerable depth of knowledge collectively gained from experiences, whilst serving in a variety of public and private companies in various industries. The Board includes one qualified Chartered Accountant who provides the Board with the requisite financial acumen and knowledge on financial matters.

Board Skills

Collectively, the Board represents a wealth of diverse exposure in the fields of business, finance, economics and marketing which provides the company expert knowledge to develop strategies and interpret market trends. Further details of their qualifications and experience are provided under the Board Profiles section of this Annual Report in pages from 10 to 13.

The Board considers that the composition and expertise of the Board is sufficient to meet the present needs of the Group, but will continue to review the composition and the mix of skills and expertise on an ongoing basis to align it to the business needs and complexity of the Group's operations.

The composition of Board of Directors during the financial year and as at date was as follows;

Name of Director	Position
Mr. Sanjeev Gardiner	Chairman/Non Independent Non-Executive Director
Mr. Ajith Devasurendra	Deputy Chairman/Non-Independent Non-Executive Director
Mr. Murali Prakash	Group Managing Director/CEO
Mr. Priyantha Fernando	Independent Non-Executive Director
Mr. Harsha Amarasekera	Non-Independent Non-Executive Director
Mr. Ranil Pathirana	Non-Independent Non-Executive Director
Mr. Sarinda Unamboowe	Independent Non-Executive Director
Desamanya Deva Rodrigo	Independent Non-Executive Director

Board Independence

The Board accommodates independent Directors in line with regulatory stipulations. Based on the annual declarations made by each of the non-executive directors in accordance with the requirements of the Listing Rules of the CSE, Mr. Priyantha Fernando, Mr. Sarinda Unamboowe and Desamanya Deva Rodrigo are considered independent.

The Board considers the other four non-executive directors, namely Mr. Sanjeev Gardiner, Mr. Ajith Devasurendra, Mr. Harsha Amarasekera and Mr. Ranil Pathirana as non-independent, as they are nominees of CHC Investment (Private) Limited and ARRC Capital (Private) Limited, the major shareholders of the Company.

Division of Responsibilities

The roles of the Chairman and the CEO are separate with a clear distinction of responsibilities between them, which ensures the balance of accountability and authority between the running of the Board, and the executive responsibility for the running of the Group's business.

The role of the Chairman, Mr. Sanjeev Gardiner, is to provide leadership to the Board, for the efficient organisation and conduct of the Board's function, and to ensure the integrity and effectiveness of the relationship between the non-executive and executive director.

The role of the Group Managing Director/CEO, Mr. Murali Prakash, is to implement policies and strategies approved by the Board, and develop and recommend to the Board the business plans and budgets that support the Group's long-term

strategy and vision that would lead to the maximization of shareholder value.

Board Meetings and Attendance

The Board meetings for each calendar year are scheduled in advance to enable the directors and management to plan accordingly and fit the year's Board meetings into their respective calendars. The Board's annual meeting calendar is prepared with the consensus of all directors and is tabled at a Board meeting in the final quarter of the calendar year of each preceding year.

To ensure that Board meetings are conducted effectively and efficiently, the time allocation for each agenda item is determined. Members of the management and external advisors are invited as and when required to attend Board meetings to present proposals and provide further clarity to the Board.

The Board meets quarterly with a view to discharging its duties effectively. In addition, special Board meetings are also held whenever necessary to deal with specific matters. A total of 4 meetings were held during the financial year. The attendance of directors at these meetings is set out in the table below:

Name of Director	Attendance
Mr. Sanjeev Gardiner – Chairman	4/4
Mr. Ajith Devasurendra – Deputy Chairman	4/4
Mr. P.D. J. Fernando - Director	3/4
Mr. Murali Prakash – Group Managing Director/CEO	4/4
Mr. Harsha Amarasekera – Director	4/4
Mr. Ranil Pathirana – Director	4/4
Mr. Sarinda Unamboowe – Director	2/4
Desamanya Deva Rodrigo - Director	2/4

Access to Information

To enable the Board to make informed decisions, the Board is supplied with complete and adequate information in advance of each meeting, which includes an agenda, minutes, board papers with background or explanatory information, financial and operational performance reports. The Board also receives regular review reports and presentations on business development, risk profiles and regulatory updates. Any additional information may be requested by any director as and when required.

The Board has separate and independent access to the Group's Senior Management. All Directors have access to the advice and services of the Company Secretary, who is responsible to the Board for ensuring that Board procedures and applicable rules and regulations are complied with.

The directors, especially non-executive directors, have access to independent professional advice in the course of fulfilling their responsibilities, at the Company's expense.

Professional Development and Performance Evaluation

The directors are provided with the opportunity to update and enhance their skills and knowledge through training conducted by both external and in-house facilitators, and are periodically briefed on changes to relevant laws, regulations and accounting standards which impact the Group's business and the directors.

The Remuneration Committee is responsible for evaluating the Board's performance and decides how the Board's performance may be evaluated and also proposes the objective criteria.

Delegation of Authority and Board Committees

Other than the matters reserved for the Board, the Board has adopted Policies and Limits of Authority framework applicable to the Group, by which the Board has delegated authority to its Board Committees and management. The Group Policies state the principles and sets out the tone by which business is to be conducted whereas the primary purpose of the Limits of Authority is to set out clear guidance to management as to the matters over which the Board reserves authority and those which it delegates to management. The Limits of Authority has established a sound framework of authority and accountability, which facilitates timely, effective and quality decision making at the appropriate level.

The Board is supported by the following Board Committees which have been delegated with certain specific responsibilities:

- a. Audit Committee
- b. Remuneration Committee

c. Related Party Transactions Review Committee

All Board Committees have written Terms of Reference approved by the Board and the Board, receives reports of their proceedings and deliberations. In instances where committees have no authority to make decisions on matters reserved for the Board, recommendations are highlighted for approval by the Board. The Chair Persons of each of the Board Committees report the outcome of the Committee meetings to the Board and the relevant decisions are incorporated in the minutes of the Board meetings. M/s Managers & Secretaries (Private) Limited acts as the secretary to all Board Committees.

A brief description of each Board Committee is provided below:

1. Audit Committee

The Audit Committee ensures that the Company and the Group complies with applicable financial standards and laws. In addition, it ensures high standards of transparency and corporate disclosure and endeavours to maintain appropriate standards of corporate responsibility, integrity and accountability to the shareholders. The appointed members of the Audit Committee are required to exercise independent judgement in carrying out their functions.

The activities conducted by the Audit Committee are set out in the Audit Committee Report on pages 27 and 28.

2. Remuneration Committee

The role of the remuneration committee is to formulate, review, approve and make recommendations to the Board with regard to the remuneration of the executive and non-executive directors

and key positions within the senior management.

The Remuneration Committee also ensures that it receives quarterly updates from the HR Division on staff related matters.

3. Related Party Transactions Review Committee

In compliance with the requirements of the Listing Rules of the CSE, the Related Party Transactions Review Committee was established with effect from 04 December 2015.

The primary function of the Related Party Transactions Review Committee is to review related party transactions as prescribed by Section 09 of the Listing Rules of the Colombo Stock Exchange.

The above Board committees are supported by a comprehensive and effective internal governance structure, consisting of the Group Managing Director/CEO to oversee the overall operations of the Group. Reporting to the Group Managing Director/CEO are the Chief Executive Officers of the subsidiaries that oversee the effective management of the subsidiaries.

Re-appointment and Re-election

In accordance with the Company's Articles of Association, directors who were appointed during the year must submit themselves to the shareholders for re-election at the first AGM following their appointment and 1/3 of the non-executive directors are subject to retirement and re-appointment by rotation at every AGM. The directors who retire by rotation are those who have been longest in office since their appointment/reappointment.

2. Remuneration

The Company's remuneration policy endeavours to attract, retain and motivate directors of the quality and experience commensurate with the stature and operational complexity of the Company. The remuneration policy for directors is proposed, evaluated and reviewed by the Remuneration Committee, in keeping with criteria of reasonability.

The remuneration of non-executive directors comprises of fixed allowance paid during the year 2016/17.

3. Accountability and Audit

Financial Reporting

The Board believes that the independent verification is necessary to safeguard the integrity of the Group's accounting and financial reporting.

The Board aims to provide and present a balanced and understandable assessment of the Group's position and prospects. Therefore, the Board has established a formal and transparent process to independently verify and safeguard the integrity of the Group's accounting and financial reporting and internal control systems which are periodically reviewed and monitored to ensure effectiveness.

The Head of Finance declare in writing to the Board that the Company's financial reports present a true and fair view, in all material respects, of the Company's financial condition and that operational results are stated in accordance with relevant accounting standards.

4. Recognise and Manage Risk

Internal Control

The Board is committed to comply with all regulatory provisions and to follow best practices in ensuring adequate internal controls in the Group. In this regard, the Board acknowledges its overall responsibility in ensuring that a sound system of internal control is maintained to safeguard shareholders' investment and Group's assets.

- ⊙ The Audit Committee conducts a review of the effectiveness of the Group's system of internal controls and reports its findings to the Board. The review covers all material controls, including financial, operational and compliance controls and risk management systems. Upon receiving confirmation from the CEO's of the subsidiaries Head of Finance provide

the Audit Committee with a certificate of compliance confirming compliance with all applicable statutory and regulatory requirements on a quarterly basis.

- ⊙ Enterprise Risk Management system

The Group has established and implemented an Enterprise Risk Management system for identifying, assessing, monitoring and managing material risk throughout the organization, which includes;

- a) Oversight of the risk management system;
- b) Examination of the Company's risk profile which contains a description of the material risks facing the Company including financial and non-financial matters;

- c) Assessment of compliance and control;
- d) Assessment of effectiveness – mechanism to review, at least annually, the effectiveness of the Company's implementation of the risk management system

Internal Audit

Internal audits are conducted by the Group Internal Audit Division & Pricewaterhouse Coopers (Pvt) Ltd which are independent of management. The Internal Auditor has access to management and the authority to seek information, records, properties and personnel relevant to the subject of audit review. Once an audit review is completed, a report is submitted to the Audit Committee.

The Audit Committee oversees the scope of the internal audit and has access to the internal audit without the presence of management.

In order to ensure independence,

objectivity and enhance performance of the internal audit function, a direct reporting line has been created from the internal audit function to the Audit Committee. The activities of the Group's internal audit are detailed in the Audit

Committee Report on pages 27 and 28.

5. Responsible Decision Making

The Board of Directors are fully aware of their responsibilities in the capacity of directors and adopt an attitude of prudent responsibility with regards to all decision making in relation to Group activities. The Group's Code of Business Ethics and Employee Code of Conduct actively promotes ethical and responsible decision-making and endeavours to influence and guide the directors, employees and other stakeholders of the practices necessary to maintain confidence in the Group's integrity and to demonstrate the commitment of the Group to ethical practices.

6. Respect for the Rights of Shareholders

The Company is committed to having regular, proactive and effective communication with the investors and shareholders. The Company respects the rights of the shareholders and seeks to empower them by communicating effectively and providing ready access to balanced information about the Company.

Communication with Shareholders

The Company communicates with the shareholders through the following means of communication: -

a) Annual General Meeting

The AGM is the main event for the shareholders to meet with the Board which allows reasonable opportunity for informed shareholders to communicate their views on various matters affecting the Company and the forthcoming AGM will be used to effectively communicate with shareholders. The AGM is also attended by the Management, External Auditors and Company Lawyers.

b) Announcements to the Colombo Stock Exchange (CSE)

Announcements of quarterly interim financial results and announcements on corporate actions are disclosed to the CSE in a prompt and timely manner in compliance with the Listing Rules of the CSE.

c) Media Releases

The Company ensures that media releases are made to the media on all significant Group developments and business initiatives through its Group Companies.

Investor Relations

The Group Investor Relations (IR) Team proactively disseminates relevant information about the Group Companies to the investor community, specifically the institutional fund managers and analysts. The IR team maintains close contact with the investor community by means of one-on-one meetings, teleconferences, emails etc. to ensure that the Group's strategies,

operational activities and financial performance are well understood and that such information is made available to them in a timely manner.

Major Transactions

There were no transactions during the financial year deemed as a "major transaction" in terms of the definition stipulated in the Companies Act No. 7 of 2007.

Audit Committee Report

Composition

The Audit Committee comprised three Non-Executive Directors two of whom, as required by the Colombo Stock Exchange listing rules, were Independent Directors.

Desamanya P D Rodrigo (Chairman)
Independent Non-Executive Director

Mr. P D J Fernando
Independent Non-Executive Director

Mr. Ranil Pathirana
Non Independent Non-Executive Director

The Chairman of the Audit Committee, Desamanya P D Rodrigo is a Fellow Member of the Institute of Chartered Accountants of Sri Lanka.

The profiles of the members are given on pages from 10 to 13 of the Annual Report.

Meetings

During the financial year, the committee held only two formal meetings but had the quarterly financial statements reviewed by the Chairman of the Committee before recommending them to the Board of Directors for release to the stock exchange.

The Chief Executive Officer and Head of Finance attended all Audit Committee Meetings by invitation. The Company Secretary functions as the Secretary to the Committee. The engagement partner of the Company's external auditors attends meetings when matters pertaining to their functions come up for consideration. The attendance of the members at the formal meetings was as follows;

Name Of Director	Attendance
Desamanya P D Rodrigo - Chairman	2/2
Mr. P D J Fernando	1/2
Mr. Ranil Pathirana	2/2

Role of the Audit Committee

The audit committee is established by and among the Board of Directors for the primary purpose of assisting the Board in:

1. Overseeing the integrity of the company's financial statements and the company's accounting and financial reporting processes and financial statement audits;
2. Overseeing the company's systems of disclosure controls and procedures, internal controls over financial reporting and compliance with ethical standards adopted by the company.
3. Evaluating the performance of the company's independent auditor and internal audit function.
4. Overseeing the registered public accounting firm's (independent auditor's) qualifications and independence.
5. Overseeing the company's compliance with legal and regulatory requirements.

The role and functions of the Audit Committee are further defined by the Rules on Corporate Governance for Listed Companies issued by the Colombo Stock Exchange and the Code of Best Practices on Corporate Governance issued jointly by the Institute of Chartered Accountants

of Sri Lanka (ICASL) and the Securities and Exchange Commission (SEC) of Sri Lanka.

During the financial year the Committee;

- ⦿ Fulfilled its oversight responsibility on the effectiveness of internal control procedures by providing guidance and inputs to the design and coverage of internal audit programs and by the review of internal audit reports.
- ⦿ Reviewed the appropriateness of accounting policies and their adherence to statutory and regulatory compliance requirements and applicable Accounting Standards.
- ⦿ Reviewed the interim and annual financial statements prepared for publication prior to submission to the Board of Directors for approval.
- ⦿ Recommended to the Board of Directors that an Executive Risk Management Committee be established and the risk management function be expanded and upgraded.
- ⦿ Assessed the independence of the external auditors and the effectiveness of the performance of the audit.
- ⦿ Assessed the Company's ability to continue as a going concern in the foreseeable future.

Regulatory Compliance

A procedure has been laid down for reporting on the statutory compliance/non-compliance of the Company and

its subsidiaries on a quarterly basis. This report is certified by the Head of Finance. Such non-compliances are followed up to ensure appropriate corrective actions are taken.

Independence and objectivity of the external auditors

Messrs. Ernst & Young, Chartered Accountants were appointed the external auditors for the entire Group effective from 1 April 2016.

The external auditors were given adequate access to records and personnel by the Company to ensure they had no cause to compromise on the terms of reference. The committee reviewed the non-audit services provided by the external auditors with the aim

of assessing the independence and objectivity of the external auditor. Having reviewed these, the committee is satisfied that the non-audit services provided by the external auditors do not impair their independence.

Prior to commencement of the annual audit, the committee discussed with the external auditors their audit plan, audit approach and procedures and matters relating to the scope of audit. The fees of the external auditors were also approved by the audit committee. The audit findings were discussed at the conclusion of the audit, where the committee reviewed and recommended the annual consolidated financial statements to the Board for their approval.

Sgd.
Desamanya **Deva Rodrigo**
Chairman
23 August 2017

Remuneration Committee Report

Role of the Remuneration Committee

The Committee reviews the performance of the executive staff against the set objectives and goals, and determines the remuneration policy of the company for all levels of employees. The Committee supports and advises the Board on remuneration related matters and makes decisions under delegated authority with a view to aligning the interests of employees and shareholders.

Composition of the Remuneration Committee

The Remuneration Committee is a sub-committee of the main Board, to which it is accountable. The present Remuneration Committee comprises of the following

Directors.

Mr. R.P. Pathirana - Chairman

Mr. P.D.J. Fernando

Mr. S.W. Unamboowe

The Chief Executive Officer attends the Committee meeting by invitation and the company secretary serves as the Secretary of the Committee.

The Committee members possess wide experience in the fields of business management, human resources management and labour relations. Hence the Committee has adequate expertise in remuneration policy and management to deliberate and propose necessary changes, improvements to meet the roles and responsibility of the Committee.

Responsibility

During the period under review, the committee continued its responsibility of formulating & recommending to the Board, Remuneration policy which would help the organization to attract, retain and to motivate its staff taking into consideration industrial norms.

Details of executive remuneration are included under key management personnel compensation as disclosed in Page 120 of Annual report.

The committee has reviewed the remuneration policy of the company and made its recommendations and has also advised on structuring remuneration packages in order to attract, motivate and retain quality staff personnel.

Sgd.

Ranil Pathirana

*Chairman - Remuneration Committee
23 August 2017*

Related Party Transactions Review Committee Report

Purpose of the Committee

The Board established the Related Party Transactions Review Committee on 04 December 2015 as per Listing Rules of the Colombo Stock Exchange (CSE). The purpose of the Related Party Transactions Review Committee (the Committee) is to conduct an appropriate review of the Company's Related Party Transactions (RPTs) and to ensure that the Company complies with the Listing Rules of the CSE. The primary objectives of the said rules are to ensure that the interests of the shareholders as a whole are taken into account when entering into related party transactions and to prevent Directors, Key Management Personnel or substantial shareholders taking advantage of their positions.

Composition

The Committee consists of two members with a combination of Independent Non-Executive Director and Non Independent Non-Executive Director. The members of the Committee are;

Mr. P. D. J. Fernando - Chairman/
Independent Non-Executive Director

Mr. Ranil Pathirana - Non Independent Non-Executive Director

The above composition is in compliance with the provisions of the Listing Rules. Brief profiles of the members are given on pages from 10 to 13 of the Annual Report.

M/s. Managers & Secretaries (Private)
Limited functions as the Secretary to the Committee.

Role and Responsibilities

The mandate of the committee, derived from the Rules includes the following;

- ◉ To develop and recommend a related party transaction policy
- ◉ To ensure that the Company complies with the Rules
- ◉ To review in advance all proposed RPTs to ensure compliance with the Rules
- ◉ To update the Board of Directors on the related party transactions of the Company on a quarterly basis
- ◉ Define and establish the threshold values in setting a benchmark for related party transactions, RPTs which have to be pre-approved by the Board, RPTs which require to be reviewed in advance and annually and similar issues relating to listed Companies
- ◉ To make immediate market disclosures on applicable RPTs as required by the Rules
- ◉ To include appropriate disclosures on RPTs in the annual report as required by the Rules

Policies and procedures in related party transactions are being reviewed and strengthened on an ongoing basis.

Necessary steps have been taken by the Committee to avoid any conflicts of interests that may arise in transacting with related parties.

The Policies and Procedures Adopted by the Committee for Reviewing Related Party Transactions.

The Committee formulated and recommended a process for adoption on RPTs for the Company, which is consistent

with the operating model and the delegated decision rights.

The Committee in discharging its functions introduced processes and periodic reporting by the relevant entities with a view to ensure that;

- ◉ There is compliance with the Rules
- ◉ Shareholder interests are protected and
- ◉ Fairness and transparency are maintained

Any member of the Committee, who has an interest in RPT under discussion, shall abstain from voting on the approval of such transaction. A RPT entered into without pre-approval of the committee, shall not be deemed to violate this policy, be invalid or unenforceable so long as the transaction is brought to the notice of the Committee as promptly as reasonably practical, after it is entered into or after it becomes apparent that the transaction is covered by the policy. As such all RPTs, other than the exempted transactions, will be reviewed either prior to the transaction is entered into or if the transaction is expressed to be conditional on such review, prior to the completion of the transaction.

Meetings

The Committee met 04 times during the financial year under review. Proceedings of the Committee meetings are reported to the Board of Directors.

Sgd.

P D J Fernando

Chairman

23 August 2017

Annual Report on the Board of Directors Affairs on the Company

The Directors of Taprobane Holdings PLC have pleasure in presenting to the Shareholders their Annual Report together with the Audited Financial Statements of the Company for the year ended 31st March 2017.

GENERAL

Taprobane Holdings PLC is a public limited liability Company incorporated and domiciled in Sri Lanka. The registered office and the principal place of business of the company is located at No 10, Gothami Road, Colombo 08.

PRINCIPAL ACTIVITIES

During the year the principal activities of the group were money broking, stock broking, manufacturing of footwear, porcelain, textiles and managing property and investments.

REVIEW OF OPERATIONS

The Chairman's Review on Pages 04 and 05 which forms an integral part of these reports provides an overall assessment of the financial performance and the financial position of the company

FINANCIAL STATEMENTS

The financial statements of the Group and Company are given on Pages from 36 to 127. Summarized Financial Results

GROUP COMPANY

Y/E 31 March	Group (Rs'000)		Company (Rs'000)	
	2017	2016	2017	2016
Revenue	10,967,821	9,506,231	167,722	133,654
Profit/ (Loss) before tax for the year	102,101	(1,852,603)	(377,927)	(331,174)

AUDITORS' REPORT

The Independent Auditors' Report on the financial statements is given on Page 35.

ACCOUNTING POLICIES

The accounting policies adopted by the Company in the preparation of financial statements are given on Pages from 43 to 63 which are consistent with those of the previous period.

DIRECTORS

The names of the Directors who held office as at the end of the accounting period are given below and their brief profiles appear on Pages from 10 to 13.

Executive Director

Mr. N.M. Prakash - Group MD/CEO

Non-Executive Directors

Mr. S.E. Gardiner - Chairman

Mr. A. L. Devasurendra - Deputy Chairman

Mr. P. D. J. Fernando

Mr. S.H. Amarasekera

Mr. R.P. Pathirana

Mr. S.W. Unamboowe

Mr. P.D. Rodrigo

INTERESTS REGISTER

In terms of the Companies Act No. 7 of 2007 an Interests register was maintained during the accounting period under review. This Annual Report also contains particulars of entries made in the Interests register.

DIRECTORS' REMUNERATION

The Director's remuneration is disclosed in Note 30.4 to the financial statements on Page No. 120.

THE AUDITORS

The financial statements for the year ended 31st March 2017 have been audited by Messrs Ernst & Young (Chartered Accountants). As far as directors are aware the auditors do not have any relationship (other than that of an Auditor) with the Company except for those disclosed above. The auditors also do not have any interest in the Company. The audit fee payable to the auditors for the year under review is Rs. 430,000/-.

STATED CAPITAL

The Stated Capital of the Company as at 31st March 2017 was Rs. 1,053,643,405/- (1,002,724,815 Shares).

DIRECTORS' SHAREHOLDING

The shareholdings of the Directors of the Company are as follows.

As at	31.03.2017	31.03.2016
Mr. A. L. Devasurendra	138	138
Mr. R. P. Pathirana	500,000	500,000
Mr. S.W. Unamboowe	915,700	915,700
Mr. Murali Prakash	20,477	-
Mr. R P Sugathadasa -CEO	18,241,706	18,241,706

MAJOR SHAREHOLDERS, DISTRIBUTION SCHEDULE AND OTHER INFORMATION

Information on the twenty largest shareholders of the company, distribution schedule of the number of shareholders, percentage of shares held by the public as per the Listing Rules of the Colombo Stock Exchange are given on Page No. 131 under Investor Information.

PUBLIC HOLDING

The percentage of public shareholding as at the 31st March 2017 was 0.80%

CAPITAL COMMITMENTS

There were no material capital expenditure commitments as at 31st March 2017 other than those disclosed in Note 29.

STATUTORY PAYMENTS

The Directors, to the best of their knowledge and belief, are satisfied that all statutory dues have been paid up to date, or have been provided for in the financial statements.

DONATIONS

There were no donations made by the Company during the year.

EVENTS OCCURRING AFTER THE REPORTING PERIOD

No circumstances have arisen after the reporting period which would require adjustment to or disclosure in the financial statements other than those disclosed in Note 31 on Page No. 121. of the financial statements.

GOING CONCERN

The Board of Directors is satisfied that the company has adequate resources to continue its operations in the foreseeable future. Accordingly, the financial statements are prepared based on the going concern concept.

CORPORATE GOVERNANCE

Corporate Governance practices and principles with respect to the management and operations of the Company are set out on Pages from 21 to 26.

An Audit Committee, Related Party Transactions Review Committee as well as a Remuneration Committee function as sub-committees of the Board and they are composed of Directors with the requisite qualifications and experience. The composition of the said Committees is as follows:

AUDIT COMMITTEE

Mr. Deva Rodrigo - Chairman
Mr. Priyantha Fernando
Mr. Ranil Pathirana

RELATED PARTY TRANSACTIONS REVIEW COMMITTEE

Mr. Priyantha Fernando - Chairman
Mr. Ranil Pathirana

REMUNERATION COMMITTEE

Mr. Ranil Pathirana - Chairman
Mr. Priyantha Fernando
Mr. Sarinda Unamboowe

By Order of the Board - Taprobane Holdings PLC

Sgd. Sgd.
Chairman Managing Director/CEO

Sgd.
Managers & Secretaries (Pvt) Ltd - Secretaries
23 August 2017 - Colombo

Statement of Directors' Responsibilities

The Directors are required by the Companies Act No. 7 of 2007 to prepare Financial Statements for each financial year, which give a true and fair view of the statement of affairs of the company as at the end of the financial year and the income and expenditure of the Company for the financial year.

The Directors are also required to ensure that the financial statements comply with any regulations made under the Companies Act which specifies the form and content of financial statements and any other requirements which apply to the company's financial statements under any other law.

The Directors consider that the financial statements presented in this annual report have been prepared using appropriate accounting policies, consistently applied and supported by reasonable and prudent judgments and estimates and in compliance with the Sri Lanka Financial Reporting Standards (SLFRS) and Sri Lanka Accounting Standards (LKAS), Companies Act No. 7 of 2007, Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995.

The Directors are responsible to ensure that the company keeps sufficient accounting records, which disclose the financial position of the company with reasonable accuracy and enable them

to ensure that the financial statements have been prepared and presented as aforesaid. They are also responsible for taking measures to safeguard the assets of the company and in that context to have proper regard to the establishment of appropriate systems of internal control with a view to prevention and detection of fraud and other irregularities.

The Directors continue to adopt the going concern basis in preparing the financial statements. The directors, after making inquiries and review of the company's business plan for the financial year 2017/2018, including cash flows and borrowing facilities, consider that the Company has adequate resources to continue in operation.

By Order of the Board

Taprobane Holdings PLC

Sgd.

Managers & Secretaries (Pvt) Ltd
Secretaries

23 August 2017

Financial Calendar

- 1st Quarter Interim Report - 12 August 2016
- 2nd Quarter Interim Report - 09 November 2016
- 3rd Quarter Interim Report - 08 February 2017
- 4th Quarter Interim Report - 06 June 2017
- Annual Report 2016/2017 - 23 August 2017
- Annual General Meeting - 28 September 2017



Ernst & Young
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TO THE SHAREHOLDERS OF TAPROBANE HOLDINGS PLC

Report on the Financial Statements

We have audited the accompanying financial statements of Taprobane Holdings PLC, ("the Company"), and the consolidated financial statements of the Company and its subsidiaries ("Group"), which comprise the statement of financial position as at March 31, 2017, and the statement of profit or loss and statement of comprehensive income, statement of changes in equity and, statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information. (set out on pages 36 to 127.)

Board's Responsibility for the Financial Statements

The Board of Directors ("Board") is responsible for the preparation of these financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal controls as Board determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with Sri Lanka Auditing Standards. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain evidence and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation of the financial statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal controls. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the Board, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the consolidated financial statements give a true and fair view of the financial position of the Group as at March 31, 2017, and of its financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Other Matter

The financial statements of the Group and Company for the year ended 31 March 2016 were audited by another auditor who

expressed an unmodified opinion on those statements on 26 August 2016.

Report on Other Legal and Regulatory Requirements

As required by Section 163(2) of the Companies Act No. 7 of 2007, we state the following:

- a) The basis of opinion and Scope and Limitations of the audit are as stated above.
- b) In our opinion :
 - We have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company,
 - The financial statements of the Company give a true and fair view of its financial position as at March 31, 2017, and of its financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards, and
 - The financial statements of the Company and the Group, comply with the requirements of Section 151 and 153 of the Companies Act No. 07 of 2007.

23 August 2017
Colombo.

Statement of Profit or Loss

For the Year Ended 31st March

	Notes	GROUP		COMPANY	
		2017	2016	2017	2016
		LKR	LKR	LKR	LKR
Continuing Operations					
Revenue	5	10,967,821,495	9,506,231,410	167,721,654	133,653,788
Direct Cost	6	(9,112,770,865)	(7,904,989,953)	-	-
Gross Profit		1,855,050,630	1,601,241,457	167,721,654	133,653,788
Investment and Other Income	7	276,089,174	228,496,511	47,211,907	12,453,508
Selling and Distribution Expenses		(372,039,375)	(410,149,938)	-	(20,048,461)
Administrative Expenses		(1,167,501,125)	(1,198,989,442)	(59,586,038)	(44,789,761)
Change in Fair Value of Financial Assets Held for Trading		(82,690,557)	(172,521,847)	426,270	(84,684,592)
Impairment of Investment Property	17	(58,399,713)	(20,863,358)	-	-
Changes in Fair Value of Investment Property	17	365,400,263	323,522,086	2,000,000	1,000,000
Finance Cost	8	(713,807,939)	(472,333,239)	(535,700,739)	(328,758,825)
Losses from Associate	9	-	(1,731,004,866)	-	-
Profit/(Loss) Before Income Tax from Continuing Operations	10	102,101,357	(1,852,602,636)	(377,926,947)	(331,174,343)
Income Tax Expense	11	(125,169,177)	(22,284,148)	(141,765)	(13,664,405)
Profit/(Loss) for the Year from Continuing Operations		(23,067,820)	(1,874,886,784)	(378,068,712)	(344,838,748)
Discontinued Operations					
Profit/(Loss) after tax for the year from discontinued operations	4	144,976,300	(145,691,771)	-	-
Profit/(Loss) for the year		121,908,480	(2,020,578,555)	(378,068,712)	(344,838,748)
Profit/(Loss) Attributable to:					
Equity Holders of the Company		(49,742,653)	(1,741,635,748)	(378,068,712)	(344,838,748)
Non - Controlling Interests		171,651,133	(278,942,807)	-	-
		121,908,480	(2,020,578,555)	(378,068,712)	(344,838,748)
Basic Earnings / (Deficit) Per Share	12.1	(0.05)	(1.74)	(0.38)	(0.34)
Basic Earnings / (Deficit) Per Share from Continuing Operations	12.2	(0.17)	(1.67)	(0.38)	(0.34)

The Notes from pages 43 to 127 form an integral part of these Financial Statements

Figures in brackets indicate deductions

Statement of Other Comprehensive Income

For the Year Ended 31st March

	GROUP		COMPANY	
	2017	2016	2017	2016
	LKR	LKR	LKR	LKR
Profit/ (Loss) for the Year	121,908,480	(2,020,578,555)	(378,068,712)	(344,838,748)
Other Comprehensive Income				
Items that will never be reclassified to Profit or Loss				
Defined Benefit Obligations Actuarial Gain / (Loss)	22,990,329	(12,574,735)	228,088	429,645
Related Tax	(6,109,110)	1,750,176	(63,865)	(120,300)
Share of Other Comprehensive Income of Equity Accounted Investee (Net of Tax)	-	188,542,749	-	-
Revaluation of Property, Plant & Equipment	93,024,350	466,752,664	-	-
Related Tax	(7,485,531)	(18,476,636)	-	-
	102,420,038	625,994,218	164,223	309,345
Items that are or may be reclassified to Profit or Loss				
Share of Other Comprehensive Income of Equity Accounted Investee (Net of Tax)	-	5,508,586	-	-
Financial Assets Available for Sale reserve reclassified to Profit or Loss	-	(36,601,284)	-	-
Currency Translation of Foreign Operation	18,083,393	(12,110,449)	-	-
Currency Translation of Foreign Operation Reserve reclassified to Profit or Loss	(18,261,300)	(16,866,355)	-	-
	(177,907)	(60,069,502)	-	-
Total Other Comprehensive Income	102,242,131	565,924,716	164,223	309,345
Total Comprehensive Income for the Year	224,150,611	(1,454,653,838)	(377,904,489)	(344,529,403)
Total Comprehensive Income Attributable to:				
Equity Holders of the Company	15,518,575	(1,383,895,330)	(377,904,489)	(344,529,403)
Non - Controlling Interests	208,632,036	(70,758,508)	-	-
	224,150,611	(1,454,653,838)	(377,904,489)	(344,529,403)

The Notes from pages 43 to 127 form an integral part of these Financial Statements

Figures in brackets indicate deductions

Statement of Financial Position

As at 31st March

		GROUP		COMPANY	
		2017	2016	2017	2016
	Notes	LKR	LKR	LKR	LKR
ASSETS					
Non-Current Assets					
Property, Plant & Equipment	13	4,785,156,824	4,952,487,058	697,514	891,177
Leasehold Property	14	-	25,113,883	-	-
Intangible Assets	15	81,612,830	75,895,344	-	-
Biological Assets	16	45,881,950	39,701,950	-	-
Investment Property	17	1,164,600,686	1,802,670,449	25,000,000	23,000,000
Investment in Subsidiaries	18	-	-	4,779,561,060	4,803,727,727
Other Financial Assets	19	36,166,883	35,345,155	-	-
Deferred Tax Asset	26	71,588,610	78,657,354	991,831	1,197,460
Deposit with Colombo Stock Exchange		2,750,000	2,750,000	-	-
		6,187,757,783	7,012,621,194	4,806,250,405	4,828,816,364
Current Assets					
Inventories	20	2,407,814,066	2,418,686,250	-	-
Other Financial Assets	19	1,746,969,989	2,223,350,606	143,974,190	870,322,920
Trade & Other Receivables	21	1,801,538,637	1,865,425,044	45,845,248	84,082,683
Income Tax Recoverable		32,258,280	30,030,888	-	-
Cash & Cash Equivalents	22	815,416,259	438,103,963	106,750	699,718
		6,803,997,230	6,975,596,751	189,926,188	955,105,321
Assets classified as Held for Sale	4	945,070,313	-	-	-
Total Assets		13,936,825,326	13,988,217,945	4,996,176,593	5,783,921,685
EQUITY AND LIABILITIES					
Equity					
Stated Capital	23	1,053,643,405	1,053,643,405	1,053,643,405	1,053,643,405
Foreign Currency Translation Reserve		(394,994)	(6,022,629)	-	-
Retained Earnings		2,016,509,173	2,218,276,530	602,698,453	980,602,941
Revaluation Reserves		445,801,569	407,065,147	-	-
Equity Attributable to Equity Holders of the Company		3,515,559,153	3,672,962,453	1,656,341,858	2,034,246,346
Non Controlling Interests		2,069,496,197	1,730,158,022	-	-
Total Equity		5,585,055,349	5,403,120,475	1,656,341,858	2,034,246,346
Non-Current Liabilities					
Interest Bearing Loans & Borrowings	24	913,471,560	583,395,578	-	-
Retirement Benefit Obligations	25	260,078,371	267,157,530	3,888,054	4,550,643
Deferred Tax Liability	26	239,772,085	250,823,140	-	-
Deferred Income		387,783	810,746	-	-
		1,413,709,799	1,102,186,994	3,888,054	4,550,643
Current Liabilities					
Trade and Other Payables	27	1,654,215,855	1,864,301,080	1,037,991,760	1,035,560,362
Income Tax Payable		52,648,398	46,551,087	-	13,902,988
Interest Bearing Loans & Borrowings	24	5,227,463,700	5,572,058,308	2,297,954,921	2,695,661,347
		6,934,327,953	7,482,910,476	3,335,946,681	3,745,124,697
Liabilities Directly Associated with Assets Classified as Held For Sale	4	3,732,224	-	-	-
Total Equity and Liabilities		13,936,825,326	13,988,217,945	4,996,176,593	5,783,921,685
Net Assets Per Share (Rs.)					
		3.51	3.66	1.65	2.03

The Notes from pages 43 to 127 form an integral part of these Financial Statements

Figures in brackets indicate deductions

I certify that the Financial Statements have been prepared in compliance with the requirements of Companies Act No. 07 of 2007.

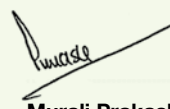


Haritha C. Perera
Chief Financial Officer

The Directors are responsible for the preparation and presentation of these Financial Statements. Signed for and on behalf of the Board.



Sanjeev Gardiner
Chairman



Murali Prakash
Group Managing Director/ Chief Executive Officer

Statement of Changes in Equity

For the year ended 31st March 2017

GROUP	Attributable to Equity Holders of the Company					Non Controlling Interests	Total Equity
	Stated Capital	Available for Sale	Revaluation Reserve	Foreign Currency Translation Reserve	Retained Earnings		
	LKR	LKR	LKR	LKR	LKR	LKR	LKR
As at 31 March 2015	1,053,643,405	33,175,221	173,431,785	18,932,650	3,683,430,699	1,834,860,420	6,797,474,180
Profit / (Loss) for the year	-	-	-	-	(1,741,635,748)	(278,942,807)	(2,020,578,555)
Other Comprehensive Income	-	(33,175,221)	423,602,696	(24,955,279)	(7,731,779)	208,184,299	565,924,716
Total Comprehensive Income for the year	-	(33,175,221)	423,602,696	(24,955,279)	(1,749,367,527)	(70,758,508)	(1,454,653,838)
Transactions with owners of the Company							
Contributions and Distributions							
Dividend	-	-	-	-	-	(1,714,768)	(1,714,768)
Total Contributions and Distributions	-	-	-	-	-	(1,714,768)	(1,714,768)
Changes in ownership interest							
Changes in ownership interest without changes in control	-	-	-	-	62,037,555	(59,907,946)	2,129,609
Disposal of subsidiary	-	-	-	-	-	18,849,733	18,849,733
On disposal of associate	-	-	(189,969,334)	-	227,077,242	8,829,091	45,936,999
Transaction cost of Subsidiary share issue	-	-	-	-	(4,901,439)	-	(4,901,439)
Total changes in ownership interest	-	-	(189,969,334)	-	284,213,358	(32,229,122)	62,014,902
Total Transactions with owners of the Company	-	-	(189,969,334)	-	284,213,358	(33,943,890)	60,300,134
Balance as at 31 March 2016	1,053,643,405	-	407,065,147	(6,022,629)	2,218,276,530	1,730,158,022	5,403,120,475
Profit / (Loss) for the year	-	-	-	-	(49,742,653)	171,651,133	121,908,480
Other Comprehensive Income	-	-	52,722,831	(114,599)	12,652,996	36,980,903	102,242,131
Total Comprehensive Income for the year	-	-	52,722,831	(114,599)	(37,089,656)	208,632,036	224,150,611
Transactions with owners of the Company							
Contributions and Distributions							
Subsidiary Dividend Paid to Minority share Holders	-	-	-	-	-	(33,332,155)	(33,332,155)
Subsidiary Dividend Declared to Minority share Holders	-	-	-	-	-	(14,625,816)	(14,625,816)
Total Contributions and Distributions	-	-	-	-	-	(47,957,971)	(47,957,971)
Transfer of Revaluation Reserve Upon Disposal	-	-	(13,986,409)	-	13,986,409	-	-
Reclassification of Exchange Reserve (Note 4.1.1)	-	-	-	5,742,234	-	5,742,234	5,742,234
Prior Year Adjustment*	-	-	-	-	(5,918,551)	5,918,551	-
Changes in ownership interest							
Changes in ownership interest without changes in control	-	-	-	-	(172,745,558)	172,745,558	-
Total changes in ownership interest	-	-	(13,986,409)	5,742,234	(164,677,701)	178,664,110	5,742,234
Total Transactions with owners of the Company	-	-	(13,986,409)	5,742,234	(164,677,701)	130,706,138	(42,215,737)
Balance as at 31 March 2017	1,053,643,405	-	445,801,569	(994,994)	2,016,509,173	2,069,496,197	5,585,055,349

* Due to derecognition of derivative financial assets and liabilities between DPL and LCI

The Notes from pages 43 to 127 form an integral part of these Financial Statements
Figures in brackets indicate deductions

Statement of Changes in Equity

For the year ended 31st March 2017

COMPANY	Stated Capital	Retained Earnings	Total Equity
	LKR	LKR	LKR
Balance as at 31st March 2015	1,053,643,405	1,325,132,346	2,378,775,751
Profit /(Loss) for the year	-	(344,838,748)	(344,838,748)
Other Comprehensive Income	-	309,345	309,345
Total Comprehensive Income for the year	-	(344,529,402)	(344,529,402)
Balance as at 31st March 2016	1,053,643,405	980,602,941	2,034,246,346
Profit /(Loss) for the year	-	(378,068,712)	(378,068,712)
Other Comprehensive Income	-	164,223	164,223
Total Comprehensive Income for the year	1,053,643,405	(377,904,489)	(377,904,489)
Balance as at 31st March 2017	1,053,643,405	602,698,453	1,656,341,858

The Notes from pages 43 to 127 form an integral part of these Financial Statements

Figures in brackets indicate deductions

Statement of Cash Flow

For the Year Ended 31st March

	Notes	GROUP		COMPANY	
		2017	2016	2017	2016
		LKR	LKR	LKR	LKR
Cash Flows From Operating Activities					
Profit before Taxation		102,101,357	(1,852,602,636)	(377,926,947)	(331,174,343)
Loss before tax from Discontinuing Operations	4	127,289,960	(150,116,895)	-	-
Adjustment for					
Depreciation of Property, Plant & Equipment	13	330,121,430	276,442,349	299,673	459,328
Impairment of Property, Plant & Equipment	13	16,007,533	-	-	-
Impairment of Investment Property	17	58,399,713	20,863,358	-	-
Amortization of Lease Hold Property		-	162,353	-	-
Write-off of Lease Hold Property	14	25,113,883	-	-	-
Amortization of Intangible Assets	15	8,979,630	922,916	-	-
Change in Fair Value of Financial Assets Held for Sale		(963,964)	94,410,126	-	84,684,592
Provision for Retirement Gratuity	25	50,519,462	48,784,621	857,999	900,055
Change in Fair Value of Investment Property	17	(365,400,263)	(323,522,086)	(2,000,000)	(1,000,000)
Amortization of Deferred Income		(422,963)	(423,000)	-	-
Loss / (Gain) on disposal of Property, Plant & Equipment		(4,183,554)	(6,046,672)	-	-
Impairment of Trade and Other Receivables	21.2	55,739,062	47,176,110	1,070,788	(20,048,461)
Changes in fair value of Biological Assets	16	(6,180,000)	13,475,768	-	-
(Gain)/Loss on disposal of Financial Assets Held for Sales		-	3,280,620	-	-
Impairment of Inventories		27,702,036	109,459,384	-	-
(Gain)/Loss on disposal of Discontinued Operations		-	(16,813,878)	-	-
Interest Expense	8	713,807,939	454,431,126	-	-
Share of (Profit) / Loss of Equity Accounted Investees		-	50,174,267	-	-
Loss from Disposal of Associates (Net of Amount reclassified to Profit or Loss)		-	1,126,945,995	-	-
Loss from Classification of Associate to Fair Value through Profit or Loss		-	553,884,604	-	-
Exchange (Gain) / Losses		(177,907)	-	-	-
Gain on Liquidation of Subsidiary	4.1.1	(153,224,579)	-	-	-
Write back of Interest Bearing Loans and Borrowings	7	(28,309,107)	-	-	-
Operating Profit before Working Capital Changes		956,919,667	450,888,430	(377,698,487)	(266,178,829)
(Increase)/Decrease in Inventories		(16,829,852)	(109,459,384)	-	-
(Increase)/Decrease in Trade & Other Receivables		7,555,654	272,016,690	37,166,647	132,254,882
Increase/(Decrease) in Trade & Other Payable		(74,069,217)	(125,573,347)	1,804,398	(96,135,689)
Cash Generated from Operations		873,576,252	487,872,389	(338,727,442)	(230,059,636)
Retirement Gratuity Paid	25	(33,981,292)	(30,943,084)	(665,500)	-
Interest Paid		(691,789,181)	(435,492,184)	-	-
Income Tax Paid		(121,189,870)	(157,016,835)	(13,902,991)	-
Net Cash Flow from / (used in) Operating Activities		26,615,909	(135,579,714)	(353,295,933)	(230,059,636)

The Notes from pages 43 to 127 form an integral part of these Financial Statements

Figures in brackets indicate deductions

STATEMENT OF CASH FLOW *Contd.*

	Notes	GROUP		COMPANY	
		2017	2016	2017	2016
		LKR	LKR	LKR	LKR
Cash Flow from Investing Activities					
Acquisition of Property, Plant & Equipment	13	(208,860,937)	(1,024,806,847)	(106,010)	(318,325)
(Acquisition)/ Proceed from other financial assets		(252,506,482)	-	-	-
Acquisition of Intangible Assets	15	(14,697,115)	(41,903,606)	-	-
Disposal of Other Financial Assets		-	230,625,679	-	-
Investments in Subsidiaries		-	-	24,166,667	(92,140,953)
Acquisition of Non Controlling Interest		-	(105,031,884)	-	-
Net Proceeds from Government Securities		726,348,731	219,581,028	726,348,731	219,581,028
Proceeds from disposal of Equity Accounted Investee		-	363,757,250	-	-
Proceeds on Disposal of Subsidiary (Net of cash disposed)		-	(4,316,281)	-	-
Proceeds on Disposal of Property, Plant & Equipment		127,270,114	36,584,406	-	-
Net Cash Flow from / (used in) Investing Activities		377,554,311	(325,510,254)	750,407,388	127,121,751
Cash Flow from Financing Activities					
Loan Received		186,351,183,137	150,250,603,401	180,268,557,877	144,528,109,101
Right Issue		-	107,161,491	-	-
Direct cost on Share Issue		-	(4,901,439)	-	-
Dividend Paid to Non-Controlling Interest		(33,332,155)	(1,714,768)	-	-
Repayment of Loans		(187,066,780,281)	(150,793,614,419)	(180,996,182,297)	(144,630,318,887)
Net Cash Flow used in Financing Activities		(748,929,299)	(442,465,734)	(727,624,420)	(102,209,786)
Net Increase/(Decrease) in Cash & Cash Equivalent during the year		(344,759,079)	(903,555,701)	(330,510,965)	(205,147,670)
Cash & Cash Equivalents					
Net movement during the year		(344,759,079)	(1,049,405,120)	(330,510,965)	(205,147,670)
At the beginning of the year		(2,239,875,126)	(1,190,470,007)	(1,536,067,897)	(1,330,920,225)
At the end of the year (Note A)		(2,584,634,208)	(2,239,875,126)	(1,866,578,860)	(1,536,067,897)
Note A-Cash and Equivalents are as follows					
Cash in Hand & Bank		815,416,259	438,103,963	106,750	699,718
Bank overdraft		(3,400,050,468)	(2,677,979,089)	(1,866,685,610)	(1,536,767,615)
		(2,584,634,208)	(2,239,875,126)	(1,866,578,860)	(1,536,067,897)

The Notes from pages 43 to 127 form an integral part of these Financial Statements
Figures in brackets indicate deductions

Notes to the Financial Statements

Year Ended 31 March 2017

1. REPORTING ENTITY

1.1 General

Taprobane Holdings PLC ('the Company') is a public quoted company incorporated on 20th September 2006 and domiciled in Sri Lanka. The address of the Company's registered office is No. 10, Gothami Road, Colombo 08, Sri Lanka and the principal place of business is situated at the same place.

The consolidated financial statements of the Company as at and for the year ended 31st March 2017 comprise the Company and its subsidiaries (together referred to as the "Group" and individually as "Group entities")

Ordinary shares of the Company are listed on the Diri Savi board of the Colombo Stock Exchange (CSE).

1.2 Principal Activities and Nature of Operations

During the year the principal activities of the group were as follows.

Taprobane Holdings PLC

The Company operated as the Investments Holding Company of the Group and is presently engaged in carrying out investment related activities.

Taprobane Securities (Pvt) Ltd

The principal activity of the company is functioning as a stock broker in the Colombo Stock Exchange.

Taprobane Investments (Pvt) Ltd

The principal activity of the company is conducting money broking transactions in the open market.

Taprobane Wealth Plus (Pvt) Ltd

The principal activity of the company is conducting Corporate Finance activities.

Heron Agro Products (Pvt) Ltd

The principal activity of the company is being involved in Estate Management.

Lexinton Holdings (Pvt) Ltd

The principal activity of the company is lending and maintaining commercial property, dwelling flats for lease.

Lanka Century Investments PLC

The company manages a portfolio of holdings consisting of a range of diverse business operations, which together constitute the LCI Group, and provides function based services to its subsidiaries and associates. Subsidiaries of the group were engaged in manufacturing of footwear, porcelain, textiles and managing property and investments.

Taprobane Equities (Pvt) Ltd

The company (formally known as Capital Trust Partners (Pvt) Ltd) operated as an investment management company.

1.3 Parent Entity and Ultimate Parent Entity

The Company's parent and ultimate parent is CHC Investment (Pvt) Ltd.

2. BASIS OF PREPARATION

2.1 Statement of Compliance

The consolidated financial statements have been prepared in accordance with the Sri Lanka Accounting Standards (SLFRS) laid down by The Institute of Chartered Accountants of Sri Lanka (ICASL) and in compliance with the Companies Act No. 07 of 2007.

The consolidated financial statements were authorized for issue by the Board of

Directors on 23 August 2017.

2.2 Basis of Measurement

The financial statements of the Group and the Company have been prepared on the historical cost basis with no adjustments being made for inflationary factors affecting the Financial Statements, except for the following material items in the statement of financial position,

- ⊙ Financial Assets at fair value through profit or loss are measured at fair value.
- ⊙ The liability for defined benefit obligations is measured at the present value of the defined benefit obligation.
- ⊙ Property Plant and Equipment (Land and Buildings) are measured at fair value.
- ⊙ Investment properties are measured at the fair value.

Notes to the Financial Statements *Contd.*

- ◉ Consumable Biological assets (timber stocks) are measured at fair value less cost to sell.

2.3 Functional and presentation currency

The functional currency is the currency of the primary economic environment in which the entities of the group operate.

The financial statements are presented in Sri Lankan Rupee (LKR), which is the functional currency and the group's presentation currency.

2.4 Use of estimates and judgment

The preparation of the financial statements in conformity with SLFRSs requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances, the results which form the basis of making the judgments about the carrying amount of assets and liabilities that are not readily apparent from other sources.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimates are revised and in any future periods affected.

Information about assumptions and estimation uncertainties that have a significant risk of resulting in a material adjustment within the next financial year are included in the following notes:

Note 11 – Utilisation of tax losses;

Note 25 – Measurement of defined benefit obligations.

Note 29 – Provisions and contingencies.

Note 28 – Fair value of PPE, IP and Financial Instruments.

Judgments

Assets Classified as Held for Sale

The Board of Directors of CCH on the meeting held on 14 October 2015 decided in principle to dispose the land and buildings owned by the Company at Union Place, Colombo 02 subject to obtaining offers from prospective buyers and thereafter shareholder approval.

On 1st March 2017, a registered License Surveyor segregated the investment Property to 3 lots. The board considered one of the lots to meet the criteria to be classified as held for sale at that date for the following reasons;

- ◉ Investment Property is available for immediate distribution and can be disposed to the third party in its current condition.
- ◉ The actions to complete the distribution were initiated and expected to be completed within one year from the date
- ◉ The Company expects the secretarial procedures (eg. shareholder approval) and procedural formalities for the disposal to be completed.

Details on the asset classified as held for sale further explained under Note 4.2

Estimates

Measurement of fair values

A number of the Group's accounting policies and disclosures require the measurement of fair values, for both financial and non-financial assets and liabilities.

When measuring the fair value of an asset or a liability, the Group uses market observable data as far as possible. Fair values are categorised into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows :

Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities.

Level 2: Inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).

Level 3: Inputs for the asset or liability that are not based on observable market data (unobservable inputs).

If the inputs used to measure the fair value of an asset or a liability might be categorised in different levels of the fair value hierarchy, then the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

The Group recognises transfers between levels of the fair value hierarchy at the end of the reporting period during which the change has occurred.

Further information about the assumptions made in measuring fair values is included

in the following notes:

Note 13 – Property, plant & equipment

Note 17– Investment property

Notes 3.4.7 and 28 – Financial instruments

Taxes

Deferred tax assets are recognised for all unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Significant management judgement is required to determine the amount of deferred tax assets that can be recognised, based on the likely timing and level of future taxable profits together with future tax planning strategies.

Employee benefit liability

The employee benefit liability of the Group determines using actuarial valuation carried out by an independent actuarial specialist. The actuarial valuations involve making assumptions about discount rates and future salary increases. The complexity of the valuation, the underlying assumptions and its long term nature, the defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date.(Note 25)

2.5 Comparative Information

Previous period figures and notes have been reclassified wherever necessary to conform to the current year's presentation.

2.6 Materiality and Aggregation

Each material class of similar items is presented separately in the Financial Statements. Items of dissimilar nature or function are presented separately unless they are immaterial.

2.7 Offseting

Assets and liabilities, and income and expenses, are not offset unless required or permitted by SLFRSs.

2.8 Going Concern

The Directors have made an assessment of the Group's ability to continue as a going concern and they do not intend either to liquidate or cease trading.

2.9 Directors' Responsibility for the Financial Statements

The Board of Directors is responsible for the preparation and fair presentation of these financial statements in accordance

with Sri Lanka Accounting Standards and as per the provisions of the Companies Act No. 07 of 2007. This responsibility includes: designing, implementing and maintaining internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

2.10 Changes in Accounting Policies

The Group has consistently applied the following accounting policies to all periods presented in these consolidated and separate financial statements.

These accounting policies set out below have been applied consistently to all periods presented in these consolidated financial statements, and have been applied consistently by Group entities.

The presentation and classification of the consolidated financial statements of the previous period have been amended, where relevant, for better presentation and to be comparable with those of the current period.

Notes to the Financial Statements *Contd.*

3. SIGNIFICANT ACCOUNTING POLICIES

3.1 Basis of Consolidation

(a) Business combinations

Business combinations are accounted for using the acquisition method as at the acquisition date – i.e. when control is transferred to the Group.

The Group measures goodwill at the acquisition date as:

the fair value of the consideration transferred; plus

the recognised amount of any non-controlling interests in the acquiree; plus

if the business combination is achieved in stages, the fair value of the pre-existing equity interest in the acquiree; less

the net recognised amount (generally fair value) of the identifiable assets acquired and liabilities assumed.

When the excess is negative, a bargain purchase gain is recognised immediately in profit or loss.

The consideration transferred does not include amounts related to the settlement of pre-existing relationships. Such amounts are generally recognised in profit or loss. Transaction costs, other than those associated with the issue of debt or equity securities, that the Group incurs in connection with a business combination are expensed as incurred.

(b) Subsidiaries

Subsidiaries are entities controlled by

the Group. The Group controls an entity when it is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. The financial statements of subsidiaries are included in the consolidated financial statements from the date on which control commences until the date on which control ceases.

Acquisition of subsidiaries is accounted for using the acquisition method of accounting.

If a member of the group uses accounting policies other than those adopted in the consolidated financial statements for like transactions and events in similar circumstances, appropriate adjustments are made to its financial statements in preparing the consolidated financial statements.

(c) Non-controlling interests (NCI)

NCI are measured at their proportionate share of the acquiree's identifiable net assets at the date of acquisition.

(d) Acquisition of Non-controlling interests

Subsequent to the acquisition of control, any further acquisition of net assets from non-controlling interests is accounted for as transactions with owners in their capacity as owners. Therefore no goodwill is recognized as a result of such transactions.

Any difference between the amount

by which the non controlling interests is adjusted and the fair value of the consideration paid or received shall be recognized directly in equity and attributed to the owners of the parent.

(e) Loss of control

The parent can lose control of a subsidiary with or without a change in absolute or relative ownership levels. Upon the loss of control, the Group derecognizes the assets and liabilities of the subsidiary, any non controlling interests and the other components of equity related to the subsidiary. Any surplus or deficit arising on the loss of control is recognized in profit or loss.

If the Group retains any interest in the previous subsidiary, then such interest is measured at fair value at the date that control is lost. Subsequently it is accounted for as an equity-accounted investee or as other financial asset depending on the level of influence retained

(f) Associates - Equity accounted Investees

Associates are those entities in which the Group has significant influence, but not control, over the financial and operating activities. Significant influence is presumed to exist when the Group holds between 20 and 50 percent of the voting power of another entity.

Associates are accounted for using the equity method and are initially recognized at cost. The Group's

investment in associate includes goodwill identified on acquisition, net of any accumulated impairment losses.

The Consolidated Financial Statements include the Group's share of the income and expenses and equity movements of equity accounted investees, after adjustments to align the accounting policies with those of the Group, from the date that significant influence commences until the date that significant influence ceases.

When the Group's share of losses exceeds its interest in an equity accounted investee, the carrying amount of that interest (including any long-term investments) is reduced to nil and the recognition of further losses is discontinued except to the extent that the Group has an obligation or has made payments on behalf of the investee.

Upon loss of significant influence over the associate, the Group measures and recognises any retained investment at its fair value. Any difference between the carrying amount of the associate upon loss of significant influence and the fair value of the retaining investment and proceeds from disposal is recognised in profit or loss.

(g) Reporting Date

All the Group's Subsidiaries have a common financial year end which ends on 31st March.

(h) Balances and transactions

eliminated on Consolidation Intragroup balances and transactions, including income, expenses and dividends, are eliminated in full. Profits and losses

resulting from intragroup transactions that are recognized in assets, such as inventory and Property Plant and Equipment are eliminated in full.

Unrealized gains arising from transactions with equity-accounted investees are eliminated against the investment to the extent of the Group's interest in the investee.

(i) Cost of Acquisition

The cost of an acquisition is measured as the fair value of the assets given, equity instruments issued and liabilities incurred or assumed at the date of exchange.

(j) Goodwill on Acquisition

Goodwill represents the excess of the cost of any acquisition of a subsidiary or an associate over the Group's interest in the net fair value of the identifiable assets, liabilities and contingent liabilities acquired.

The Company will test the goodwill for impairment annually and assess for any indication of impairment to ensure that its carrying amount does not exceed the recoverable amount. If an impairment loss is identified, it is recognized immediately in to Profit or loss. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to groups of cash-generating units that are expected to benefit from the synergies of the combination.

The impairment loss is allocated first to reduce the carrying amount of any goodwill allocated to the unit and then to the other assets

pro-rata to the carrying amount of each

asset in the unit. Where goodwill forms part of a cash-generating unit and part of the operation within that unit is disposed of, the goodwill associated with the operation disposed of is included in the carrying amount of the operation when determining the gain or loss on disposal of the operation.

Carrying amount of the goodwill arising on acquisition of subsidiaries is presented as an intangible and the goodwill on an acquisition of an equity accounted investments is included in the carrying value of the investment.

(k) Gain on Bargain Purchase

If the Group's interest in the net fair value of the identifiable assets, liabilities and contingent liabilities exceeds the cost of the acquisition of the entity, the Group will reassess the measurement of the acquiree's identifiable assets and liabilities and the measurement of the cost and recognize the difference immediately in the Consolidated Statement of Profit or Loss and Other Comprehensive Income.

3.2 Discontinued Operation

A discontinued operation is a component of the Group's business operations and cash flows of which can be clearly distinguished from the rest of the Group and which:

Represent a separate major line of business or geographic area of operations;

Is part of single coordinated plan to dispose of a separate major line of business or geographic area of operations; or

Notes to the Financial Statements *Contd.*

Is a subsidiary acquired exclusively with a view to resale.

Classification as a discontinued operation occurs at the earlier of disposal or when the operation meets the criteria to be classified as held for sale.

When an operation is classified as a discontinued operation, the comparative statement of profit or loss and OCI is represented as if the operation had been discontinued from the start of the comparative year.

(i) Asset Held for Sale

Non-current assets or disposal groups comprising assets and liabilities are classified as held for sale if it is highly probable that they will be recovered primarily through sale rather than through continuing use.

Such assets or disposal groups are generally measured at the lower of their carrying amount and fair value less cost to sell. Any impairment loss on a disposal group is allocated first to goodwill and then to the remaining assets and liabilities on a pro rata basis, except that no loss is allocated to inventories, financial assets, deferred tax asset, employee benefit assets, investment property or biological assets, which continue to be measured in accordance with the Group's other accounting policies. Impairment losses on re-measurement are recognised in profit or loss.

Once classified as held for sale, intangible assets and property plant and equipment are no longer amortised or depreciated and any equity accounted investee is no longer equity accounted.

3.3 Foreign currency

(a) Foreign currency transactions

Transactions in foreign currencies are translated to the respective functional currencies of Group entities at exchange rates at the dates of the transactions. Monetary assets and liabilities denominated in foreign currencies at the reporting date are retranslated to the functional currency at the exchange rate at that date. The foreign currency gain or loss on monetary items is the difference between amortised cost in the functional currency at the beginning of the year, adjusted for effective interest and payments during the year, and the amortised cost in foreign currency translated at the exchange rate at the end of the year.

Non-monetary assets and liabilities that are measured at fair value in a foreign currency are retranslated to the functional currency at the exchange rate at the date that the fair value was determined. Non-monetary items that are measured based on historical cost in a foreign currency are translated using the exchange rate at the date of the transaction.

Foreign currency differences arising on retranslation are generally recognised in profit or loss. However, foreign currency differences arising from the retranslation of the following items are recognised in other comprehensive income:

Available-for-sale equity investments (except on impairment in which case foreign currency differences that have been recognised in other comprehensive income are reclassified to profit or loss);

A financial liability designated as a hedge of the net investment in a foreign operation to the extent that the hedge is effective; or

Qualifying cash flow hedges to the extent the hedge is effective.

(b) Foreign operations

The assets and liabilities of foreign operations, including goodwill and fair value adjustments arising on acquisition, are translated to euro at exchange rates at the reporting date. The income and expenses of foreign operations are translated to euro at exchange rates at the dates of the transactions.

Foreign currency differences are recognised in other comprehensive income, and presented in the foreign currency translation reserve (translation reserve) in equity. However, if the foreign operation is a non-wholly owned subsidiary, then the relevant proportion of the translation difference is allocated to non-controlling interests. When a foreign operation is disposed of such that control, significant influence or joint control is lost, the cumulative amount in the translation reserve related to that foreign operation is reclassified to profit or loss as part of the gain or loss on disposal. When the Group disposes of only part of its interest in a subsidiary that includes a foreign operation while retaining control, the relevant proportion of the cumulative amount is reattributed to non-controlling interests. When the Group disposes of only part of its investment in an associate or joint venture that includes a foreign operation while retaining significant influence or joint control, the relevant proportion of

the cumulative amount is reclassified to profit or loss.

When the settlement of a monetary item receivable from or payable to a foreign operation is neither planned nor likely in the foreseeable future, foreign currency gains and losses arising from such item are considered to form part of the net investment in the foreign operation and are recognised in other comprehensive income, and presented in the translation reserve in equity.

3.4 Financial Instruments

3.4.1 Non derivative financial assets

The Group initially recognizes loans and advances, deposits, debt securities issued and subordinated liabilities on the date at which they are originated. All the financial assets and liabilities other than regular way purchases and sales are recognized on the trade at which the Group becomes a party to the contractual provisions of the instruments.

The Group derecognises a financial asset when the contractual rights to the cash flows from the asset expire, or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all the risks and rewards of ownership of the financial asset are transferred. Any interest in such transferred financial assets that is created or retained by the Group is recognised as a separate asset or liability.

The Group classifies non-derivative financial assets into the following categories: financial assets at fair value

through profit or loss, held-to-maturity financial assets, loans and receivables and available-for-sale financial assets.

(a) Financial assets at fair value through profit or loss

A financial asset is classified at fair value through profit or loss if it is classified as held for trading or is designated as such upon initial recognition. Financial assets are designated at fair value through profit or loss if the Group manages such investments and makes purchase and sale decisions based on their fair value in accordance with the Group's documented risk management or investment strategy. Upon initial recognition, transaction costs are recognized in profit or loss as incurred.

Financial assets at fair value through profit or loss are measured at fair value, and subsequent therein are recognized in profit or loss.

(b) Held-to-maturity financial assets

If the Group has the positive intent and ability to hold debt securities to maturity, then such financial assets are classified as held-to-maturity. Held-to-maturity financial assets are recognized initially at fair value plus any directly attributable transaction costs. Subsequent to initial recognition held to-maturity financial assets are measured at amortized cost using the effective interest method, less any impairment losses.

Any sale or reclassification of a more than insignificant amount of held-to-maturity investments not close to their maturity would result in the reclassification of all held-to-maturity

investments as available-for-sale, and prevent the Group from classifying investment securities as held-to-maturity for the current and the following two financial years.

(c) Loans and receivables

Loans and receivables are financial assets with fixed or determinable payments that are not quoted in an active market. Such assets are recognized initially at fair value plus any directly attributable transaction costs. Subsequent to initial recognition loans and receivables are measured at amortized cost using the effective interest method, less any impairment losses.

However, loans which are payable on demand no adjustments have made since fair value of loan is equal to the cost/granted amount.

Loans and receivables of the Group comprise of the following,

Advances and Other Loans to Customers

Advances and other loans to customers comprised of revolving loans & loans payable on demand. Revolving loans & loans payable on demand to customers are reflected in the Balance Sheet at amounts disbursed less repayments and provision for doubtful debts.

Trade Receivables

Trade and other receivables are stated at the amounts they are estimated to realize, net of provisions for bad and doubtful receivables. A provision for doubtful debts is made

Notes to the Financial Statements *Contd.*

where as there is objective evidence that the Company will not be able to recover all amounts due according to the original terms of receivables. Bad debts are written-off when identified.

Cash and Cash Equivalents

Cash and cash equivalents comprise of cash in hand and cash at banks and other highly liquid financial assets which are held for the purpose of meeting short-term cash commitments with original maturities of less than three months which are subject to insignificant risk of changes in their fair value.

Bank overdrafts that are repayable on demand and form an integral part of the Group cash management are included as a component of cash and cash equivalents for the purpose of the statement of cash flows.

(d) Available-for-sale financial assets

Available-for-sale financial assets are non-derivative financial assets that are designated as available for- sale and that are not classified in any of the previous categories.

Subsequent to initial recognition, these are measured at fair value and changes therein, other than impairment losses are recognized in other comprehensive income and presented within equity in the fair value reserve. When an investment is derecognized, the cumulative gain or loss in other comprehensive income is transferred to profit or loss.

3.4.2 Financial Liabilities

The Group initially recognizes debt

securities and Loans & Borrowings on the date that they are originated. All other financial liabilities are recognized at initially on the trade date, which is the date that the Group becomes party to the contractual provisions of the instruments.

The Group derecognizes a financial liability when its contractual obligations are discharged, cancelled or expired.

The Group classifies non-derivative financial liabilities into the other financial liabilities category. Such financial liabilities are recognised initially at fair value less any directly attributable transaction costs. Subsequent to initial recognition, these financial liabilities are measured at amortised cost using the effective interest method.

Other financial liabilities comprise of Loans & Borrowings and Bank Overdraft.

3.4.3 De-recognition

The Group derecognizes a financial asset when the contractual rights to the cash flows from the financial asset expire, or when it transfers the financial asset in a transaction in which substantially all the risks and rewards of ownership of the financial asset are transferred or in which the Group neither transfers nor retains substantially all the risks and rewards of ownership and it does not retain control of the financial asset. Any interest in transferred financial assets that qualify for de-recognition that is created or retained by the Group is recognized as a separate asset or liability in the statement of financial position. On de-recognition of a financial asset, the

difference between the carrying amount of the asset (or the carrying amount allocated to the portion of the asset transferred), and the sum of

- (i) the consideration received (including any new asset obtained less any new liability assumed) and
- (ii) any cumulative gain or loss that had been recognized in other comprehensive income is recognized in profit or loss.

The Group enters into transactions whereby it transfers assets recognized on its statement of financial position, but retains either all or substantially all of the risks and rewards of the transferred assets or a portion of them. If all or substantially all risks and rewards are retained, then the transferred assets are not derecognized.

In transactions in which the Group neither retains nor transfers substantially all the risks and rewards of ownership of a financial asset and it retains control over the asset, the Group continues to recognize the asset to the extent of its continuing involvement, determined by the extent to which it is exposed to changes in the value of the transferred asset.

The Group derecognizes a financial liability when its contractual obligations are discharged or cancelled or expire.

3.4.4 Offsetting

Financial assets and liabilities are offset and the net amount presented in the statement of financial position when, and only when, the Group has a legal right to offset the amounts and intends either to settle on a net basis or to

realize the asset and settle the liability simultaneously.

3.4.5 Amortized cost measurement

The amortized cost of a financial asset or liability is the amount at which the financial asset or liability is measured at initial recognition, minus principal repayments, plus or minus the cumulative amortization using the effective interest method of any difference between the initial amount recognized and the maturity amount, minus any reduction for impairment.

3.4.6 Fair value measurement

Fair value is the amount for which an asset could be exchanged, or a liability settled, between knowledgeable, willing parties in an arm's length transaction on the measurement date.

When available, the Group measures the fair value of an instrument using quoted prices in an active market for that instrument. A market is regarded as active if quoted prices are readily and regularly available and represent actual and regularly occurring market transactions on an arm's length basis.

If a market for a financial instrument is not active, the Group establishes fair value using a valuation technique. Valuation techniques include using recent arm's length transactions between knowledgeable, willing parties (if available), reference to the current fair value of other instruments that are substantially the same, discounted cash flow analyses and other equity pricing models.

The chosen valuation technique makes

maximum use of market inputs, relies as little as possible on estimates specific to the Group, incorporates all factors that market participants would consider in setting a price, and is consistent with accepted economic methodologies for pricing financial instruments.

The best evidence of the fair value of a financial instrument at initial recognition is the transaction price, i.e. the fair value of the consideration given or received, unless the fair value of that instrument is evidenced by comparison with other observable current market transactions in the same instrument or based on a valuation technique whose variables include only data from observable markets. When transaction price provides the best evidence of fair value at initial recognition, the financial instrument is initially measured at the transaction price and any difference between this price and the value initially obtained from a valuation model is subsequently recognized in profit or loss.

3.4.7 Valuation of Financial Instruments

The Group measures the fair values using the following fair value hierarchy that reflects the significance of the inputs used in making the measurements.

Level 1 – Quoted market price (unadjusted) in an active market of an identical instrument.

Level 2 – Valuation techniques based on observable inputs, either directly (i.e., as prices) or indirectly (i.e., derived from prices), this category included instruments valued using: quoted

market prices in active markets similar instruments; quoted prices for identical or similar instruments in markets are considered less than active: or other valuation techniques where all significant inputs are directly observable from market data.

Level 3 – Valuation techniques use significant unobservable inputs. This category includes all instruments where the valuation technique includes inputs not based on observable data and the unobservable inputs have a significant effect on the instrument's valuation.

This category includes instruments that are valued based on quoted prices for similar instruments where significant unobservable adjustments or assumptions are required to reflect differences between the instruments.

Fair values of financial assets and financial liabilities that are traded in active markets are based on quoted market prices or dealer price quotations. For all other financial instruments the Group determines fair values using valuation techniques.

Valuation techniques include net present value and discounted cash flow models, comparison to similar instruments for which market observable prices exist, other equity pricing models and other valuation models. Assumptions and inputs used in valuation technique include risk free and bench mark interest rates, credit spreads and other premium used in estimating discount rates, bond and other equity prices, foreign currency exchange rates, equity and equity index prices and expected price volatilities and correlations.

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The objective of valuation techniques is to arrive at a fair value determination that reflects the price of the financial instruments at the reporting date that would have been determined by market participants acting at arm's length.

The Group widely recognized valuation models for determining the fair value

of common and more simple financial instruments. Observable prices and model inputs are usually available in the market for listed debt and equity securities. Availability of observable market inputs reduces the need of management judgment and estimation and also reduces the uncertainty

associated with determination of fair values. Availability of observable market prices and inputs varies depending on the products and markets are prone to changes based on specific events and general conditions in the financial markets.

The table below shows the different basis used in assessing the fair value of financial instruments,

Instrument category	Fair value basis and assumptions	Fair value hierarchy
Financial Assets		
Fair value through profit or loss		
Trading equity shares	Valued using market prices / yields	Level 1
Treasury Bonds		
Treasury Bills		
Loans and receivables		
Loans receivables	Stated at amortized cost	
Staff loans	Stated at amortized cost	
	Loan given to employees at below market rate will be identified at market rate by discounting the loan at market rate. The group companies used 18% rate for this purpose.	
- Repo investments	Stated at amortized cost	
- Commercial papers	Stated at amortized cost	
- Debentures	Stated at amortized cost	
Held to Maturity	Stated at amortized cost	
Financial Liabilities		
Other Financial Liabilities (Borrowings)	Stated at amortized cost	

3.4.8 Identification and measurement of impairment of financial assets

At each reporting date the Group assesses whether there is objective evidence that financial assets not carried at fair value through profit or loss are impaired. A financial asset or a group of financial assets is (are)

impaired when objective evidence demonstrates that a loss event has occurred after the initial recognition of the asset(s), and that the loss event has an impact on the future cash flows of the asset(s) that can be estimated reliably.

Objective evidence that financial assets (including equity securities) are impaired

can include significant financial difficulty of the borrower or issuer, default or delinquency by a borrower, restructuring of a loan or advance by the Group on terms that the Group would not otherwise consider, indications that a borrower or issuer will enter bankruptcy, the disappearance of an active market for a security, or other observable data relating to a group of assets such as

adverse changes in the payment status of borrowers or issuers in the group of economic conditions that correlate with defaults in the group. In addition, for an investment in an equity security, a significant or prolonged decline in its fair value below its cost is objective evidence of impairment.

(i) Financial assets measured at amortised cost

The Group considers evidence of impairment for loans and advances at both a specific and collective basis. All individually significant loans and advances and held-to-maturity investment securities are assessed for specific impairment. All individually significant loans and advances and held-to-maturity investment securities found not to be specifically impaired are then collectively assessed for any impairment that has been incurred but not yet identified.

Loans and advances that are not individually significant are collectively assessed for impairment by grouping them together with similar risk characteristics based on product types.

In assessing collective impairment the Group uses statistical modeling of historical trends of the probability of default, timing of recoveries and the amount of loss incurred, adjusted for management's judgment as to whether current economic and credit conditions are such that the actual losses are likely

to be greater or less than suggested by historical modeling. Default rates, loss rates and the expected timing of future recoveries are regularly taken into account to ensure that they remain appropriate.

Impairment losses on assets carried at amortized cost are measured as the difference between the carrying amount of the financial asset and the present value of estimated future cash flows discounted at the asset's original effective interest rate. Impairment losses are recognized in profit or loss and reflected in an allowance account against loans and advances. Interest on impaired assets continues to be recognized through the unwinding of the discount. When a subsequent event causes the amount of impairment loss to decrease, the decrease in impairment loss is reversed through profit or loss.

(ii) Available-for-sale financial assets

Impairment losses on available-for-sale investment securities are recognized by transferring the cumulative loss that has been recognized in other comprehensive income to profit or loss as a re-classification adjustment. The cumulative loss that is reclassified from other comprehensive income to profit or loss is the difference

between the acquisition cost, net of any principal repayment and amortization, and the current fair value, less any impairment loss previously recognized

in profit or loss. Changes in impairment provisions attributable to time value are reflected as a component of interest income.

If, in a subsequent period, the fair value of an impaired available-for-sale debt security increases and the increase can be objectively related to an event occurring after the impairment loss was recognized in profit or loss, the impairment loss is reversed, with the amount of the reversal recognized in profit or loss. However, any subsequent recovery in the fair value of an impaired available-for-sale equity security is recognized in other comprehensive income.

3.4.9 Impairment of Non-financial Assets

The carrying amounts of the Company's Non-Financial Assets are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the assets' recoverable amount is estimated. An impairment loss is recognized if the carrying amount of an asset or its related Cash-Generating Unit (CGU) exceeds its estimated recoverable amount.

The Company's corporate assets do not generate separate cash inflows and are utilized by more than one CGU. Corporate assets are allocated to CGUs on a reasonable and consistent basis and tested for impairment as part of

Notes to the Financial Statements *Contd.*

the testing of the CGU to which the corporate asset is allocated.

Impairment losses are recognized in profit or loss. Impairment losses recognized in respect of CGUs are allocated first to reduce the carrying amount of any goodwill allocated to the CGU (group of CGUs), and then to reduce the carrying amounts of the other assets in the CGU (group of CGUs) on a pro rata basis.

Impairment losses recognized in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation, if no impairment loss had been recognized.

3.5 Property, Plant and Equipment

3.5.1 Freehold Property, Plant & Equipment

(a) Basis of Recognition

Property, plant and equipment are recognized if it is probable that future economic benefits associated with the asset will flow to the Group and cost of the asset can be reliably measured.

(b) Basis of Measurement

Items of property, plant and equipment are measured at cost/revaluation less accumulated depreciation/ impairment losses.

Cost includes expenditure that is directly attributable to the acquisition of the asset. The cost of self-constructed assets includes the cost of materials and direct labour, any other costs directly attributable to bringing the assets to a working condition for their intended use, the costs of dismantling and removing the items and restoring the site on which they are located and capitalized borrowing costs.

Purchased software that is integral to the functionality of the related equipment is capitalized as part of that equipment.

When parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items of property, plant and equipment.

Land and buildings are measured at fair value less accumulated depreciation on buildings and impairment charged subsequent to the date of revaluation.

The Group applies the cost model to all other plant and machinery which; records at cost of purchase together with any incidental expenses thereon less any accumulated depreciation and accumulated impairment losses.

(c) Subsequent Costs

The cost of replacing part of an item of property, plant and equipment is recognized in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Group and its cost can be measured reliably. The carrying amount of the replaced part is de-recognized. The costs of the day-to-day servicing of property, plant and equipment are recognized in profit or loss as incurred.

(d) Reclassification to investment property

When the use of a property changes from owner-occupied to investment property, the property is re-measured to fair value and reclassified as investment property. Any gain arising on re-measurement is recognized in profit or loss to the extent that it reverses a previous impairment loss on the specific property, with any remaining gain recognized and presented in the revaluation reserve in equity. Any loss is recognized immediately in profit or loss.

(e) Depreciation

Depreciation is based on the cost of an asset less its residual value. Significant components of individual assets are assessed and if a component has a useful life that is different from the remainder of that asset, that component is depreciated separately.

Depreciation is recognized in profit

or loss on a straight-line basis over the estimated useful life of each component of an item of property, plant and equipment. Leased assets are depreciated over the shorter of the lease term and their useful lives unless it is reasonably certain that the Group will obtain ownership by the end of the lease term. Lands are not depreciated.

Depreciation of an asset begins when it is available for use and ceases at the earlier of the date that the asset is classified as held for sale and the date that the asset is de-recognized.

Depreciation methods, useful life values are assessed at the reporting date. The estimated useful lives for the current year are as follows.

Land Development Cost	10 Years
Building on Freehold Land	10-50 Years
Plant & Machinery	10-15 Years
Tools & Equipment	5-18 Years
Furniture Fittings & Office Equipment	5-7 Years
Motor Vehicles	3-6 Years
Waste Water Purification Project	15 Years
Kilns & Kiln Furniture	3-15 Years
Computer Equipment	1-5 Years
Generator	5 Years

(f) De-recognition

An item of property, plant and equipment is de-recognized upon disposal or when no future economic benefits are expected from its use or disposal.

The gain or loss on disposal of an item of property, plant and equipment is determined by comparing the proceeds from disposal with the carrying amount of the property, plant and equipment, is recognized net within other income/other expenses in the income statement. When revalued assets are sold, the amounts included in the revaluation surplus reserve are transferred to retained earnings.

3.5.2 Biological Assets

The entity recognizes the biological assets when, and only when, the entity controls the assets as a result of a past event, it is probable that future economic benefits associated with the assets will flow to the entity and the fair value for cost of the assets can be measured reliably. Biological assets are classified into mature biological assets and immature biological assets. Mature biological assets are those that have attained harvestable specifications or are able to sustain regular harvests. Immature biological assets are those that have not yet attained harvestable specifications.

The cost of the land preparation, rehabilitation, new planting, replanting, crop diversifications, inter-planting and fertilizing, etc., incurred between the time of planting and harvesting (when the planted area attains maturity), are classified as immature plantations. These immature plantations are shown at direct costs plus attributable

overheads, including interest attributable to long-term loans used for financing immature plantations. The expenditure incurred on bearer biological assets (Tea, Rubber fields) which comes into bearing during the year, is transferred to mature plantations. Expenditure incurred on consumable biological assets is recorded at cost at initial recognition and thereafter at fair value at the end of each reporting period.

Biological assets are classified as consumable biological assets.

Consumable Biological Assets

Consumable biological assets include managed timber trees that are to be sold as biological assets. The managed timber trees are measured on initial recognition and at the end of each reporting period at its fair value less cost to sell in terms of LKAS 41. The cost is treated as approximation to fair value of young plants as the impact on biological transformation of such plants to price during this period is immaterial.

The gain or loss arising on initial recognition of biological assets at fair value less cost to sell and from a change in fair value less cost to sell of biological assets are included in Comprehensive Income Statement for the period in which it arises.

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3.6 Investment Properties

(a) Basis of Recognition

Investment property is property held either to earn rental income or for capital appreciation or for both, but not for sale in the ordinary course of business, use in the production or supply of goods or services or for administrative purposes.

Investment properties are measured initially at cost, including transaction costs. The carrying value of an investment property includes the cost of replacing part of an existing investment property, at the time that cost is incurred if the recognition criteria are met, and excludes the costs of day-to-day servicing of the investment property. Subsequent to initial recognition, the investment properties are measured at fair value.

Gains or losses arising from changes in fair value are included in the income statement in the year in which they arise. Fair values are evaluated at frequent intervals by an accredited external, independent valuer.

(b) De-recognition

Investment properties are de-recognized when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognized

in the Income Statement in the year of retirement or disposal.

(c) Subsequent Transfers to/from Investment Property

Transfers are made to investment property when, and only when, there is a change in use, evidenced by the end of owner occupation, commencement of an operating lease to another party or completion of construction or development.

Transfers are made from investment property when, and only when, there is a change in use, evidenced by commencement of owner occupation or commencement of development with a view to sale.

(d) Determining Fair Value

External and independent valuers, having appropriate recognized professional qualifications and recent experience in the location and category of property being valued, values the investment property portfolio on an annual basis.

The fair values are based on market values, being the estimated amount for which a property could be exchanged on the date of the valuation between a willing buyer and a willing seller in an arm's length transaction after proper marketing wherein the parties had each acted knowledgeably.

3.7 Intangible Assets

(a) Basis of Recognition

An Intangible Asset is recognized if it is probable that future economic benefits that are attributable to the assets will flow to the entity and the cost of the assets can be measured reliably.

(b) Basis of Measurement

Intangible assets acquired separately are measured as initial recognition at cost. Following initial recognition intangible assets are carried at cost less any accumulated amortization and any accumulated impairment losses. The useful life of intangible assets is assessed to be either finite or indefinite. Intangible assets with finite useful life are amortized over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortization period and the method for an intangible asset with a finite useful life is reviewed at least at each financial year end. Intangible assets with indefinite useful lives are tested for impairment annually either individually or at the cash generating unit level.

(c) Subsequent Expenditure

Subsequent expenditure on intangible assets is capitalized only when it increases the future economic benefits embodied these assets. All other expenditure is expensed when incurred.

(d) De-recognition

Intangible assets are de-recognized on disposal or when no future economic benefits are expected from its use. The gain or loss arising from de-recognition of intangible assets are measured as difference between the net disposal proceeds and the carrying amount of the asset.

(e) Amortization

Amortization is recognized in the income statement on a straight-line basis over the estimated useful lives of intangible assets, other than goodwill, from the date that they are available for use.

The estimated useful life of each intangible asset is as follows;

Computer Software

Amortization methods, useful lives and residual values are reviewed at each reporting date and adjusted if appropriate.

Brand Name / Goodwill

Goodwill that arises on the acquisition of subsidiaries is presented with intangible assets. For the measurement of goodwill at initial recognition, see note "Business Combinations"

(f) Subsequent measurement

Goodwill is measured at carrying value less accumulated impairment losses. In respect of equity accounted investees, the carrying amount of goodwill is included in the carrying amount of the

investment, and any impairment loss is allocated to the carrying amount of the equity accounted investee as a whole.

3.8 Inventories

Inventories are valued at the lower of cost and net realisable value, after making due allowances for obsolete and slow moving items. Net realisable value is the price at which inventories can be sold in the ordinary course of business less the estimated cost of completion and the estimated cost necessary to make the sale.

The cost incurred in bringing inventories to its present location and condition is accounted using the following cost formulae:-

Raw Materials

At purchase cost on weighted average basis

Finished Goods & Work-in-Progress

At the cost of direct materials, direct labour and an appropriate proportion of fixed production overheads based on normal operating capacity, but excluding borrowing Costs.

Consumables & Spares

At purchase cost on weighted average basis.

Goods in Transit

At purchase price.

3.9 Other Non-financial Liabilities and Provisions

Liabilities are recognized in the statement of financial position when there is a present obligation as a result of a past event, the settlement of which is expected to result in an outflow of resources embodying economic benefits. Obligations payable at the demand of the creditor within one year of the reporting date are treated as current liabilities. Liabilities payable after one year from the reporting date are treated as non-current liabilities.

3.9.1 Employee benefits**(a) Defined contribution plans**

A Defined Contribution Plan is a post-employment benefit plan under which an entity pays fixed contributions into a separate entity and will have no legal or constructive obligation to pay further amounts. Obligations for contributions to Defined Contribution Plans are recognized as an employee benefit expense in the income statement in the periods during which services are rendered by employees.

(i) Employees' Provident Fund (EPF)

The Group and employees contribute 12%/15% and 8%/10% respectively on the salary of each employee to the above mentioned fund.

(ii) Employees' Trust Fund (ETF)

The Company / Group contribute 3% of the salary of each employee to the

Notes to the Financial Statements *Contd.*

Employees' Trust Fund.

(b) Defined benefits plans

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The Company's net obligation in respect of defined benefit pension plans is calculated by estimating the amount of future benefit that employees have earned in return for their service in the current and prior periods; that benefit is discounted to determine its present value. Any unrecognized past service costs are deducted.

The calculation is performed each year by a qualified actuary using the projected unit credit method. For the purpose of determining the charge for any period before the next regular actuarial valuation falls due, an approximate estimate provided by the qualified actuary is used.

The Group recognizes all actuarial gains and losses arising from the defined benefit plan immediately in other comprehensive income (OCI) and all other expenses related to defined benefit plans are recognize as personnel expenses in income statement. This retirement benefit obligation is not externally funded.

3.9.2 Accounts Payables and Accrued Expenses

Trade and other payables are stated at cost.

3.9.3 Provisions

Provisions are made for all obligations existing as at the Balance Sheet date when it is probable that such an obligation will result in an outflow of resources and a reliable estimate can be made of the quantum of the outflow. All contingent liabilities are disclosed as a note to the Financial Statements unless the outflow of resources is remote. Contingent assets are disclosed, where inflow of economic benefit is probable.

3.10 Income Statement

3.10.1 Revenue Recognition

Revenue is recognized to the extent that it is probable that the economic benefits will flow to the Group, and the revenue and associated costs incurred or to be incurred can be reliably measured. Revenue is measured at the fair value of the consideration received or receivable, net of trade discounts and value added taxes, after eliminating sales within the Group.

The following specific criteria are used for recognition of revenue:

(a) Sale of goods

Revenue from the sale of goods is recognized when the significant risk and rewards of ownership of the goods have passed to the buyer with the

Group retaining neither a continuing managerial involvement to the degree usually associated with ownership, nor an effective control over the goods sold. If it is probable that discounts will be granted and the amount can be measured reliably, then the discount is recognised as a reduction of revenue as the sales are recognised.

(b) Rendering of services

Revenue from rendering of services is recognised by reference to the stage of completion. Where the contract outcome cannot be measured reliably, revenue is recognised only to the extent that the expenses incurred are eligible to be recovered.

(c) Dividend Income

Dividend income is recognised when the Group's right to receive the payment is established.

(d) Commissions

When the Group acts in the capacity of an agent rather than as the principal in a transaction, the revenue recognised is the net amount of commission made by the Group.

(e) Rental income

Rental income arising from operating leases on investment properties is accounted for on a straight-line basis over the lease terms. Rental income from other property is recognised as other income.

(f) Gains and losses

Net gains and losses of a revenue nature arising from the disposal of property, plant and equipment and other non-current assets, including biological assets, investments, are accounted for in the income statement, after deducting from the proceeds on disposal, the carrying amount of such assets and the related selling expenses.

(g) Other income

Other income is recognised on an accrual basis.

3.10.2 Expenses Recognition

Expenses are recognized in the Statement of Profit or Loss and Other Comprehensive Income on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in the running of the business and in maintaining the property, plant & equipment in a state of efficiency has been charged to income in arriving at the profit for the year.

Repairs and renewals are charged to the profit or loss in the year in which the expenditure is incurred.

3.10.3 Finance income and finance costs

Finance income comprises interest income on funds invested (including available-for-sale financial assets), dividend income, gains on the disposal of available-for-sale financial assets,

fair value gains on financial assets at fair value through profit or loss, gains on the re-measurement to fair value of any pre-existing interest in an acquiree in a business combination, gains on hedging instruments that are recognised in profit or loss and reclassifications of net gains previously recognised in other comprehensive income. Interest income is recognised as it accrues in profit or loss, using the effective interest method. Dividend income is recognised in profit or loss on the date that the Group's right to receive payment is established, which in the case of quoted securities is normally the ex-dividend date.

Finance costs comprise interest expense on borrowings, unwinding of the discount on provisions and deferred consideration, losses on disposal of available-for-sale financial assets, dividends on preference shares classified as liabilities, fair value losses on financial assets at fair value through profit or loss and contingent consideration, impairment losses recognised on financial assets (other than trade receivables), losses on hedging instruments that are recognised in profit or loss and reclassifications of net losses previously recognised in other comprehensive income.

Borrowing costs that are not directly attributable to the acquisition, construction or production of a qualifying asset are recognised in profit or loss using the effective interest

method.

Foreign currency gains and losses on financial assets and financial liabilities are reported on a net basis as either finance income or finance cost depending on whether foreign currency movements are in a net gain or net loss position.

3.10.4 Government grants

An unconditional government grant related to a biological asset is recognised in profit or loss as other income when the grant becomes receivable. Other government grants are recognised initially as deferred income at fair value when there is reasonable assurance that they will be received and the Group will comply with the conditions associated with the grant, and are then recognised in profit or loss as other income on a systematic basis over the useful life of the asset.

Grants that compensate the Group for expenses incurred are recognised in profit or loss as other income on a systematic basis in the periods in which the expenses are recognised.

3.10.5 Leases

(a) Leased assets

Assets held by the Group under leases which transfer to the Group substantially all of the risks and rewards of ownership are classified as finance leases. On initial recognition, the leased asset is measured at an amount equal to the

Notes to the Financial Statements *Contd.*

lower of its fair value and the present value of the minimum lease payments. Subsequent to initial recognition, the asset is accounted for in accordance with the accounting policy applicable to that asset.

Assets held under other leases are classified as operating leases and are not recognised in the Group's statement of financial position.

(b) Lease payments

Payments made under operating leases are recognised in profit or loss on a straight-line basis over the term of the lease. Lease incentives received are recognised as an integral part of the total lease expense, over the term of the lease.

Minimum lease payments made under finance leases are apportioned between the finance expense and the reduction of the outstanding liability. The finance expense is allocated to each period during the lease term so as to produce a constant periodic rate of interest on the remaining balance of the liability.

3.10.6 Tax

Tax expense comprises of current, deferred tax and other statutory taxes. Income tax expense is recognized in income statement except to the extent that it relates to items recognized directly in equity or in other comprehensive income.

(a) Current Tax

Current tax is the expected tax payable or receivable on the taxable income or loss for the year, using tax rates enacted or substantively enacted at the reporting date, and any adjustment to tax payable in respect of previous years. Current tax payable also includes any tax liability arising from the tax on dividend income.

The provision for income tax is based on the elements of income and expenditure as reported in the Financial Statements and computed in accordance with the provisions of the Inland Revenue Act. No 10 of 2006 and subsequent amendments thereto.

Current tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the Commissioner General of Inland Revenue.

(b) Deferred Tax

Deferred tax is recognized in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes.

Deferred tax is not recognized for:

Temporary differences on the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss;

Temporary differences related to investments in subsidiaries and jointly

controlled entities to the extent that it is probable that they will not reverse in the foreseeable future; and

Taxable temporary differences arising on the initial recognition of goodwill.

Taxable temporary differences arising on subsidiaries, associates or joint ventures who have not distributed their entire profits to the parent or investor.

Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date.

Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset current tax liabilities and assets, and they relate to income taxes levied by the same tax authority on the same taxable entity, or on different tax entities, but they intend to settle current tax liabilities and assets on a net basis or their tax assets and liabilities will be realized simultaneously.

A deferred tax asset is recognized for unused tax losses, tax credits and deductible temporary differences, to the extent that it is probable that future taxable profits will be available against which they can be utilized. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefits will be realized.

Deferred tax assets and liabilities are not discounted.

The net increase in the carrying amount of deferred tax liability net of deferred tax asset is recognized as deferred tax expense and conversely any net decrease is recognized as reversal to deferred tax expense, in the income statement.

(c) Withholding Tax on Dividends

Dividend distributed out of taxable profit of the local companies attracts a 10% deduction at source and is not available for set off against the tax liability of the Company. Withholding tax that arises from the distribution of dividends by the Company is recognized at the same time as the liability to pay the related dividend is recognized.

(d) Economic Service Charge (ESC)

As per the provisions of Economic Service Charge Act No. 13 of 2006 amendments thereto, ESC is payable on the liable turnover at specified rates. ESC is deductible from the income tax liability. Any unclaimed amount can be carried forward and set off against the income tax payable in the three subsequent years as per the relevant provision in the Act.

3.10.7 Borrowing Costs

Borrowing costs that are directly attributable to the acquisition, construction or production of qualifying assets that take a substantial period

of time to get ready for its intended use or sale, are capitalized as part of the assets.

Borrowing costs that are not directly attributable to the acquisition, construction or production of a qualifying asset are recognized in profit or loss using the effective interest method.

3.10.8 Earnings per Share

The Company presents basic and diluted earnings per share data for its ordinary shares. Basic earnings per share is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the year. Diluted earnings per share is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding, for the effects of all dilutive potential ordinary shares.

3.11 Statement of Cash Flows

The Statement of Cash Flows has been prepared using the 'Indirect Method' of preparing Cash Flows in accordance with the Sri Lanka Accounting Standard No. 09 'Statements of Cash Flows.' Cash and cash equivalents comprise short term, highly liquid investments that are readily convertible to known

amounts of cash and are subject to an insignificant risk of changes in value.

Cash and cash equivalents comprise of cash in hand and cash at banks and other highly liquid financial assets which are held for the purpose of meeting short-term cash commitments with original maturities of less than three months which are subject to insignificant risk of changes in their fair value.

3.12 Related Party Disclosures

(a) Transactions with Related Parties

The Company carries out transactions in the ordinary course of its business with parties who are defined as related parties in Sri Lanka Accounting Standard No. 24. The Pricing applicable to such transactions is based on the assessment of the risk and pricing model of the Company and is comparable with what is applied to transactions between the Company and its unrelated Customers.

(b) Transactions with Key Management Personnel

According to Sri Lanka Accounting Standard No. 24 "Related Party Disclosures", Key management personnel, are those having authority and responsibility for planning, directing and controlling the activities of the entity. Accordingly, the Board of Directors (including executive and non-executive

Notes to the Financial Statements *Contd.*

Directors), personnel hold designation of Divisional General Manager and above positions and their immediate family member have been classified as Key Management Personnel of the Company.

The immediate family member is defined as spouse or dependent. Dependent is defined as anyone who depends on the respective Director for more than 50% of his/her financial needs.

3.13 Segment reporting

An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Group's other components. All operating segments operating results are reviewed regularly by Group Board of Directors to make decisions about resources to be allocated to the segment and to assess its performance, and for which discrete financial information is available.

Accordingly, the Group is organized into business units based on their products and services and has eight reportable operating segments as follows:

Money Broking:

Taprobane Investments (Pvt) Ltd

Stock Broking:

Taprobane Securities (Pvt) Ltd

Manufacturing Textile:

South Asia Textiles Ltd

Manufacturing Porcelain:

Dankotuwa Porcelain PLC and Royal Fernwood Porcelain Ltd and its Subsidiaries

Manufacturing Footwear:

Ceylon Leather Products PLC and Palla & Company (Pvt) Ltd (Discontinued in 2016)

Investments:

Taprobane Holdings PLC, Taprobane Equities (Pvt) Ltd, Lexinton Holdings (Pvt) Ltd, Lanka Century Investments PLC, Taprobane Capital (Pvt) Ltd and Olancom (Pvt) Ltd

Property:

Colombo City Holdings PLC, Lexinton Resorts (Pvt) Ltd

Others:

Roomsnet International Ltd (Discontinued Operations), Taprobane Wealth Plus (Pvt) Ltd, Lexinton Financial Services (Pvt) Ltd, Heron Agro Products (Pvt) Ltd

Segment results, assets and liabilities include items directly attributable to a segment as well as those that can be allocated on a reasonable basis. Segment capital expenditure is the total cost incurred during the period to acquire segment assets that are expected to be used for more than one period.

Expenses that cannot be directly

identified to a particular segment are allocated on bases decided by the management and applied consistently throughout the year.

3.14 Events after the Reporting Period

All material events occurring after the reporting period have been considered and where appropriate adjustments or disclosures have been made in the respective Notes to the Financial Statements.

3.15 Commitments and Contingencies

All discernible risks are accounted for in determining the amount of all known liabilities. Contingent Liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be reliably measured. Contingent Liabilities are not recognized in the Statement of Financial Position but are disclosed unless they are remote.

3.16 New Accounting Standards issued but not Effective as at the reporting date

The following new accounting standards and amendments/ improvements to existing standards which have been issued by the Institute of Chartered

Accountants of Sri Lanka (CASL) are not effective. None of these have been early adopted by the Group.

Accounting Standards Issued not yet Effective

SLFRS 9 - Financial Instruments

SLFRS 9 replaces the existing guidance in LKAS 39 Financial Instruments: Recognition and Measurement. SLFRS 9 includes revised guidance on the classification and measurement of financial instruments, a new expected credit loss model for calculating impairment on financial assets and new general hedge accounting requirements. It also carries forward the guidance on recognition and derecognition of financial instruments from LKAS 39. SLFRS 9 is effective for annual reporting periods beginning on or after 1st January 2018, with early adoption permitted.

SLFRS 15 - Revenue from Contracts with Customers

SLFRS 15 establishes a comprehensive framework for determining whether, how much and when revenue is recognised. It replaces existing revenue recognition guidance, including LKAS 18 Revenue, LKAS 11 Construction Contracts and IFRIC 13 Customer Loyalty Programmes.

SLFRS 15 is effective for annual reporting periods beginning on or after 1st January 2018, with early adoption permitted.

SLFRS 16: Leases

SLFRS 16 specifies how an entity will recognise, measure, present and disclose leases. The standard provides a single lessee accounting model requiring lessees recognise assets and liabilities for all leases unless the term is 12 months or less or the underlying asset has a lower value. The Lessors continue to classify leases as operating or finance as SLFRS 16's approach for lessor accounting substantially unchanged from its predecessor.

SLFRS 16 is effective for financial reporting periods beginning on or after 1st January 2019, with early adoption permitted.

An external specialist has carried out an awareness session on the possible impact from these standards.

Pending the completion of the detailed impact analysis, possible impact from SLFRS 9, SLFRS 15 and SLFRS 16 is not reasonably estimable as of the reporting date.

Amendments to Existing Standards not yet Effective LKAS 7: Disclosure Initiative - Amendments to LKAS 7

The amendments to LKAS 7: Statement of Cash Flows are a part of the CASL's Disclosure Initiative and require an entity to provide disclosures that enable users of financial statements to evaluate changes in liabilities arising from financing activities, including both changes arising from cash flows

and non cash changes. On initial application of the amendment, entities are not required to provide comparative information for preceding periods. These amendments are effective for annual periods beginning on or after 1st January 2017, with early application permitted. Application of amendments will result in additional disclosure to be provided by the Group.

Notes to the Financial Statements *Contd.*

4. DISCONTINUED OPERATIONS AND ASSETS CLASSIFIED AS HELD FOR SALE

4.1 Discontinued Operations

The Group has discontinued the operations of its operating segment “Services”, “Leisure Management” and “Footwear” in the previous year. Current period Services segment includes the gain from liquidation of Roomsnet International Ltd.

Current period Footware segment includes the clearing activities of Palla and Company (Private) Limited a subsidiary of Ceylon Leather Products PLC and a major line of business under the “footwear manufacturing” segment. The Company suspended its operation with effect from 31 August 2015.

In the Previous year the Group discontinued the operations of its operating segment “Leisure Management” upon disposal of Taprobane Plantations Limited on 31 January 2016.

The results of the subsidiaries in the “Services”, “Leisure Management” and “Manufacturing Footwear” after intercompany eliminations is presented below;

LKR							
	SERVICES	FOOTWEAR	TOTAL	LEISURE MANAGEMENT	SERVICES	FOOTWEAR	TOTAL
	2017	2017	2017	2016	2016	2016	2016
Revenue	-	-	-	96,774,609	26,773,356	2,688,308	126,236,273
Cost of Sales	-	-	-	(77,062,357)	(21,189,872)	(79,496,392)	(177,748,622)
Other Income	-	21,386,214	21,386,214	-	-	160,302	160,302
Selling and Distribution Expenses	-	-	-	(2,554,738)	(1,553,939)	(698,755)	(4,807,431)
Administrative Expenses	-	(45,992,941)	(45,992,941)	(29,069,546)	(6,214,554)	(73,183,733)	(108,467,833)
Finance Cost	-	(1,327,892)	(1,327,892)	-	(275,000)	(2,050,872)	(2,325,872)
Finance Income	-	-	-	-	22,410	-	22,410
Gain on realization of liabilities on subsidiary liquidation	153,224,579	-	153,224,579	-	-	-	-
Gain / (Loss) from disposal of discontinued operations (Note 4.1.1)	-	-	-	23,071,934	(6,258,056)	-	16,813,878
Profit/(loss) before tax from discontinued operations	153,224,579	(25,934,619)	127,289,960	11,159,902	(8,695,655)	(152,581,141)	(150,116,895)
Income tax	-	17,686,340	17,686,340	-	(12,771)	4,437,895	4,425,124
Profit/(Loss) for the year from discontinued operations	153,224,579	(8,248,279)	144,976,300	11,159,902	(8,708,426)	(148,143,246)	(145,691,771)
Profit Attributable to:							
Equity Holders of the Company	121,811,590	(1,735,815)	120,075,775	11,159,902	(8,155,059)	(70,563,351)	(67,558,509)
Non - Controlling Interests	31,412,989	(6,512,464)	24,900,525	-	(553,368)	(77,579,895)	(78,133,263)
	153,224,579	(8,248,279)	144,976,300	11,159,902	(8,708,426)	(148,143,246)	(145,691,771)
Basic Earnings / (Deficit) Per Share - Discontinued Operations	0.12	(0.00)	0.11	0.01	(0.01)	(0.07)	(0.06)
Cash flows							
Operating Activities	-	(41,587,538)	(41,587,538)	(12,556,744)	(926,644)	7,541,326	(5,942,062)
Financing Activities	-	128,546,845	128,546,845	-	-	738,200	738,200
Investing Activities	-	(23,266,660)	(23,266,660)	(1,142,490)	-	(5,283,887)	(6,426,377)
	-	63,692,647	63,692,647	(13,699,234)	(926,644)	2,995,639	(11,630,239)

- 4.1.1** RoomsNet International Ltd, a Company incorporated in the United Kingdom was dissolved following liquidation on 27 July 2016 in the Company's House United Kingdom. Results of the Company up to the date of dissolution is presented below;

	RoomsNet International Ltd LKR
Trade and other receivables	(591,691)
Investments	(2,680,604)
Interest Bearing Borrowings	14,702,509
Trade and other payables	129,275,300
Reclassification from Other Comprehensive Income	18,261,300
Reclassification from Foreign currency translation Reserve	(5,742,234)
Total identifiable Net Assets Liquidated	153,224,580
Non-Controlling Interest Derecognised	-
Gain on Liquidation	153,224,580

4.2 Asset Classified as Held for Sale

The Board of Directors of Colombo City Holdings PLC, a Group's Subsidiary Company at the meeting held on 14 October 2015 decided in principle to dispose the land and buildings owned by the Company at Union Place, Colombo 02 subject to obtaining offers from prospective buyers and obtaining approval from the shareholders. On 01 March 2017, the Company used the services of a licensed surveyor to segregate the Investment Property into 3 Lots. One of the lots was classified as held for sale in accordance with SLFRS 5, as the sale is highly probable.

The Asset and the associated liabilities are as follows;

	LKR
Assets	
Investment Property (Note 17)	945,070,313
	945,070,313
Liabilities	
Refundable deposits	3,732,224
	3,732,224
Net Assets Directly Associated with the Disposal Group	941,338,089

Description of significant unobservable inputs of segregated property is given under note 17

Notes to the Financial Statements *Contd.*

5. Segment Information

Group	Money Broking		Stock Brokering		Manufacturing Textile		Manufacturing Porcelain			Manufacturing Footwear		Investment		Property		Others		Total	
LKR	2017	2016	2017	2016	2017	2016	2017	2016		2017	2016	2017	2016	2017	2016	2017	2016	2017	2016
Total Revenue	79,367,631	89,370,392	22,635,842	37,727,077	6,894,244,210	6,296,476,712	2,364,252,984	2,378,970,723		1,398,761,497	594,000,797	185,272,677	73,944,428	17,013,143	29,370,347	6,273,509	6,370,935	10,967,821,495	9,506,231,410
Segment Results (Gross Profit)	68,696,653	77,734,761	21,408,664	36,238,422	834,755,519	947,420,889	561,367,746	498,965,717		167,265,566	(47,775,728)	183,011,831	68,516,249	12,276,573	22,215,552	6,268,079	(2,074,405)	1,855,050,630	1,601,241,457
Investment and Other Income	484,016	532,437	30,802,570	28,987,333	53,057,991	116,446,484	49,349,439	35,520,017		32,578,076	51,845,483	102,220,764	(28,707,473)	7,384,620	17,376,263	211,698	6,495,967	276,089,174	228,496,511
Losses from Associate	-	-	-	-	-	-	-	-		-	-	-	(1,731,004,866)	-	-	-	-	-	(1,731,004,866)
Finance Cost	-	-	(572,621)	(90,787)	(72,963,988)	(64,241,212)	(38,515,056)	(55,426,999)		(33,277,922)	(19,663,689)	(561,666,157)	(325,767,924)	(6,812,194)	(5,323,095)	-	(1,819,533)	(713,807,939)	(472,333,239)
Profit/(Loss) before Income Tax	27,918,732	31,818,516	(7,488,574)	11,897,974	172,645,841	406,195,934	174,083,679	47,268,736		(39,569,931)	(255,373,421)	(525,359,101)	(2,426,924,145)	299,135,832	343,868,137	734,880	(11,354,367)	102,101,357	(1,852,602,636)
Income Tax Expense	(12,737,418)	(8,678,422)	(4,995,592)	(9,192,507)	(43,727,509)	(61,455,950)	(34,133,568)	(25,456,260)		2,141,167	46,396,006	(28,955,801)	14,552,640	(725,546)	23,990,182	(2,034,909)	(2,439,838)	(125,169,177)	(22,284,148)
Profit/(Loss) after tax for the year from continuing operations	15,181,314	23,140,094	(12,484,166)	2,705,467	128,918,331	344,739,984	139,950,111	21,812,476		(37,428,764)	(208,977,415)	(554,314,903)	(2,412,371,505)	298,410,286	367,858,319	(1,300,030)	(13,794,205)	(23,067,820)	(1,874,886,784)
Profit/(Loss) after tax for the year from discontinued operations										(8,248,279)	(148,143,246)	-	-	-	-	153,224,579	2,451,475	144,976,300	(145,691,771)
Profit/(Loss) for the year	15,181,314	23,140,094	(12,484,166)	2,705,467	128,918,331	344,739,984	139,950,111	21,812,476		(45,677,043)	(357,120,661)	(554,314,903)	(2,412,371,505)	298,410,286	367,858,319	151,924,549	(11,342,730)	121,908,480	(2,020,578,555)
Assets and Liabilities																			
Non-Current Assets	1,650,659	2,213,393	142,319,855	166,950,565	2,067,263,817	2,159,603,029	1,392,477,539	1,356,703,061		1,204,915,199	1,337,354,257	233,979,030	236,956,697	1,098,735,054	1,712,505,106	46,416,631	40,335,086	6,187,757,783	7,012,621,194
Current Assets	19,980,201	17,283,039	189,926,535	188,093,308	2,227,263,402	2,448,162,370	1,441,690,425	1,254,728,967		956,956,459	984,978,475	1,874,641,433	1,996,244,212	90,862,888	81,028,298	2,675,887	5,078,082	6,803,997,230	6,975,596,751
Assets Classified as Held For Sale	-	-	-	-	-	-	-	-		-	-	-	-	945,070,313	-	-	-	945,070,313	-
Total Assets	21,630,859	19,496,432	332,246,390	355,043,873	4,294,527,219	4,607,765,399	2,834,167,963	2,611,432,028		2,161,871,658	2,322,332,731	2,108,620,463	2,233,200,909	2,134,668,255	1,793,533,404	49,092,518	45,413,168	13,936,825,326	13,988,217,945
Non-Current Liabilities	3,001,702	4,180,000	3,576,337	3,212,002	686,127,848	282,787,657	615,458,419	666,120,839		95,645,672	133,043,818	8,524,098	11,567,075	792,139	679,069	583,584	596,534	1,413,709,799	1,102,186,994
Current Liabilities	15,442,882	11,963,629	35,758,088	31,796,780	1,731,481,940	2,264,301,729	640,657,956	530,656,328		365,930,052	514,726,490	4,110,977,499	4,104,435,442	31,149,609	24,322,823	2,929,927	707,254	6,934,327,954	7,482,910,476
Liabilities Directly Associated with Assets Classified as Held For Sale	-	-	-	-	-	-	-	-		-	-	-	-	3,732,224	-	-	-	3,732,224	-
Total Liabilities	18,444,584	16,143,629	39,334,425	35,008,782	2,417,609,788	2,547,089,386	1,256,116,375	1,196,777,166		461,575,724	647,770,308	4,119,501,597	4,116,002,517	35,673,972	25,001,892	3,513,511	1,303,788	8,351,769,976	8,585,097,470

The results of the operating segments; Leisure Management, Services & footwear (included in “ Manufacturing” segment in the prior year) was discontinued and results of these operating segments are included under profit or loss under discontinued operations (See Note 4 for details)

Notes to the Financial Statements *Contd.*

5.1 REVENUE

	GROUP		COMPANY	
	2017	2016	2017	2016
	LKR	LKR	LKR	LKR
Sale of Goods				
Footwear	1,398,761,497	594,000,797	-	-
Porcelain	2,364,252,984	2,378,970,723	-	-
Textile	6,894,244,210	6,296,476,712	-	-
Stock Broking / Money Broking				
Brokerage Income	102,003,473	125,973,580	-	-
Finance, Investment & Corporate Finance				
Interest Income	193,913,589	74,664,114	184,901,678	122,089,188
Investment Trading	(100,834,545)	11,564,600	(100,834,545)	11,564,600
Change in Fair Value of Financial Assets Held for Trading	83,654,521	-	83,654,521	-
Other				
Rent Income	25,554,239	37,954,952	-	-
Gain/ (Loss) on Fair Value of Biological Assets	6,180,000	(13,475,768)	-	-
Sale of Agriculture Produce	91,525	101,700	-	-
	10,967,821,495	9,506,231,410	167,721,654	133,653,788

6. DIRECT COST

	GROUP		COMPANY	
	2017	2016	2017	2016
	LKR	LKR	LKR	LKR
Cost of goods sold	9,098,611,862	7,878,007,378	-	-
Discount on Brokerage	12,931,825	21,186,510	-	-
Broker Fee	515,849	2,562,051	-	-
Others	711,329	3,234,014	-	-
	9,112,770,865	7,904,989,953	-	-

7. INVESTMENT AND OTHER INCOME

	GROUP		COMPANY	
	2017	2016	2017	2016
	LKR	LKR	LKR	LKR
Interest Income on over due Balances and Deposits	100,147,516	89,974,525	-	-
Brokerage from primary share issues	91,253	-	-	-
Dividend Income	709,353	2,852,732	30,759,374	-
Gain/(Loss) on Sale of Financial Assets held for Trading	(9,872,269)	(3,280,620)	-	-
Gain / (Loss) on Disposal of Property, Plant & Equipment	4,183,554	6,046,672	25,000	-
Interest Income - Staff Loan	2,090,278	2,284,362	262,672	354,177
Scrap Sales	45,527,891	65,301,884	-	-
Other Income	37,034,845	42,886,393	16,164,861	12,099,331
Insurance claim on Boiler	-	22,430,563	-	-
Write back of interest bearing loans and borrowings*	96,176,752	-	-	-
	276,089,174	228,496,511	47,211,907	12,453,508

* Write back of interest bearing borrowings includes short term loan write back of LKR. 28,309,107/- and over draft write back of LKR 67,867,645/-.

8. FINANCE COST

	GROUP		COMPANY	
	2017	2016	2017	2016
	LKR	LKR	LKR	LKR
Interest on Long Term Loans and Borrowings	128,355,039	81,883,304	-	-
Interest on Short Term Loans and Borrowings	404,126,478	274,692,514	488,946,549	305,112,474
Exchange Loss	67,249	17,902,113	-	-
Bank Overdraft Interest	181,259,172	97,855,308	46,754,190	23,646,351
	713,807,939	472,333,239	535,700,739	328,758,825

Notes to the Financial Statements *Contd.*

9. LOSSES FROM ASSOCIATE

	GROUP	
	2017	2016
	LKR	LKR
Loss from Classification of Associate to Fair Value Through Profit or Loss	-	(1,180,413,635)
Loss from Disposal of Associate	-	(553,884,604)
Share of Loss of Associate Company After Tax	-	(50,174,267)
Reclassified to Profit or Loss		
Assets Available for Sale Reserve	-	36,601,284
Foreign Currency Translation Reserve	-	16,866,355
	-	(1,731,004,866)

On 16 December 2015 Lanka Century Investments PLC disposed 6.66% of the existing holding in Browns Investment PLC and accordingly discontinued the equity method of accounting in Consolidated Financial Statements. The loss from disposal of 6.66% of interest in equity accounted investee and loss from reclassification of balance part recorded under Financial assets held for trading is as follows,

	GROUP	COMPANY
	2016	2016
	LKR	LKR
Carrying Value as at 31 December 2015	2,842,968,616	-
Loss From Change in Fair Value of Financial Assets	(1,210,597,188)	-
Loss From Disposal of Associate	(568,614,178)	-
Cash Consideration	(363,757,048)	-
Fair Value as at 31 December 2015 -Transfer to Financial Instrument - Fair Value through Profit or Loss	700,000,000	-

10. PROFIT/ (LOSS) BEFORE TAXATION

Profit before taxation is stated after charging all expenses including the following:

	GROUP		COMPANY	
	2017	2016	2017	2016
	LKR	LKR	LKR	LKR
Auditors' Remuneration - Statutory Audit	8,015,194	7,983,450	430,000	400,000
Directors' Fee	60,738,262	32,187,265	10,521,707	1,350,000
Professional Fees	32,906,446	45,310,617	10,949,313	3,479,687
Depreciation on Property, Plant and Equipment	330,121,430	276,442,349	299,673	459,328
Amortization of Intangible Assets	8,979,630	922,916	-	-
Staff Cost (Note 10.1)	1,823,145,033	1,716,502,585	18,823,610	22,150,510
Amortization of Leasehold Property	-	162,353	-	-
10.1 Staff Cost				
Salaries & Other Related Costs	1,610,450,362	1,517,098,859	15,604,033	18,930,750
Defined Benefit Plan Cost - Retiring Gratuity	50,519,462	48,784,621	629,911	900,055
Defined Contribution Plan Cost - EPF & ETF	162,175,210	150,619,105	2,589,666	2,319,705
	1,823,145,033	1,716,502,585	18,823,610	22,150,510
No of Employees	3,214	3,313	9	9

There were no material issues pertaining to Employees and Industrial Relations of the entity during the financial year.

Notes to the Financial Statements *Contd.*

11. INCOME TAX

	GROUP		COMPANY	
	2017	2016	2017	2016
	LKR	LKR	LKR	LKR
Current Tax Expense	93,615,347	78,157,350	-	-
Under/ (Over) Provision in Respect of Previous Year	31,444,440	32,310,073	-	13,915,806
	125,059,787	110,467,423	-	13,915,806
Deferred Tax Expenses - Origination / (Reversals) of Temporary Differences (Note 26)	109,390	(88,183,275)	141,765	(251,401)
	125,169,177	22,284,148	141,765	13,664,405
Reconciliation of Accounting Profit to Income Tax Expense				
Profit/(Loss) Before Tax*	229,391,317	(2,002,719,531)	(377,926,947)	(331,174,343)
	229,391,317	(2,002,719,531)	(377,926,947)	(331,174,343)
Income Not Liable for Income Tax	(573,405,541)	(365,246,396)	(114,865,165)	(19,257,894)
Disallowable Expenses	716,628,945	2,789,411,752	101,916,648	111,675,535
Capital Allowances Claimed & Allowable Expenses	(666,197,762)	(608,872,209)	(930,962)	(366,200)
Business Profit/(Loss)	(293,583,040)	(187,426,385)	(391,806,426)	(239,122,902)
Total Statutory Income	200,123,303	428,971,471	-	-
Interest Income	107,660,661	101,032,642	-	-
Tax loss utilized during the year	(34,996,142)	(24,402,511)	-	-
Qualifying Payments	(36,897,894)	(90,806,692)	-	-
Assessable / Taxable Income	235,889,928	414,794,909	-	-
Income Tax @ 12%	11,151,309	24,675,563	-	-
Income Tax @ 28%	50,128,702	50,663,423	-	-
Income Tax @ 10%	32,335,336	2,822,442	-	-
Taxation on Profit for the Year	93,615,347	78,161,428	-	-
Income Tax Attributable to Discontinued Operations	-	(4,079)	-	-
Income Tax Attributable to Continuing Operations	93,615,347	78,157,350	-	-

* Includes Profit / (Loss) before tax from discontinued operations as disclosed in note 04.

11.1 Tax Losses

	GROUP		COMPANY	
	2017	2016	2017	2016
	LKR	LKR	LKR	LKR
Tax losses brought forward	2,090,264,896	2,529,530,852	586,844,317	747,960,577
Income Tax intimation direction / Tax Filling Differences	(40,946,414)	184,623,110	(14,386,585)	233,491,676
Losses incurred during the year	665,049,631	817,305,802	391,806,426	239,122,902
Utilization of tax losses for prior year liabilities	(171,428,521)	(939,436,993)	(171,428,521)	(633,730,838)
Tax losses of discontinued operations	(78,920,870)	(374,998,716)	-	-
Disallowed tax losses	-	(102,356,648)	-	-
Loss utilized during the year	(34,996,142)	(24,402,511)	-	-
Tax loss carried forward	2,429,022,579	2,090,264,896	792,835,637	586,844,317

11.2 Pending Tax matters

11.2.1 Dankotuwa Porcelain PLC

As per the BOI agreement No. 261 supplemented by agreement No. 32 & 303 the export profits and income from the "export business" is chargeable to tax at a concessionary rate of 12% (2016 - 12%), that from local sales and other business income are chargeable to income tax at 28% (2016 - 28%) under the Inland Revenue Act No 10 of 2006 and subsequent amendments thereto.

The Company entered into a supplementary agreement with Board of Investments of Sri Lanka (BOI) on 30 December 2009 whereby the Company has been permitted to maintain the local sales up to twenty percent (20%) of the quantity exported as an average for the cumulative local sales for the period of five (05) years commencing from year 2009 and ending on year 2013 subject to the payment of customs duty and other applicable levies and subject to the terms and conditions stipulated in the agreement.

The agreement which the company entered into with BOI has expired in December 2013. The Company has submitted a request to BOI to renew the agreement and has submitted required

information to BOI for the renewal. On 30 November 2016, the Company signed the supplementary agreement to convert to Temporary Import and Export Procedure (TIEP scheme) for a period of two years.

During the year the Company received a tax assessment for the year of assessment 2013/14 disallowing the deduction of qualifying payment amounting to Rs. 23,586,080/- as the investment was not treated as expansion. Accordingly, tax was computed on the revised investment cost and additional liabilities arising for year of assessments 2013/14, 2014/15 and 2015/16 was accounted under 'Current Taxes with Respect to Prior Years.

11.2.2 Lanka Century Investments PLC

The following tax assessments are outstanding against which the Company has duly appealed;

(i) Income tax for the year of assessment 2011/12 - Assessment No. ITA 14281100043 V1.

As per assessment the interest on corporate loans and dividend income which the Company considered as exempted is required to be included as part of the assessable/ taxable income.

This has been referred to Tax Appeals Commission and hearing was fixed for 07 December 2017.

(ii) Income tax for the year of assessment 2013/14 - Assessment No. ITA 17080300047 V2.

As per the assessment part of Withholding Tax has been disallowed The Company is of the view that the above assessments will not have any material impact on the financial statements. During the year the Company settled LKR 27,684,078/- for prior year income tax liabilities.

11.2.3 Lexinton Holdings (Pvt) Ltd

Lexinton Holdings (Pvt) Ltd appealed against the assessment No. ITA14281100120 VI issued by the Department of Inland Revenue relating to the year of assessment 2011/12. The appeal was determined favoring Commissioner General of Inland Revenue by the Commissioner of Large Corporate entities, Audit Unit - 1 and a petition of appeal has been filed with Tax Appeals Commission on 06th April 2017. Having sought professional advice, Management is confident that the grounds for the appeal are strong and as such no liability would arise. Total tax assessed was Rs.50,787,184/-.

Notes to the Financial Statements *Contd.*

12. EARNINGS / (DEFICIT) PER SHARE

12.1 Basic Earnings / (Deficit) per Share

The calculation of basic earnings / (deficit) per share is based on the profit / (loss) attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding during the year.

For the Year Ended 31st March	GROUP		COMPANY	
	2017	2016	2017	2016
Profit / (Loss) attributable to Ordinary Shareholders (Rs.)	(49,742,653)	(1,741,635,748)	(378,068,712)	(344,838,748)
Weighted Average Number of Ordinary Shares (12.1.1)	1,002,724,815	1,002,724,815	1,002,724,815	1,002,724,815
Basic Earnings Per Share (Rs.)	(0.05)	(1.74)	(0.38)	(0.34)
12.1.1 Weighted Average Number of Ordinary Shares				
Issued Ordinary shares at the beginning of the year	1,002,724,815	1,002,724,815	1,002,724,815	1,002,724,815
Weighted average number of Ordinary Shares at the end of the year	1,002,724,815	1,002,724,815	1,002,724,815	1,002,724,815
12.2 Basic Earnings / (Deficit) per Share for Continuing Operations				
Profit / (Loss) attributable to Ordinary Shareholders from Continuing Operating (Rs.)	(169,818,428)	(1,674,077,239)	(378,068,712)	(344,838,748)
Weighted Average Number of Ordinary Shares (12.1.1)	1,002,724,815	1,002,724,815	1,002,724,815	1,002,724,815
Basic Earnings Per Share for Continuing Operations (Rs.)	(0.17)	(1.67)	(0.38)	(0.34)

Basic earnings / (deficit) per share is calculated for continuing operations by dividing the net profit /(loss) from continuing operations for the year attributable to the ordinary shareholders by the weighted average number of shares outstanding during the year.

There were no potentially dilutive ordinary shares outstanding at any time during the year, hence diluted earnings per share is equal to basic earnings per share.

13. PROPERTY, PLANT AND EQUIPMENT

13.1 Group

Cost or Valuation	Balance as at 01.04.2016	Additions	Revaluation	Impairment	Transfers	Disposals	Balance as at 31.03.2017
	LKR	LKR	LKR	LKR	LKR	LKR	LKR
Freehold							
Land	1,293,704,498	26,500	54,603,500	-	-	-	1,348,334,498
Buildings	940,016,152	10,046,039	(4,653,756)	-	-	-	945,408,435
Land Development Cost	67,887,287	-	-	-	-	-	67,887,287
Generator	2,343,295	-	-	-	-	-	2,343,295
Computer Equipment	111,299,600	9,622,253	-	-	5,556,801	(3,493,096)	122,985,559
Furniture & Office Equipment	303,291,479	12,951,432	-	-	-	(321,094)	315,921,818
Kiln and Kiln Furniture	274,173,264	27,452,155	-	-	-	-	301,625,420
Motor Vehicles	130,182,834	268,973	-	-	7,400,000	(12,575,000)	125,276,807
Air Conditioner	3,550,565	-	-	-	-	-	3,550,565
Tools & Equipment	2,813,977	-	-	-	-	-	2,813,977
Plant and Machinery	3,021,778,679	30,859,033	-	-	690,439,872	(16,265,085)	3,726,812,499
Waste Water Purification Project	69,121,302	8,506,021	-	-	-	-	77,627,323
	6,220,162,932	99,732,407	49,949,744	-	703,396,673	(32,654,275)	7,040,587,482
Leasehold							
Building	731,460,300	9,514,090	-	-	-	(132,485,481)	608,488,909
	731,460,300	9,514,090	-	-	-	(132,485,481)	608,488,909
Capital Work in Progress	698,181,182	103,966,781	-	-	(707,749,014)	-	94,398,949
Total	7,649,804,414	213,213,278	49,949,744	-	(4,352,341)	(165,139,755)	7,743,475,340

Notes to the Financial Statements *Contd.*

13. Property, Plant and Equipment *(Continued)*

Accumulated Depreciation	Balance as at 01.04.2016	Charge for the Year	Revaluation	Impairment	Transfers	Disposals	Balance as at 31.03.2017
	LKR	LKR	LKR	LKR	LKR	LKR	LKR
Freehold							
Buildings	67,568,239	42,481,013	(43,074,606)	-	-	-	66,974,646
Land Development Cost	44,887,461	3,824,507	-	-	-	-	48,711,968
Generator	2,342,488	807	-	-	-	-	2,343,295
Computer Equipment	90,396,852	8,985,844	-	-	-	(3,240,351)	96,142,344
Furniture & Office equipment	237,458,911	15,801,831	-	-	-	(76,784)	253,183,959
Kiln and Kiln Furniture	203,914,608	8,346,978	-	-	-	-	212,261,586
Motor Vehicles	73,412,197	14,874,998	-	-	-	(12,065,833)	76,221,363
Air Conditioner	3,391,556	-	-	-	-	-	3,391,556
Tools & Equipment	2,322,872	4,375	-	-	-	-	2,327,247
Plant and Machinery	1,910,506,522	209,143,198	-	16,007,533	-	(13,973,702)	2,121,683,552
Waste Water Purification Project	35,246,264	4,833,353	-	-	-	-	40,079,617
	2,671,447,970	308,296,905	(43,074,606)	16,007,533	-	(29,356,670)	2,923,321,133
Leasehold							
Building	25,869,384	21,824,525	-	-	-	(12,696,526)	34,997,383
	25,869,384	21,824,525	-	-	-	(12,696,526)	34,997,383
Total	2,697,317,354	330,121,430	(43,074,606)	16,007,533	-	(42,053,196)	2,958,318,516
Carrying Amount	4,952,487,058						4,785,156,824

Net Book Value	2017	2016
	LKR	LKR
Freehold		
Land	1,348,334,498	1,293,704,498
Buildings	878,433,789	872,447,913
Land Development Cost	19,175,319	22,999,826
Generator	-	807
Computer Equipment	26,843,214	20,902,748
Furniture & Office Equipment	62,737,859	65,832,568
Kiln and Kiln Furniture	89,363,834	70,258,657
Motor Vehicles	49,055,444	56,770,637
Air Conditioner	159,009	159,009
Tools & Equipment	486,730	491,105
Plant and Machinery	1,605,128,947	1,111,272,157
Waste Water Purification Project	37,547,706	33,875,038
Leasehold		
Building	573,491,526	705,590,916
Capital Work in Progress	94,398,949	698,181,182
Carrying Amount	4,785,156,824	4,952,487,058

13.1.1 During the financial year the Group acquired Property, Plant & Equipment to the aggregate value of Rs. 208,860,937/- (31.03.2016 - Rs. 1,024,806,847).

13.1.2 Group Property, Plant and Equipment includes fully depreciated assets having a gross carrying amount of Rs. 984.8 Mn (31.03.2016 - Rs. 914 Mn) which continue to be in use by the Group.

13.1.3 Details of Property, Plant and Equipment pledged for facilities are given in Note 32

13.1.4 Revaluation of Land and Building

The Group uses the revaluation model of measurement of land and buildings. The Group engaged Qualified Independent Expert Valuer with recent experience in the location and category of the property being valued to determine the fair value of its land and buildings.

Details of Group's Land, Building and Other Properties stated at valuation are indicated below;

Notes to the Financial Statements *Contd.*

13. Property, Plant and Equipment *(Continued)*

Company	Property	Method of Valuation	Value LKR	Valuers Details	Last Revaluation Date
South Asia Textiles Ltd	Building at Pugoda	Income Method	578,900,000	Mr. Chulananda Wellappili, Independent Incorporated Valuer	31 March 2015
Lexinton Holdings (Pvt) Ltd	Land and Building at Borella	Open Market Value Method	251,000,000	Mr. Sunil Fernando, Independent Chartered Valuer	31 March 2017
Ceylon Leather Products PLC	Land at Mattakkuliya	Market Approach	598,320,000	Mr. Chulananda Wellappili, Independent Incorporated Valuer	09 June 2015
	Buildings at Mattakkuliya	Cost Approach	33,579,500		
	Land at Mattakkuliya	Market Approach	7,500,000	Mr. Chulananda Wellappili, Independent Incorporated Valuer	31 March 2016
	Buildings at Mattakkuliya	Cost Approach	4,824,000		
	Land at Balummahara	Market Approach	113,033,750	Mr. Chulananda Wellappili, Independent Incorporated Valuer	09 June 2015
	Building at Balummahara	Cost Approach	242,785,100		
Dankotuwa Porcelain PLC	Land at Dankotuwa	Market Approach	341,206,763	Mr. Chulananda Wellappili, Independent Incorporated Valuer	31 March 2016
	Building at Dankotuwa	Cost Approach	258,116,100		
Royal Fernwood Porcelain Ltd	Land at Kosgama	Market Approach	226,610,000	Mr. Chulananda Wellappili, Independent Incorporated Valuer	31 March 2017
	Building at Kosgama	Cost Approach	274,098,574		

The carrying amount of revalued assets of the Group that would have been included in the financial statements had that been carried at cost less depreciation is as follows:

Class of Asset	Cost	Cumulative Depreciation If assets were carried at cost	Net Carrying Amount	
			2017	2016
	LKR	LKR	LKR	LKR
Ceylon Leather Products PLC				
Freehold Land	32,046,453	-	32,046,453	32,046,453
Buildings on Freehold Land	122,112,298	39,468,272	84,856,526	85,777,232
	154,158,751	39,468,272	116,902,979	117,823,685
Dankotuwa Porcelain PLC				
Freehold Land	250,000	-	250,000	250,000
Building - Freehold	165,081,657	82,662,248	82,419,409	79,732,005
	165,331,657	82,662,248	82,669,409	79,982,005
South Asia Textiles Ltd				
Building - Leasehold	287,404,722	61,181,399	226,223,323	222,594,234
	287,404,722	61,181,399	226,223,323	222,594,234
Royal Fernwood Porcelain Ltd				
Freehold Land	18,590,108	-	18,590,108	18,590,108
Buildings -Freehold	16,730,181	836,509	15,893,672	16,730,181
	35,320,289	836,509	34,483,780	35,320,289
Lexinton Holdings (Pvt) Ltd				
Freehold Land	25,911,500	-	25,911,500	25,911,500
Buildings - Freehold	87,404,426	36,588,253	50,816,173	54,312,350
	113,315,926	36,588,253	76,727,673	80,223,850

Notes to the Financial Statements *Contd.*

13. Property, Plant and Equipment *(Continued)*

13.1.5 Description of Significant Unobservable Inputs to Valuation

The significant assumptions used by the Valuer for valuations are follows;

Property	Method of Valuation	Inputs used for measurement	Area	Range	Sensitivity of Fair value to unobservable input
South Asia Textiles Ltd					
Leasehold Buildings (Remaining leasehold period - 37 years)	Income Method	Per sqft. rate	353, 145 sq feet	LKR 96 - 240	Positively correlated
		Discount rate		7%	Negatively correlated
Royal Fernwood Porcelain Ltd					
Freehold Land	Open Market Method	Per perch rate	4,006 Perches	LKR 35,000 - 75,000	Positively correlated
Freehold Buildings		Per sqft. rate	172,255 sq feet	LKR 300 - 2,750	Positively correlated
Dankotuwa Porcelain PLC					
Freehold Land	Open Market Method	Per perch rate	7,481 Perches	LKR 90,000 - 250,000	Positively correlated
Freehold Buildings		Per sqft. rate	260,015 sq feet	LKR 500 - 3250	Positively correlated
Ceylon Leather Products PLC					
Freehold Land - Balummahara	Open Market Method	Per perch rate	471 Perches	LKR 125,000 - 300,000	Positively correlated
- Mattakkuliya - Factory	Open Market Method	Per perch rate	748 Perches	LKR 800,000	Positively correlated
- Mattakkuliya Tannery House	Open Market Method	Per perch rate	6 Perches	LKR 1,200,000	Positively correlated
Freehold Buildings - Balummahara	Cost Approach	Per sqft. rate	76,460 sq feet	LKR 1,250 - 4,400	Positively correlated
- Mattakkuliya - Factory	Cost Approach	Per sqft. rate	75,010 sq feet	LKR 400 - 3000	Positively correlated
- Mattakkuliya Tannery House	Cost Approach	Per sqft. rate	2,010 sq feet	LKR 3,000	Positively correlated
Lexinton Holdings (Pvt) Ltd					
Freehold Land	Open Market Method	Per Perch rate	17 Perches	LKR 4.5 Mn	Positively correlated
Freehold Buildings	Open Market Method	Per Sqft. rate	14,700 Sq. Feet	LKR 115 - 140	Positively correlated

13.2 Company

Cost	Balance as at 01.04.2016	Additions	Disposals	Balance as at 31.03.2017
	LKR	LKR	LKR	LKR
Freehold				
Motor Vehicles	6,800,000	-	(6,800,000)	-
Computer Equipment	2,529,015	106,010	-	2,635,025
Office Equipment	239,405	-	-	239,405
Tools & Equipment	20,650	-	-	20,650
Office Furniture	501,198	-	-	501,198
Total	10,090,268	106,010	(6,800,000)	3,396,278

Accumulated Depreciation	Balance as at 01.04.2016	Charge for the Year	Disposals	Balance as at 31.03.2017
	LKR	LKR	LKR	LKR
Freehold				
Motor Vehicles	6,800,000	-	(6,800,000)	-
Computer Equipment	1,878,578	236,241	-	2,114,819
Office Equipment	205,862	15,961	-	221,822
Tools & Equipment	4,608	4,375	-	8,983
Office Furniture	310,043	43,096	-	353,139
Total	9,199,091	299,673	(6,800,000)	2,698,764
Carrying Amount	891,177			697,514

Notes to the Financial Statements *Contd.*

14. LEASEHOLD PROPERTY (GROUP)

	GROUP		COMPANY	
	2017	2016	2017	2016
	LKR	LKR	LKR	LKR
Balance as at the beginning of the year	25,113,883	25,276,236	-	-
Amortization for the year	-	(162,353)	-	-
Disposal during the year	(25,113,883)	-	-	-
Balance as at the end of the year	-	25,113,883	-	-

During the year the Group disposed the buildings together with the leasehold rights to use the land leased to Palla & Company (Pvt) Ltd for a consideration of Rs. 142 million. At the time of disposal the leasehold right had a remaining leasehold period of 76 years. The operations of Palla & Company was presented as a discontinued operation under Note 4.

15. INTANGIBLE ASSETS (GROUP)

As at 31st March	Software		License Fees		Brand Name		Total	
	2017	2016	2017	2016	2017	2016	2017	2016
	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR
Cost								
Balance at the beginning of the year	59,131,120	17,227,514	22,161,458	22,161,459	9,723,614	9,723,614	91,016,192	49,112,586
Additions during the year	13,614,615	1,558,606	1,082,500	-	-	-	14,697,115	1,558,606
Capital Work in progress	-	40,345,000	-	-	-	-	-	40,345,000
Balance at the end of the year	72,745,735	59,131,120	23,243,958	22,161,459	9,723,614	9,723,614	105,713,308	91,016,192
Accumulated Amortization								
Balance at the beginning of the year	15,120,848	14,197,932	-	-	-	-	15,120,848	14,197,932
Amortized during the year	8,979,630	922,916	-	-	-	-	8,979,630	922,916
Balance at the end of the year	24,100,478	15,120,848	-	-	-	-	24,100,478	15,120,848
Carrying Amount	48,645,258	44,010,272	23,243,958	22,161,459	9,723,614	9,723,614	81,612,830	75,895,344

Software of the group represents accounting systems used, Microsoft Office and new ERP system currently being implemented which is classified under Capital Work In progress.

License fees represents license obtained by Taprobane Securities (Pvt) Ltd from the Colombo Stock Exchange and the license obtained for a Solar Power Project from Sustainable Energy Authority.

Brand Name represents the "Royal Fernwood Porcelain Ltd" brand which was identified as an intangible asset with an indefinite useful life arising from business combination

16. BIOLOGICAL ASSETS (GROUP)

	Balance as at 01.04.2016	Changes in Fair Value Less - Cost to Sell	Balance as at 31.03.2017
	LKR	LKR	LKR
Teak	38,867,620	6,180,000	45,047,620
Lunumidella	752,380	-	752,380
Coconut	81,950	-	81,950
	39,701,950	6,180,000	45,881,950

- 16.1** Heron Agro Products (Pvt) Ltd, subsidiary of the Taprobane Holdings PLC has leased out a land from Sri Lanka Mahaweli Authority under Government Land Ordinance for 30 years commencing from 18th January 1993. The lease period will expire on 17th January 2023. However, the lease period could be extended for a further period 15 years in accordance with the Memorandum of Understanding (MOU) signed between Mahaweli Authority of Sri Lanka.

Notes to the Financial Statements *Contd.*

16. Biological Assets *(Continued)*

16.2 Determination of Market Value

Teak

Market price is mainly obtained from International Market price of Teak Timber, State Timber Corporation and the local market prices. Cost of sawing and other outgoings have been deducted to obtain the net value of sawn timber per mature tree. Value of a cubic feet of teak is assumed to be LKR. 1,700 - LKR. 3,500 (discounted) for the purpose of valuation as at 31st March 2017.

Lunumidella

Market Price of a mature tree is determined based on local market and State Timber Corporation price. Cost of sawing and other outgoing have been deducted to obtain the net value of sawn timber per mature tree. Value of a cubic foot of Lunumidella tree is assumed to be LKR. 360 - LKR. 450 (discounted) for the purpose of valuation as at 31st March 2017.

	2017	2016
Discount Rate	17%	17%

The market related systematic risk factor is taken at 2% - 2.65%, unsystematic risk of 3.5% was subject to the assumed probability. Thus the 3.5% adjustment was assumed with a final adjustment by a premium of 6% to arrive at the discounting rate of 17%.

Methodology

The estimation of value of stumpage in timber stands depends on the age of plantation. These are categorized merchantable and pre merchantable.

The young plantation between age 10-15 are termed pre-merchantable and the other merchantable. Merchantable are valued based on market prices discounted to harvesting DCF Method.

Pre merchantable are valued based on replacement cost basis. The costs are compounded to recognize the return on investment; the compounding rate is the opportunity cost which is taken at Weighted Average Cost of Capital.

Key assumptions

1. The harvesting is approved by the forest Department and other relevant authorities.
2. The prices adopted are net of expenditure.
3. Discount rate is 17%
4. Compounding rate is 15% (assumed WACC)
5. Pre- merchantable are valued on replacement cost basis, compounded at 15%

16.3 Potential Risks Timber Plantations

The Group is exposed to the following risks in relation to timber plantations:

Supply and Demand Risk

The Group is exposed to risks arising from fluctuations in the price and sales volume of time. When possible, the Group manages this risk by aligning its harvest volume to market supply and demand. Management performs regular industry trend analysis to ensure that the Group's pricing structure is in line with the market and to ensure that projected harvest volumes are consistent with the expected demand identified.

Regulatory and Environmental Risks

The Group is subject to laws and regulations in Sri Lanka. The Group has established environmental policies and procedures aimed at compliance with local environmental and other laws. Management performs regular reviews to identify environmental risks and to ensure that the systems in place are adequate to manage those risks.

Climate and Other Risks

The Group's timber plantations are exposed to the risk of damage from climatic changes, diseases, forest fires and other natural forces. The Group has extensive processes in place aimed at monitoring and mitigating those risks, including regular forest health inspections and industry pest and disease surveys.

17. INVESTMENT PROPERTIES

	GROUP		COMPANY	
	2017	2016	2017	2016
	LKR	LKR	LKR	LKR
Balance at the beginning of the year	1,802,670,449	1,500,011,721	23,000,000	22,000,000
Net gain from fair value adjustments	365,400,263	323,522,086	2,000,000	1,000,000
Impairment of Investment Property (Note 17.1, 17.4)	(58,399,713)	(20,863,358)	-	-
	2,109,670,999	1,802,670,449	25,000,000	23,000,000
Classified as Held For Sale (Note 4.2)	(945,070,313)	-	-	-
Balance at the end of the year	1,164,600,686	1,802,670,449	25,000,000	23,000,000

17. INVESTMENT PROPERTIES Contd.

Name of the Company	Property	Last Valuation Date	Land Extent	Name of the Valuer	Method of Valuation	Carrying Value / Fair Value		Fair Value	
						2017	2016	2017	2016
Taprobane Holdings PLC	Land (Pdurangala Road, Siginja)	3/31/2017	8 Acres	K. T. D Tissera Independent Chartered Valuer	Market Value	LKR	LKR	LKR	LKR
						25,000,000	23,000,000	25,000,000	23,000,000
Taprobane Securities (Pvt) Ltd	Land (Kosgama)	3/31/2017	1,162.35 perches	Mr. W. M. Chandrasena Independent Chartered Valuer	Market Value	79,000,000	54,000,000	79,000,000	54,000,000
						-	50,000,000	-	50,000,000
Lexington Resorts (Pvt) Ltd	Land (Hidduruwa, Balapitiya)	3/31/2017	1,373 perches	Sunil Fernando & Associates (Pvt) Ltd Chartered Valuation Surveyors	Market Value	480,500,000	377,600,000	480,500,000	377,600,000
						-	377,600,000	-	377,600,000
Colombo City Holdings PLC	Land and Buildings (Union Place, Colombo)	12/31/2016 Re-assessed on 31/03/2017	105.05 perches	Mr. S. Sivaskantha. Incorporated Valuer	Market Value Cost of construction	1,525,171,000	1,298,070,450	1,525,171,000	1,298,070,450
						2,109,671,000	1,802,670,450	2,109,671,000	1,802,670,450

The group uses the fair value model for measurement of Investment Property. The group engaged Qualified Independent Valuers to determine the fair value of Investment Property.

17.1 On 4 March 2013, the Company entered in to an agreement with an outside party to transfer 2 properties (Ihala Kosgama Village within the Seethawaka Pradeshiya Sabha limits and land situated at Thalgasmune Village within the Pradeshiya Sabha limits of Allawa - Giriulla) as compensation to disputed property previously held by the Company. Under the terms of the agreement, the Company shall not sell, assign or convey the aforesaid lands transferred to the Company until the expiration of the agreement on 05 March 2017.

In the event the dispute is not settled by 05 March 2017, the parties undertake to compensate in full the

loss incurred by the Company on the purchase consideration of the Investment Property and commercial interest thereon. Accordingly, the parties have agreed that the possible loss would be compensated by vendors/parties involved so calculated as Rs. 206 Mn as at 05 March 2017.

During the year the Company impaired the property situated at Giriulla, due to the restriction on obtaining freehold title of the land. The said agreement ended on 5 March 2017 and the Company is in the process of sending a letter of demand for the balance recoverable from the party.

17.2 Investment Properties are stated at fair value, which have been

determined on the basis of a market value of land and building. Investment Property is appraised in accordance with SLFRS 13, LKAS 40 and International Valuation Standards.

17.3 The Group has reported rental income amounting to LKR 25.5 Mn (2016 - LKR 37.9 Mn) from this investment property after inter company eliminations and incurred direct operating expenses (including repairs and maintenance) amounting to LKR 7 Mn (2016 - LKR 12.6 Mn).

17.4 Upon segregating the Investment Property to three Lots (further described in Note 4.2) the extent of the property decreased by 0.7 perches

Notes to the Financial Statements *Contd.*

17.5 Description of significant unobservable inputs to valuation:

The significant unobservable inputs used in the fair value measurement categorized within Level 2 of the fair value hierarchy together with a quantitative sensitivity analysis as at 31 March 2017 and 2016 are as shown below;

Investment Property	Valuation technique	Significant unobservable inputs	Rate 2017	Rate 2016	Sensitivity of Input to Fair Value
Colombo City Holdings PLC					
- Land 105.05 perches (Street line 12 Perches)	Open Market value	Per perch rate	LKR 12,000,000 Per Perch	LKR 10,000,000 Per Perch	Positively correlated
- Main Building 28,498.5 sqft	Replacement Cost Method	Per sqft. rate	LKR 6,250 Per Sqft.	LKR 6,250 Per Sqft.	Positively correlated
- Pharmacy Building 4,344 sqft	Replacement Cost Method	Per sqft. rate	LKR 4,750 Per Sqft.	LKR 4,750 Per Sqft.	Positively correlated
- Mezzanine floor 1,100 sqft	Replacement Cost Method	Per sqft. rate	LKR 2,000 Per Sqft.	LKR 2,000 Per Sqft.	Positively correlated
Taprobane Holdings PLC					
Freehold land 8 Acres	Open Market Method	Per Acre rate	LKR 3,200,000 Per Perch	LKR 3,200,000 Per Perch	Positively correlated
Lexinton Resorts (Pvt) Ltd					
Freehold land 1,373 Perches	Open Market Method	Per perch rate	LKR 275,000 Per Perch	LKR 275,000 Per Perch	Positively correlated
Taprobane Securities (Pvt) Ltd					
Freehold land - Kosgama 1,162.35 Perches	Open Market Method -	Per perch rate	LKR 68,000 Per Perch *	LKR 110,000 Per Perch	Positively correlated
	Cost of sale	Cost of sale	N/A	3%	Negatively correlated
	Development cost (Professional fees, Finance cost, Developers Profit)	Development cost (Professional fees, Finance cost, Developers Profit)	N/A		Negatively correlated
	Discount factor	Discount factor	N/A	18%	Negatively correlated
Freehold land - Giriulla 963 Perches	Open Market Method	Per perch rate	N/A	LKR 100,000 Per Perch	Positively correlated
	Cost of sale	Cost of sale	N/A	3%	Negatively correlated
	Development cost (Professional fees, Finance cost, Developers Profit)	Development cost (Professional fees, Finance cost, Developers Profit)	N/A		Negatively correlated
	Discount factor	Discount factor	N/A	18%	Negatively correlated

*In the previous year management valued the property on the basis of residual method of valuation. However in the current year it is valued on the basis of direct comparison method of valuation.

18. Investment in Subsidiaries

18.1 Investment in subsidiaries

18.1.1 Ordinary Shares

As at 31st March	Place of Principal Business	Effective Holdings		Direct Holding		No of Shares		Company	
		2017	2016	2017	2016	2017	2016	2017	2016
		%	%	%	%	Nos.	Nos.	LKR	LKR
Taprobane Investments (Pvt) Ltd	No 10, Gothami Road, Colombo 08.	100	100	100	100	1,000,000	1,000,000	10,600,000	10,600,000
Lexinton Holdings (Pvt) Ltd	No 10, Gothami Road, Colombo 08.	100	100	72	72	49,616,300	49,616,300	476,820,829	476,820,829
Heron Agro Products (Pvt) Ltd	No 10, Gothami Road, Colombo 08.	100	100	100	100	740,000	740,000	2,960,000	2,960,000
Taprobane Securities (Pvt) Ltd	No 10, Gothami Road, Colombo 08.	100	100	100	100	5,000,000	5,000,000	50,000,000	50,000,000
Taprobane Wealth Plus (Pvt) Ltd	No 10, Gothami Road, Colombo 08.	100	100	100	100	1,000,000	30,000,000	833,333	25,000,000
Taprobane Equities (Pvt) Ltd	No 10, Gothami Road, Colombo 08.	100	100	100	100	1,000,000	1,000,000	65,000,000	65,000,000
Lanka Century Investments PLC	5th Floor, No 10, Gothami Road, Colombo 08	83	83	66	66	290,682,377	290,682,377	3,117,647,315	3,117,647,315

18.1.2 Preference shares

Lexinton Holdings (Pvt) Ltd						560,000,000	560,000,000	560,000,000	560,000,000
Taprobane Equities (Pvt) Ltd						893,078,900	893,078,900	893,078,900	893,078,900
								5,176,940,377	5,201,107,044
Impairment on Investment- Lexinton Holdings (Pvt) Ltd (18.1.3)								(397,379,317)	(397,379,317)
								4,779,561,060	4,803,727,727
18.1.3 Impairment Provision								(397,379,317)	(397,379,317)
Impairment on investment								(397,379,317)	(397,379,317)

Notes to the Financial Statements *Contd.*

18.2 Investments in Sub Subsidiaries

Sub Subsidiaries	Investor	Effective Holding %	Principal Activity	Place of Principal Business
Lexinton Financial Services (Pvt) Ltd	Lexinton Holdings (Pvt) Ltd	100	Carrying out Margin Trading	No. 10, Gothami Road, Colombo 08
Lexinton Resorts (Pvt) Ltd	Lexinton Holdings (Pvt) Ltd	100	Managing the real estates	No. 10, Gothami Road, Colombo 08
Ceylon Leather Products PLC	Lanka Century Investments PLC	79.44	Manufacturing and selling of Leather, Leather Footwear and Leather Goods	No.64, Belummahara,Mudungoda
Ceylon Leather Products Distributors (Pvt) Ltd	Ceylon Leather Products PLC	79.44	Retail selling of leather footwear and leather goods	No.64, Belummahara,Mudungoda
South Asia Textiles Ltd	Ceylon Leather Products PLC	78.27	Manufacturing and selling of knitted fabrics for the export and local markets	No.70, Felix Dias Bandaranayake Mawatha, Pugoda, Sri Lanka
Palla & Company (Pvt) Ltd	Ceylon Leather Products PLC	72.00	Manufacturing shoes for export market - Ceased Operations during the period	Spur Rd. 4, Lot 25B, Katunayake Export Promotion Zone
Dankotuwa Porcelain PLC	Lanka Century Investments PLC	64.49	Manufacturing and selling of porcelain tableware to export and local markets	Factory and the showroom, Kurunegala Road, Dankotuwa
Taprobane Capital (Pvt) Ltd	Dankotuwa Porcelain PLC	64.49	Investment holding - No operations during the period	5th Floor, No 10, Gothami Road, Colombo 08
Royal Fernwood Porcelain (Pvt) Ltd	Dankotuwa Porcelain PLC	61.66	Manufacturing and selling of porcelain tableware to export and local markets	Werellamandiya Estate, Police Station Road, Kosgama
Lanka Decals (Pvt) Ltd	Royal Fernwood Porcelain Ltd	61.66	Manufacturing Decals - No operations during the period	Werellamandiya Estate, Police Station Road, Kosgama
Fernwood Lanka (Pvt) Ltd	Royal Fernwood Porcelain Ltd	61.66	Selling of porcelain tableware to domestic market - No operations during the period	Werellamandiya Estate, Police Station Road, Kosgama
Colombo City Holdings PLC	Lanka Century Investments PLC	55.24	Renting out properties	No.505, Union Place, Colombo 02
Olancom (Pvt) Ltd	Lanka Century Investments PLC	77.50	Engage in networking business solutions - No operations during the period	5th Floor, No 10, Gothami Road, Colombo 08

18.3 Non Controlling Interest

The following table summarizes the information relating to the Group's subsidiaries that have material NCI, before any intra-group eliminations.

	Lanka Century Investments PLC	
	As at 31st March 2017	As at 31st March 2016
	LKR	LKR
NCI percentage	16.80%	16.80%
Non-Current Assets	5,342,506,061	6,247,670,585
Current Assets	8,019,308,717	6,380,047,921
Non-Current Liabilities	1,402,493,368	1,089,428,650
Current Liabilities	4,532,058,944	4,581,642,662
Net Assets	7,427,262,467	6,956,647,194
Net Assets attributable to NCI	2,069,496,197	1,730,158,022
Revenue	10,762,067,753	9,365,247,818
Profit / (Loss) during the year	394,103,932	(1,641,605,479)
Other Comprehensive Income	100,870,190	609,794,770
Total Comprehensive Income	494,974,122	(1,031,810,709)
Profit attributable to NCI	168,295,619	(273,583,143)
OCI attributable to NCI	36,980,903	170,887,633
Cash flows from Operating Activities	493,201,189	25,505,022
Cash flows from Investment Activities	(421,102,895)	(560,490,450)
Cash flows from Financing Activities	(56,923,553)	(355,669,426)
Net increase (decrease) in cash and cash equivalents	15,174,741	(890,654,854)
Dividend paid to NCI during the year	(33,332,155)	(1,714,768)
Dividend declared to NCI during the year	(14,625,816)	-

Notes to the Financial Statements *Contd.*

19. Other Financial Assets

	Note	GROUP		COMPANY	
		2017	2016	2017	2016
		LKR	LKR	LKR	LKR
Non Current Investments					
Held to maturity financial assets	19.1	36,166,883	35,345,155	-	-
		36,166,883	35,345,155	-	-
Current Investments					
Loans & Receivables	19.2	12,480,664	489,584,266	-	-
Financial Assets Held for Trading	19.3	1,734,489,325	1,733,766,340	143,974,190	870,322,920
		1,746,969,989	2,223,350,606	143,974,190	870,322,920
19.1 Held to Maturity Financial Assets					
Investment in Government Securities		36,166,883	35,345,155	-	-
		36,166,883	35,345,155	-	-
19.2 Loans & Receivables					
Current					
Bank Deposits		59,254	359,325,809	-	-
Investment in Unit Trust		-	10,076,442	-	-
Debentures	19.2.1	-	108,403,890	-	-
Call Deposit		12,421,409	11,778,125	-	-
		12,480,663	489,584,266	-	-
Total Loans & Receivables		12,480,663	489,584,266	-	-

19.2.1 Investments made in Seylan Bank PLC, Pan Asia Banking Corporation PLC and Nation Trust Bank PLC

19.3 Financial Assets Held for Trading

		GROUP		COMPANY	
		2017	2016	2017	2016
		LKR	LKR	LKR	LKR
Investment in Equity Securities	19.4	1,592,646,485	865,148,500	2,131,350	1,705,080
Investment in Government Securities	19.5	141,842,840	868,617,840	141,842,840	868,617,840
		1,734,489,325	1,733,766,340	143,974,190	870,322,920

19.4 Investment in Equity Securities

As at 31st March	2017			2016		
	No. of Shares	Cost	Market Value	No. of Shares	Cost	Market Value
		LKR	LKR		LKR	LKR
GROUP						
Aitken Spence PLC	399	88,785	22,424	19,000	4,227,878	1,396,500
Browns Investments PLC	507,984,600	724,603,762	711,178,440	507,984,600	724,603,762	660,379,980
DFCC Bank PLC	-	-	-	25,000	5,005,440	3,425,000
Browns Capital PLC	7,606,567	43,718,092	11,409,851	7,606,567	43,718,092	9,127,880
Mukuba Resources Limited - Canada	-	-	-	2,594,167	40,183,663	2,891,360
Pan Asia Banking Corporation PLC	43,930,641	823,593,973	676,531,871	-	-	-
B P P L Holdings PLC	1,051,400	12,616,800	12,616,800	-	-	-
People's Leasing Company PLC	-	-	-	569,990	13,986,338	9,119,840
Seylan Bank PLC	2,079,160	198,678,604	180,886,920	2,079,160	198,678,604	178,807,760
Taprobane Holdings PLC	45	-	180	45	-	180
		1,803,300,016	1,592,646,485		1,030,403,777	865,148,500
COMPANY						
Browns Capital PLC	1,420,900	7,892,000	2,131,350	1,420,900	7,892,000	1,705,080
		7,892,000	2,131,350		7,892,000	1,705,080

19.5 Investment in Government Securities

	GROUP		COMPANY	
	2017	2016	2017	2016
	LKR	LKR.	LKR.	LKR
Cost of the portfolio	142,304,551	952,734,072	142,304,551	952,734,072
Change in fair value	(461,711)	(84,116,232)	(461,711)	(84,116,232)
	141,842,840	868,617,840	141,842,840	868,617,840

Notes to the Financial Statements *Contd.*

20. INVENTORIES

	GROUP		COMPANY	
	2017	2016	2017	2016
	LKR	LKR	LKR	LKR
Raw Material	1,192,087,521	1,327,464,630	-	-
Work in Progress	530,245,970	587,579,959	-	-
Finished Goods	562,749,753	591,138,375	-	-
Spare Stock	33,157,824	30,970,515	-	-
Consumables & Spares	161,838,505	197,640,779	-	-
Others	54,305,339	14,246,163	-	-
Real Estate (Note 20.2)	72,082,832	-	-	-
Less : Allowance for Obsolete & Slow Moving Inventories	(359,067,304)	(383,332,426)	-	-
	2,247,400,441	2,365,707,995	-	-
Goods-In-Transit	160,413,625	66,836,719	-	-
	2,407,814,066	2,432,544,714	-	-
Unrealized Profit	-	(13,858,464)	-	-
Total Inventories at the Lower of Cost and Net Realizable Value	2,407,814,066	2,418,686,250	-	-

20.1 Details of Inventories pledged for Borrowings are given in Note 32.

20.2 Group Subsidiary Colombo City Holdings PLC, purchased a 3 acre land ('Batapandurawatta') situated at Siyambalagoda within the Pradeshiya Saba Limits of Homagama. Amount includes other costs such as the cost of Land Survey, Stamp Duty and Development Cost incurred in bringing the Land to its present condition and acquiring.

21. TRADE AND OTHER RECEIVABLES

	GROUP		COMPANY	
	2017	2016	2017	2016
	LKR	LKR	LKR	LKR
Trade Receivables	1,634,519,522	1,712,590,723	17,391,249	22,000,875
Provision for Bad and Doubtful Debts (Note 21.2)	(224,642,992)	(484,870,185)	(17,205,708)	(16,134,920)
	1,409,876,531	1,227,720,537	185,541	5,865,955
Loans Granted (Note 21.1)	95,272,102	189,567,432	678,741	15,299,960
Other Receivables	166,256,238	299,574,219	1,053,155	20,972,527
Other Receivables - Related Parties (Note 21.3)	31,557,717	7,322,172	38,505,172	35,586,667
Provision for Bad and Doubtful Debts (Note 21.2)	(90,191,180)	(45,752,382)	-	-
	1,612,771,407	1,678,431,978	40,422,608	77,725,109
Deposits, Advances and Prepayments	188,767,230	186,993,066	5,422,640	6,357,574
	1,801,538,637	1,865,425,044	45,845,248	84,082,683
21.1 Loans Granted				
Loans Granted - Individuals	68,363,928	170,962,200	-	18,540,123
Loans Granted - Institutions	27,421,107	23,037,069	1,191,674	1,191,674
Provision for Bad and Doubtful Debts	(512,933)	(512,933)	(512,933)	(512,933)
Interest In Suspense	-	(3,918,904)	-	(3,918,904)
	95,272,102	189,567,432	678,741	15,299,960
21.2 Provision for Bad and Doubtful Debts				
Balance as at the beginning of the year	530,622,567	1,174,709,177	16,134,920	162,393,844
Provision/ (Reversal) made during the year	55,739,062	(31,552,578)	1,070,788	20,670,447
Written off	(271,527,455)	(612,534,033)	-	(166,929,371)
Balance at the end of the year	314,834,172	530,622,567	17,205,708	16,134,920

Notes to the Financial Statements *Contd.*

21.3 Amounts Due From Related Parties

	Relationship	GROUP		COMPANY	
		2017	2016	2017	2016
		LKR	LKR	LKR	LKR
Loan to Mr. Ishara Nanayakkara	Other Related Party	-	6,136,743	-	-
Loan to Mr. Roshan Antony	Group Director	1,185,429	1,185,429	-	-
Heron Agro Products (Pvt) Ltd	Subsidiary	-	-	38,505,172	32,467,908
Lexinton Holdings (Pvt) Ltd	Subsidiary	-	-	-	3,118,759
Loan given to Murali Prakash	Group MD	20,372,287	-	-	-
Loan given to Prithiv Dorai	Group Director	10,000,000	-	-	-
		31,557,717	7,322,172	38,505,172	35,586,667

22. CASH AND CASH EQUIVALENTS

	GROUP		COMPANY	
	2017	2016	2017	2016
	LKR	LKR	LKR	LKR
Cash at Bank	291,017,493	185,611,277	66,750	659,718
Cash in Hand	135,000	125,125	40,000	40,000
Commercial Paper	-	842,052	-	-
Short Term Deposit	524,263,765	251,525,509	-	-
	815,416,259	438,103,963	106,750	699,718
Bank Overdrafts used for cash management purposes	(3,400,050,468)	(2,677,979,089)	(1,866,685,610)	(1,536,767,614)
Cash & Cash Equivalents in the Statement of Cash Flow	(2,584,634,209)	(2,239,875,126)	(1,866,578,860)	(1,536,067,896)

23. STATED CAPITAL

	GROUP		COMPANY	
	2017	2016	2017	2016
	LKR	LKR	LKR	LKR
Issued Capital				
1,002,724,815 Ordinary Shares issued & fully paid	1,053,643,405	1,053,643,405	1,053,643,405	1,053,643,405

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the shareholders.

24. INTEREST BEARING LOANS AND BORROWINGS

	Note	GROUP		COMPANY	
		2017	2016	2017	2016
		LKR	LKR	LKR	LKR
Repayable after one year					
Loans from Non-Financial Institutions	24.1	300,718,756	285,346,035	-	-
Finance Leases	24.2	20,891,528	22,083,207	-	-
Bank Loans	24.3	591,861,275	275,966,336	-	-
		913,471,560	583,395,578	-	-
Repayable within one year					
Loans from Non-Financial Institutions	24.1	4,835,547	4,671,952	4,835,547	4,671,952
Finance Leases	24.2	1,191,679	1,083,345	-	-
Short Term Loans	24.5	1,092,848,228	1,539,033,734	-	-
Bank Loans	24.3	724,116,143	1,212,388,120	426,433,764	1,036,162,545
Loans granted by Related Parties	24.4	4,421,637	136,902,068	-	118,059,236
Bank Overdrafts		3,400,050,468	2,677,979,089	1,866,685,610	1,536,767,614
		5,227,463,700	5,572,058,308	2,297,954,921	2,695,661,347
		6,140,935,260	6,155,453,886	2,297,954,921	2,695,661,347

24.1 Loans from Non-Financial Institutions

	Note	As at 01.04.2016	Obtained	Repayments	Interest payable	As at 31.03.2017
		LKR	LKR	LKR	LKR	LKR
Repayable after one year						
GROUP						
Brown Investments PLC	24.1.1	70,429,594	-	-	3,794,324	74,223,918
S.F.L. Services (Pvt) Ltd.	24.1.1	75,453,957	-	-	4,065,002	79,518,959
Brown & Company PLC	24.1.1	139,462,484	-	-	7,513,395	146,975,879
		285,346,035	-	-	15,372,721	300,718,756
Repayable within one year						
GROUP						
ASR Holdings (Pvt) Ltd	24.1.1	4,671,952	-	(255,000)	418,595	4,835,547
		4,671,952	-	(255,000)	418,595	4,835,547
COMPANY						
ASR Holdings (Pvt) Ltd		4,671,952	-	(255,000)	418,595	4,835,547
		4,671,952	-	(255,000)	418,595	4,835,547

Notes to the Financial Statements *Contd.*

24.1.1 GROUP

	Interest	Repayments Terms
ASR Holdings (Pvt) Ltd	10%	on demand
Browns Investments PLC	6%	By way of a "Debt Novation Agreement"
S.F.L. Services (Pvt) Ltd.	6%	By way of a "Debt Novation Agreement"
Browns & Company PLC	6%	By way of a "Debt Novation Agreement"

24.2 Finance Leases

	GROUP	
	2017	2016
	LKR	LKR
BOI Sri Lanka	37,400,000	40,800,000
Net Liability	37,400,000	40,800,000
Gross Liability	37,400,000	40,800,000
Finance Charges allocated to future periods	(15,316,793)	(17,633,448)
Net Liability	22,083,207	23,166,552
Repayable after one year	20,891,528	22,083,207
Repayable within one year	1,191,679	1,083,345

Security: Absolute ownership of the assets under lease will be with the lessor till the expiration of the lease period.

This represents finance lease arrangement between Board of Investment of Sri Lanka and South Asia Textiles Ltd.

	As at 01.04.2016	Loans Obtained	Repayment	Exchange Gain / Loss	As at 31.03.2017
	LKR	LKR	LKR	LKR	LKR
24.3 Bank Loans					
GROUP					
National Development Bank PLC - Revolving Loan	300,000,000	300,000,000	(300,000,000)	-	300,000,000
Seylan Bank PLC	236,053,342	163,856,352,178	(163,965,971,755)	-	126,433,764
National Development Bank PLC	24,177,454	-	(25,088,249)	910,794	-
Hatton National Bank PLC	227,260,617	42,308,242	(87,420,414)	10,248,857	192,397,301
People's Bank	20,535,375	29,943,966	(28,277,139)	235,444	22,437,646
Bank of Ceylon-Term Loan	10,460,200	-	(5,457,504)	-	5,002,696
Bank of Ceylon-Packing Credit Loan	12,388,231	-	(12,388,231)	-	-
National Development Bank PLC-Term Loan (FCBU)	34,816,645	-	(24,775,704)	889,291	10,930,232
Perpetual Treasuries Limited	500,109,203	16,112,042,103	(16,612,151,306)	-	-
Sampath Bank Term Loan (FCBU) TL - 03	91,632,901	61,860,300	(53,955,051)	6,056,143	105,594,293
People's Bank - Import Loan	30,920,487	597,421,075	(98,645,078)	23,485,000	553,181,485
	1,488,354,455	180,999,927,863	(181,214,130,430)	41,825,529	1,315,977,418
Repayable after one year	275,966,336	-	-	-	591,861,275
Repayable within one year	1,212,388,120	-	-	-	724,116,143
COMPANY					
National Development Bank PLC - Revolving Loan	300,000,000	300,000,000	(300,000,000)	-	300,000,000
Seylan Bank PLC	236,053,342	163,856,352,178	(163,965,971,755)	-	126,433,764
Perpetual Treasuries Limited	500,109,203	16,112,042,103	(16,612,151,306)	-	-
	1,036,162,545	180,268,394,281	(180,878,123,061)	-	426,433,764
Repayable after one year	-	-	-	-	-
Repayable within one year	1,036,162,545	-	-	-	426,433,764

24.3.1 Terms and Condition

Company	Lender/rate of interest (p.a.)	2017	2016	Repayment	Security
Taprobane Holdings PLC	National Development Bank PLC - 16%	300,000,000	300,000,000	180 Days revolving loan	Primary mortgage over freehold commercial property in plan No. 184/2001 situated at No.10 , Goltani Road, Colombo- 08
	Seylan Bank PLC - 9.75%	126,433,764	236,053,342	Due on accepted date	Related treasury bond
	Perpetual Treasuries Limited -9.00%	-	500,109,203	Due on accepted date	Related treasury bond
Palla & Company (Pvt) Ltd	National Development Bank PLC - 6.5% - 12.5%	-	24,177,454		
Royal Fernwood Porcelain Ltd	Hatton National Bank PLC				
	- Term loan USD (LIBOR + 5.25%)	154,527,076	18,798,120	83 Equal monthly Installments of Rs. 14,473/	Primary mortgage bond over immovable property in the factory at Kosgama
	- Term loan LKR (AWPLR + 2.0% p.a.)	15,978,480	172,142,557	83 Equal monthly Installments of Rs. 235,490/	
	- Packing Credit loan (AWPLR+2%)	15,960,467	27,014,905	Settlements Through sales proceeds	
	- Import loan (AWPLR+2%)	5,931,280	7,096,386	Settlements Through sales proceeds	
	- Import loan EUR	-	2,208,651		
People's Bank					
	- Packing Credit Loan (Sight Commission of 0.25%/Usance: 0.325%)	22,437,646	20,535,374	90 days from the loan granted	Title of goods shipped and indemnity of the company
	- Import loan (AWPLR + 2.0% to 4%)	21,216,485	30,920,487	90 days from the loan granted	Corporate guarantees of Parent company - Lanka Century Investment PLC
South Asia Textiles Ltd	National Development Bank				
	- Term loan - 1 (6 Month LIBOR + 6.45%)	10,930,235	20,945,324	Monthly LKR 998,574.30	Machinery, Leasehold Building and Inventory
	- Term loan - 2 (LIBOR + 6.08%)	-	13,871,323	Monthly 3,642,789.92	
	Sampath Bank PLC				
	- Term loan - 3 (4 % p.a + 3 Months LIBOR with a Floor rate of 4.75% p.a.)	74,041,169	91,632,900	Monthly LKR 1,851,238.20	
	- Term loan - 4 (4.5% p.a + 3 Months LIBOR with a Floor rate of 4.75% p.a.)	31,553,124	-	Monthly LKR 2,766,218	
	People's Bank				
Dankotuwa Porcelain PLC	- Term loan - 5 (4.5% p.a + 6 Months LIBOR with a Floor rate of 5.25% p.a.)	531,965,000	-	Monthly LKR 11,095,270/-	
	Bank of Ceylon				
	- Term Loan (AWPLR+2.5% additional 4% p.a for overdue)	5,002,696	10,460,200	48 monthly installments	Mortgage over machinery
	- Packing Credit Loan (3 months LIBOR +4% p.a for overdue)	-	12,388,231	Maximum 4 months	Floating hypothecation over stocks and book debts of the company
		1,315,977,421	1,488,354,459		

24.4 Loans Payable to Related Parties

As at 31st March	Interest rate	Repayments Terms	GROUP		COMPANY	
			2017	2016	2017	2016
			LKR	LKR	LKR	LKR
Mr. W.J.Anthony or Mr. R.R.Anthony	10%	On Demand	-	4,000,986	-	4,000,986
Mrs. Janaki Sugathadasa	10%	On Demand	-	1,482,237	-	1,482,237
Mr. R. P. Sugathadasa	10%	On Demand	-	1,023,018	-	1,023,018
Mr. R Jayasinghe	10%	On Demand	-	4,701,159	-	4,701,159
Mr. G Sugathadasa	10.50%	On Demand	-	829,361	-	829,361
Mr. P.C.H Wariyapola & M B H Wariyapola	10%	On Demand	-	19,225,702	-	19,225,702
Mr. I C Nanayakkara	10%	On Demand	-	47,040,678	-	47,040,678
Mr. S. Wikramanayake	0%	On Demand	-	14,962,819	-	-
Mr. Eric Wikramanayake	13.93%	On Demand	4,421,637	3,880,013	-	-
Mr. Roshan R Antony or Mrs Udeni Ratnayake	10%	On Demand	-	39,756,095	-	39,756,095
			4,421,637	136,902,068	-	118,059,236

24.5 Short Term Loans

	As at 01.04.2016	Loans Obtained	Repayment	Exchange Gain/ Loss	Accrued Interest	As at 31.03.2017
	LKR	LKR	LKR	LKR	LKR	LKR
GROUP						
Short Term Loan - National Development Bank PLC*	36,582,037	-	(42,809,477)	-	6,227,441	-
Short Term Loan - Hatton National Bank PLC	125,162,918	146,971,761	(218,329,518)	-	-	53,805,161
Trust Receipt Loans - Peoples' Bank	721,346,567	803,693,620	(1,217,009,178)	2,957,134	-	310,988,143
Trust Receipt Loans - Pan Asia Banking Corporation PLC	38,753,716	-	(39,190,075)	436,359	-	-
Short Term Loan - Bank of Ceylon	-	236,618,613	(177,940,124)	-	-	58,678,489
Revolving Import Loans - Seylan Bank PLC	172,645,666	1,102,915,087	(1,283,535,641)	7,974,888	-	-
Revolving Import Loans - Nations Trust Bank	392,020,362	1,951,235,793	(2,092,061,842)	18,182,125	-	269,376,437
Import Finance Loan- Sampath Bank PLC	52,522,468	290,362,874	(343,896,390)	1,011,046	-	-
Import/ Export Finance Loan/ DFCC Vardana Bank	-	419,457,527	(428,808,316)	9,350,789	-	-
Revolving Loan - Seylan Bank PLC	-	400,000,000	-	-	-	400,000,000
	1,539,033,734	5,351,255,274	(5,843,580,562)	39,912,341	6,227,441	1,092,848,228
	1,539,033,734					1,092,848,228

* Short term loan repayment includes LKR 28,309,107 loan written back.

Notes to the Financial Statements *Contd.*

24.5.1

Company	Lender/rate of interest (p.a.)	2017	2016	Repayment	Security
South Asia Textiles Ltd	People's Bank				
	- Trust Receipt Loans (3 % p.a + 3 months LIBOR with a Floor rate of 4.25% p.a.)	279,680,771	554,556,946	At maturity bills should be retired by borrower's own funds or from STL proceeds.	Machinery, Leasehold Building and Inventory were pledged as security.
	PABC Bank				
	- Trust Receipt Loans -5 % p.a	-	38,753,716	Re paid within a period of 150 days	Machinery, Leasehold Building and Inventory were pledged as security.
	Seylan Bank				
	- Revolving Import Loans (3 months LIBOR + 3.5% p.a)	-	172,645,666	Maximum 120 days	Machinery, Leasehold Building and Inventory were pledged as security.
	NTB				
	- Revolving Import Loan (3.% p.a + 3 months LIBOR with a Floor rate of 3.25% p.a.)	269,376,438	392,020,363	On Demand	Machinery, Leasehold Building and Inventory were pledged as security.
	Sampath Bank				
	- Import Finance Loan	-	52,522,470	On Demand	Machinery, Leasehold Building and Inventory were pledged as security.,
	DFCC Vardhana Bank				
	- Import/Export Finance Loan (3 months LIBOR + 3.5% p.a)	-	-	On Demand	

Company	Lender/rate of interest (p.a.)	2017	2016	Repayment	Security
Ceylon Leather Products PLC	Peoples Bank - STL (AWPLR+2% p.a)	31,307,371	166,789,621	Repayable within 120 days	Mortgage over Land, building and Immovable Machinery at Mattakulya
	Hatton National Bank PLC - STL (AWPLR+2.5% p.a)	53,805,161	125,162,918	Repaid within maximum period of 90 days	Mortgage over Land, building and Immovable Machinery at Mattakulya
	Bank of Ceylon - STL (AWPLR+1.75% p.a)	58,678,489	-	Max 120 days	Series of loan agreement and Mortgage over stocks and receivables
Lanka century Investments PLC	Seylan Bank PLC - Revolving Loan (01M AWPLR +2%)	400,000,000	-	-	Quoted shares
Olancom (Pvt) Limited	National Development Bank Term Loan - STL USD 6%-10%		36,582,037	-	Quoted shares
		1,092,848,230	1,539,033,736		

Notes to the Financial Statements *Contd.*

25. RETIREMENT BENEFIT OBLIGATION

	Note	GROUP		COMPANY	
		2017	2016	2017	2016
		LKR	LKR	LKR	LKR
Present value of unfunded gratuity		260,078,371	267,157,530	3,888,054	4,550,643
		260,078,371	267,157,530	3,888,054	4,550,643
25.1 Provision for Retiring Gratuity					
Balance at the beginning of the year		267,157,528	236,741,258	4,550,643	4,080,233
Adjusted opening balance		267,157,528	-	4,550,643	4,080,233
Current service cost	25.2	25,792,829	26,147,168	402,935	492,032
Interest cost	25.2	24,726,633	22,637,453	455,064	408,023
Actuarial losses/(gains)	25.3	(22,990,329)	12,574,735	(228,088)	(429,645)
Acquisition of subsidiary/(disposals) during the year		-	(87,318)	-	-
Amounts Payable		(627,000)	-	(627,000)	-
Payment made during the year		(33,981,292)	(30,855,766)	(665,500)	-
Balance at the end of the year		260,078,371	267,157,530	3,888,054	4,550,643
25.2 Expenses recognized in Comprehensive Income					
Current service cost		25,792,829	26,147,168	402,935	492,032
Interest cost		24,726,633	22,637,453	455,064	408,023
		50,519,462	48,784,621	857,999	900,055
25.3 Expenses recognized in Other Comprehensive Income					
Actuarial losses/(gains)		(22,990,329)	12,574,735	(228,088)	(429,645)
		(22,990,329)	12,574,735	(228,088)	(429,645)

25.4 LKAS 19 “Employee Benefits” requires the use of actuarial techniques to make a reliable estimate of the amount of retirement benefit that employee have earned in return for their service in the current and prior periods and discount that benefit in order to determine the present value of the retirement benefit obligation and the current service cost.

This requires an entity to determine how much benefit is attributable to the current and prior periods and to make estimate about demographic variables and financial variables that will influence the cost of the benefit.

25.5 Principal actuarial assumptions used are as follows :

	2017	2016
(i) Rate of interest	12%	10%
(ii) Rate of salary increment	8% - 10%	10%
(iii) Staff turnover factor (as a %)	5% - 10%	5%-10%
(iv) The Company will continue as a going concern		

25.6 Sensitivity Analysis

Reasonably possible changes at the reporting date to one of the relevant actuarial assumptions, holding other assumptions constant, would affect the defined benefit obligation by the amounts shown below.

	GROUP		COMPANY	
	2017	2016	2017	2016
	LKR	LKR	LKR	LKR
Discount Rate - (1% Increase)	(11,844,786)	(9,335,398)	(361,906)	(414,583)
Discount Rate - (1% Decrease)	12,966,049	8,239,312	407,954	470,299
Salary Increment Rate - (1% Increase)	14,356,313	8,676,334	434,912	449,094
Salary Increment Rate - (1% Decrease)	(13,323,451)	(6,113,000)	(390,015)	(403,769)

25.7 Maturity Profile of the Defined Benefit Plan

	GROUP		COMPANY	
	2017	2016	2017	2016
	LKR	LKR	LKR	LKR
Within Next 12 Months	44,879,374	36,607,380	21,701	530,366
Between 1 - 2 Years	33,713,524	31,939,139	-	117,997
Between 2 - 5 Years	61,750,727	57,251,887	145,241	-
Between 5- 10 Years	107,978,814	121,772,834	3,721,112	3,902,280
Beyond 10 years	11,755,932	19,586,292	-	-
	260,078,371	267,157,530	3,888,054	4,550,643

Notes to the Financial Statements *Contd.*

26. DEFERRED TAX

	GROUP		COMPANY	
	2017	2016	2017	2016
	LKR	LKR	LKR	LKR
Deferred Tax Asset				
Balance as at the beginning of the year	78,657,354	26,152,861	1,197,460	1,066,359
Recognized in profit or loss	(5,339,518)	52,280,860	(141,764)	251,401
Recognized in other comprehensive income	(1,729,226)	232,327	(63,865)	(120,300)
Assets classified as held for sale	-	(8,694)	-	-
Balance as at the end of the year	71,588,610	78,657,354	991,831	1,197,460
Deferred Tax Liability				
Balance as at the beginning of the year	250,823,140	274,204,669	-	-
Recognized in profit or loss	(5,230,129)	(35,902,415)	-	-
Recognized in other comprehensive income	11,865,415	16,958,782	-	-
Assets classified as held for sale (Note 4)	(17,686,340)	(4,437,896)	-	-
Balance as at the end of the year	239,772,085	250,823,140	-	-
Net Differed Tax Asset / (Liability)	(168,183,476)	(172,165,786)	991,831	1,197,460
Composition of deferred tax assets/ (liabilities) as follows;				
Property, Plant and Equipment	(280,002,604)	(184,469,663)	-	(76,720)
Retirement Benefit Obligation	49,878,122	(249,981,682)	991,831	1,274,180
Revaluation of Land and Building to Fair Value	(166,492,287)	50,683,072	-	-
Losses available for offset against future Taxable Income	176,801,170	176,568,548	-	-
Others	51,632,123	35,033,939	-	-
	(168,183,476)	(172,165,786)	991,831	1,197,460

The above deferred tax arising from timing difference of depreciation, impairment of debtors, unutilized portion of carried forward tax losses and gratuity. The deferred tax asset arising from the unused tax losses amounting to LKR 742 Mn has not been recognised as the management is not certain whether there will be sufficient taxable profit to utilized the same.

27. TRADE AND OTHER PAYABLES

As at 31st March		GROUP		COMPANY	
		2017	2016	2017	2016
		LKR	LKR	LKR	LKR
Trade Payables		997,185,343	1,025,786,772	-	-
Other Payables		231,883,294	311,003,903	-	-
Other Payables - Related Parties (Note 27.1)		377,569	118,234,016	1,028,578,453	1,022,116,146
Accrued & Other Payable		424,769,648	409,276,390	9,413,307	13,444,216
		1,654,215,855	1,864,301,080	1,037,991,760	1,035,560,362

27.1 Amounts Due to Related Companies

	Relationship	GROUP		COMPANY	
		2017	2016	2017	2016
		Rs.	Rs.	Rs.	Rs.
Taprobane Investments (Pvt) Ltd	Subsidiary	-	-	54,608,126	40,223,619
Taprobane Plantations Ltd	Other Related party	27,570	-	-	-
Taprobane Securities (Pvt) Ltd	Subsidiary	-	-	72,023,925	56,904,620
ARRC Capital (Pvt) Ltd	Other Related party	350,000	118,234,016	-	117,884,016
Lexinton Holdings (Pvt) Ltd	Subsidiary	-	-	134,262,041	-
Taprobane Wealth Plus (Pvt) Ltd	Subsidiary	-	-	4,696,222	55,381,788
Taprobane Equities (Pvt) Ltd	Subsidiary	-	-	31,882	282,007
Ceylon Leather Products PLC*	Subsidiary	-	-	107,165,714	101,746,277
Colombo City Holdings PLC*	Subsidiary	-	-	20,110,818	52,093,793
Lanka Century Investments PLC*	Subsidiary	-	-	635,679,725	597,600,026
		377,569	118,234,016	1,028,578,453	1,022,116,146

*Payable represents Investments made in Commercial Papers issued by the Company.

Terms and conditions of the amounts due are given in Note 30.2

28. ASSETS AND LIABILITIES

28.1 Accounting Classification and Fair Values

The following table shows the carrying amounts and fair values of financial assets and financial liabilities, including their levels in the fair value hierarchy. It does not include fair value information for financial assets and financial liabilities not measured at fair value if the carrying amount is a reasonable approximation of fair value.

Notes to the Financial Statements *Contd.*

28. ASSETS AND LIABILITIES *(continued)*

GROUP

31 March 2017	Notes	Carrying Amount (LKR)				Carrying Amount (LKR)			Fair Value (LKR)			
		Held-for-Trading	Available For Sale	Loans & Receivables		Held To Maturity	Other Financial Liabilities	Total	Level 1	Level 2	Level 3	Total
Financial Assets and Non Financial Assets measured at fair value												
Investment in Quoted Securities	19.3	1,592,646,485	-	-		-	-	1,592,646,485	1,592,646,485	-	-	1,592,646,485
Investment in Government Securities	19.3	141,842,840	-	-		-	-	141,842,840	141,842,840	-	-	141,842,840
Investment Property	17	-	-	-		-	-	-	-	-	1,164,600,686	1,164,600,686
Investment Property classified as Held for Sale	17	-	-	-		-	-	-	-	-	945,070,313	945,070,313
Property Plant and Equipment	13	-	-	-		-	-	-	-	-	2,226,768,287	2,226,768,287
		1,734,489,325	-	-		-	-	1,734,489,325	1,734,489,325	-	4,336,439,285	6,070,928,611
Financial Assets not measured at fair value												
Investment in Government Securities	19.1	-	-	-		36,166,883	-	36,166,883	-	-	-	-
Bank Deposits	19.2	-	-	12,488,663		-	-	12,488,051	-	-	-	-
Trade Receivables	21	-	-	1,612,771,407		-	-	1,612,771,407	-	-	-	-
Cash & Cash Equivalents	22	-	-	815,416,259		-	-	815,416,259	-	-	-	-
		-	-	2,440,668,329		36,166,883	-	2,476,835,212	-	-	-	-
Financial Liabilities not measured at fair value												
Loans from Non-Financial Institutions	24	-	-	-		-	305,554,303	305,554,303	-	-	-	-
Finance Leases	24	-	-	-		-	22,083,207	22,083,207	-	-	-	-
Bank Loans	24	-	-	-		-	1,315,977,418	1,315,977,418	-	-	-	-
Loans granted by Related Parties	24	-	-	-		-	4,421,637	4,421,637	-	-	-	-
Short Term Loan	24	-	-	-		-	1,092,848,228	1,092,848,228	-	-	-	-
Trade and other Payables	27	-	-	-		-	1,229,068,637	1,229,068,637	-	-	-	-
Amounts Due to Related Companies	27.1	-	-	-		-	377,569	377,569	-	-	-	-
Bank Overdraft	22	-	-	-		-	3,400,050,468	3,400,050,468	-	-	-	-
		-	-	-		-	7,370,381,467	7,370,381,467	-	-	-	-

The carrying amount of cash and bank balances are approximate fair values due to the relatively short maturity of the financial instruments.
For other receivables the carrying values has been considered as the fair value, due to uncertainty of the timing of the cash flow.

Notes to the Financial Statements *Contd.*

28. ASSETS AND LIABILITIES *(continued)*

31 March 2016	Notes	Carrying Amount (LKR)				Carrying Amount (LKR)			Fair Value (LKR)			
		Held-for-trading	Available For Sale	Loans & Receivables		Held To Maturity	Other Financial Liabilities	Total	Level 1	Level 2	Level 3	Total
Financial Assets and Non Financial Assets Measured at fair value												
Investment in Quoted Securities	19.3	865,148,500	-	-		-	-	865,148,500	865,148,500	-	-	865,148,500
Investment in Government Securities	19.3	868,617,840	-	-		-	-	868,617,840	868,617,840	-	-	868,617,840
Investment Property	17	-	-	-		-	-	-	-	-	1,802,670,450	1,802,670,450
Property Plant and Equipment	13	-	-	-		-	-	-	-	-	2,166,128,600	2,166,128,600
		1,733,766,340	-	-		-	-	1,733,766,340	1,733,766,340	-	3,968,799,050	5,702,565,390
Financial Assets not measured at fair value												
Investment in Government Securities	19.1	-		-		35,345,155	-	35,345,155	-	-	-	-
Bank Deposits	19.2	-		371,103,934			-	371,103,934	-	-	-	-
Debentures	19.2			108,403,890				108,403,890	-	-	-	-
Trade Receivables	21	-		1,678,431,978			-	1,678,431,978	-	-	-	-
Investment in Unit Trust	19.2	-		10,076,442			-	10,076,442	-	-	-	-
Cash & Cash Equivalents	22	-		438,103,963			-	438,103,963	-	-	-	-
		-	-	2,606,120,207		35,345,155	-	2,641,465,362	-	-	-	-
Financial Liabilities not measured at fair value												
Loans from Non-Financial Institutions	24	-	-	-		-	290,017,987	290,017,987	-	-	-	-
Finance Leases	24	-	-	-		-	23,166,552	23,166,552	-	-	-	-
Bank Loans	24	-	-	-		-	1,488,354,456	1,488,354,456	-	-	-	-
Loans granted by Related Parties	24	-	-	-		-	136,902,068	136,902,068	-	-	-	-
Short Term Loan	24	-	-	-		-	1,539,033,734	1,539,033,734	-	-	-	-
Trade and other Payables	27	-	-	-		-	1,336,790,675	1,336,790,675	-	-	-	-
Amounts Due to Related Companies	27.1	-	-	-		-	118,234,016	118,234,016	-	-	-	-
Bank Overdraft	22	-	-	-		-	2,677,979,089	2,677,979,089	-	-	-	-
		-	-	-		-	7,610,478,577	7,610,078,577	-	-	-	

Carrying values of financial liabilities have been considered as the fair value, due to uncertainty of the timing of the cash flow.

Notes to the Financial Statements *Contd.*

28. ASSETS AND LIABILITIES *(continued)*

28.2 Accounting Classification and Fair Values

The following table shows the carrying amounts and fair values of financial assets and financial liabilities, including their levels in the fair value hierarchy. It does not include fair value information for financial assets and financial liabilities not measured at fair value if the carrying amount is a reasonable approximation of fair value.

COMPANY

31 March 2017	Notes	Carrying Amount (LKR)				Carrying Amount (LKR)			Fair Value (LKR)			
		Held-for-trading	Available For Sale	Loans & Receivables		Held To Maturity	Other Financial Liabilities	Total	Level 1	Level 2	Level 3	Total
Financial Assets measured at fair value												
Investment in Quoted Securities	19.3	2,131,350	-	-		-	-	2,131,350	2,131,350	-	-	2,131,350
Investment in Government Securities	19.3	141,842,840	-	-		-	-	141,842,840	141,842,840	-	-	141,842,840
Investment Property	17	-	-	-		-	-	-	-	-	23,000,000	23,000,000
		143,974,190	-	-	-	-	-	143,974,190	143,974,190	-	23,000,000	166,974,190
Financial Assets not measured at fair value												
Trade Receivables	21	-	-	40,422,608		-	-	40,422,608	-	-	-	-
Cash & Cash Equivalents	22	-	-	106,750		-	-	106,750	-	-	-	-
		-	-	40,529,358		-	-	40,529,358	-	-	-	-
Financial Liabilities not measured at fair value												
Loans from Non-Financial Institutions	24	-	-	-		-	4,835,547	4,835,547	-	-	-	-
Bank Loans	24	-	-	-		-	426,433,764	426,433,764	-	-	-	-
Amounts Due to Related Companies	27.1	-	-	-		-	1,028,578,453	1,028,578,453	-	-	-	-
Bank Overdraft	22	-	-	-		-	1,866,685,609	1,866,685,609	-	-	-	-
		-	-	-		-	3,326,533,373	3,326,533,373	-	-	-	-

The carrying amount of cash and bank balances are approximate fair values due to the relatively short maturity of the financial instruments. For other receivables the carrying values has been considered as the fair value, due to uncertainty of the timing of the cash flow.

Notes to the Financial Statements *Contd.*

28. ASSETS AND LIABILITIES *(continued)*

COMPANY *Contd.*

31 March 2016		Carrying Amount (LKR)				Carrying Amount (LKR)			Fair Value (LKR)			
	Notes	Held-for-trading	Available For Sale	Loans & Receivables		Held To Maturity	Other Financial Liabilities	Total	Level 1	Level 2	Level 3	Total
Financial Assets measured at fair value												
Investment in Quoted Securities	19.3	1,705,080	-	-		-	-	1,705,080	1,705,080	-	-	1,705,080
Investment in Government Securities	19.3	868,617,840	-	-		-	-	868,617,840	868,617,840	-	-	868,617,840
Investment Property	17	-	-	-		-	-	-	-	-	23,000,000	23,000,000
		870,322,920	-	-		-	-	870,322,920	870,322,920	-	23,000,000	893,322,920
Financial Assets not measured at fair value												
Trade Receivables	21	-	-	77,725,109		-	-	77,725,109	-	-	-	-
Cash & Cash Equivalents	22	-	-	699,718		-	-	699,718	-	-	-	-
		-	-	78,424,827		-	-	78,424,827	-	-	-	-
Financial Liabilities not measured at fair value												
Loans from Non-Financial Institutions	24	-	-	-		-	4,671,952	4,671,952	-	-	-	-
Bank Loans	24	-	-	-		-	1,036,162,545	1,036,162,545	-	-	-	-
Loans granted by Related Parties	24	-	-	-		-	118,059,236	118,059,236	-	-	-	-
Amounts Due to Related Companies	27.1	-	-	-		-	1,022,116,146	1,022,116,146	-	-	-	-
Bank Overdraft	22	-	-	-		-	1,536,767,614	1,536,767,614	-	-	-	-
		-	-	-		-	3,717,777,493	3,717,777,493	-	-	-	-

The carrying amount of cash and bank balances are approximate fair values due to the relatively short maturity of the financial instruments.
For other receivables the carrying values has been considered as the fair value, due to uncertainty of the timing of the cash flow.

Notes to the Financial Statements *Contd.*

29. Commitments and Contingent Liabilities

29.1 Commitments - Company

The company does not have any significant capital commitment as at the reporting date.

29.2 Commitments - Group

29.2.1 South Asia Textiles Ltd

Operating Lease Commitments

The Company has an operating lease for land. This lease has a term of renewal but no purchase option and escalation clause. Renewals are at the option of the specific entity that holds the lease. Future lease payments under operating lease contract are as follows;

	2017	2016
	LKR	LKR
Within one year	3,000,000	3,000,000
After one year but not more than five years	15,000,000	15,000,000
More than five years	15,000,000	18,000,000
Present value of minimum lease payments	33,000,000	36,000,000

29.3 Contingent Liability - Company

The company does not have any significant contingent liabilities as at the reporting date

29.4 Contingent Liability - Group

The Contingent liability of the Group relates to the following :

29.4.1 Lanka Century Investment PLC

	2017	2016
	LKR	LKR
Bank Guarantees		
Guarantees given to following facilities on behalf of South Asia Textiles Ltd;		
Nations Trust Bank PLC (USD 4,000,000)	-	587,120,000
Habib Bank Ltd (USD 750,000)	110,085,000	110,085,000
Guarantees given to following facility on behalf of Royal Fernwood Porcelain Ltd;		
People's Bank PLC	65,000,000	65,000,000
Guarantee given to Tax Appeal Commission on behalf of Lanka Century Investment PLC	8,254,745	-

29.4.2 Ceylon Leather Products PLC

Letters of Credit and Bank Guarantees	2017	2016
	LKR	LKR
Letters of Credit Opened with Banks favoring suppliers	6,500,000	1,800,000
Guarantees Issued by Banks on behalf of the Company	49,900,000	143,500,000
Guarantees given to following facilities on behalf of South Asia Textiles Ltd;		
People's Bank of Sri Lanka (USD 4,500,000)	677,160,000	660,510,000
Pan Asia Banking Corporation (USD 1,500,000)	-	220,170,000
DFCC Bank PLC (USD 2,500,000)	384,750,000	366,950,000
Sampath Bank PLC (USD 1,146,000)	-	168,209,880
Guarantees given to Palla & Company (Pvt) Ltd;	138,510,000	132,102,000

29.4.3 Royal Fernwood Porcelain Limited

Letter of Credit	2017	2016
	LKR	LKR
Letter of credit opened with Banks favoring suppliers	50,000,000	50,000,000

Notes to the Financial Statements *Contd.*

30. Related Party Transactions

30.1 Identity of related parties

The Company has related party relationship with its subsidiaries, associates, affiliate companies and with key management personnel. (KMP)

30.2 Transaction with / between subsidiaries and the parent company

Company	Relationship	Nature of transaction	Aggregate Value of RPT entered during the year	Balance (due)/ from as at 31/3/2017	Balance (due)/ from as at 31/3/2016	Aggregate Value of RPT exceeds 10% of the Gross Revenue	Terms & Conditions of the RPT exceeds 10% of the Gross Revenue
Taprobane Investments (Pvt) Ltd	Fully owned subsidiary	Brokerage on money broking	(1,629,836)				
		Brokerage paid	1,506,622				
		Common expenses - reimbursement	1,566,171				
		Common expenses - allocation	(4,199,481)				
		Settlement - Fund Transfers	(1,557,204)				
		Shared service & consultancy fees	4,190,514				
		Loan taken	49,950,000			30%	Payable on Demand
		Loan settlement	(41,400,000)			25%	11.50%
		Interest charged	5,834,507	(54,731,340)	(40,223,619)		
Lexinton Holdings (Pvt) Ltd.	Fully owned subsidiary	Common expenses - reimbursement	32,160				
		Common expenses - allocation	(15,154)				
		Shared service & consultancy fees	1,908,974				
		Settlement - Fund Transfers	(1,925,980)				
		Loan taken	(139,780,000)			83%	Payable on Demand
		Loan settlement	9,700,000				11.50%
		Interest charged	(7,300,800)	(134,262,041)	3,118,759		
Taprobane Securities (Pvt) Ltd	Fully owned subsidiary	Common expenses - reimbursement	292,771				
		Common expenses - allocation	(716,678)				
		Shared service & consultancy fees	3,732,442				
		Settlement - Fund Transfers	(3,308,535)				
		Loan obtained	(130,500,000)			78%	Payable on Demand
		Loan repayment	121,966,948			73%	11.5%, 15%
		Interest expenses on loans and borrowings	(6,586,253)	(72,023,925)	(56,904,620)		

Company	Relationship	Nature of transaction	Aggregate Value of RPT entered during the year	Balance (due)/ from as at 31/3/2017	Balance (due)/ from as at 31/3/2016	Aggregate Value of RPT exceeds 10% of the Gross Revenue	Terms & Conditions of the RPT exceeds 10% of the Gross Revenue
Taprobane Wealth Plus (Pvt) Ltd	Fully owned subsidiary	Settlement - fund transfers	(329,812)				
		Shared service & consultancy fees	329,812				
		Loan repayment	55,600,000			33%	Payable on Demand
		Interest expenses on loans and borrowings	(4,914,434)	(4,696,222)	(55,381,788)		11.5%
Heron Agro Products (Pvt) Ltd	Fully owned subsidiary	Loan granted	1,944,600				
		Interest income on loans and borrowings	3,982,540				
		Shared service & consultancy fees	110,124	38,505,172	32,467,908		
Lexinton Financial Services (Pvt) Ltd	Fully owned subsidiary	Settlement - fund transfers	(641,822)				
		Common expenses - reimbursement	11,379				
		Shared service & consultancy fees	630,443	-	-		
Lanka Century Investments PLC	subsidiary	interest repayment	34,613,023			21%	Commercial Papers- Payable on Demand
		Interest expenses on loans and borrowings	(72,692,722)	(635,679,725)	(597,600,026)	43%	15%
Taprobane Equities (Pvt) Ltd	Fully owned subsidiary	Shared service & consultancy fees	250,124	(31,883)	(282,007)		
Ceylon Leather Products PLC	subsidiary	interest repayment	5,859,682				
		Interest expenses on loans and borrowings	(11,279,119)	(107,165,713)	(101,746,277)		
Colombo City Holdings PLC	subsidiary	Loan obtained	(50,000,000)			30%	Commercial Papers - Payable on Demand
		interest repayment	88,054,631			53%	12.5%, 15%
		Interest expenses on loans and borrowings	(6,071,655)	(20,110,818)	(52,093,793)		
ARRC Capital (Pvt) Ltd	Common KMP	Loan obtained	(128,000,000)			76%	Payable on Demand
		Loan repayment	254,513,404			152%	10%, 15%
		Interest expenses on loans and borrowings	(8,629,388)				
		Common expenses - allocation	(311,379)				
		Settlement - fund transfers	311,379	-	(117,884,016)		
Ruwan Sugathadasa	CEO	Loan Taken	(4,071,918)				
		Loan repayment	5,424,853				
		Interest - Net	(329,917)	-	(1,023,018)		
Murali Prakash	Group MD / CEO	Loan repayment	1,500,000				
		Interest - Net	(1,719,536)	(25,448,154.74)	(25,228,618)		

The above percentages are based on the company's gross revenue of Rs.168 Mn

Notes to the Financial Statements *Contd.*

30. Related Party Transactions *(continued)*

30.3 Transaction with other related entities

Group	Nature of transaction	Amount	Balance (due)/ from as at 31/3/2017	Balance (due)/ from as at 31/3/2016	Aggregate Value of RPT exceeds 10% of the Net Assets	Terms & Conditions of the RPT exceeds 10% of the Net Assets
United Hotels Company (Pvt) Ltd.	Sales of Goods	545,344				
	(Receipts) / Payments	(552,112)	-	6,768	-	-
Suisse Hotel Kandy (Pvt) Ltd	Sales of Goods	63,531				
	(Receipts) / Payments	(298,547)	531	235,547	-	-
Ceylon Hotel Corporation PLC	Sales of Goods	805,437				
	(Receipts) / Payments	(1,283,557)	(21,357)	456,763	-	-
Hirdaramani International Exports (Pvt) Ltd	Sales of Goods	909,084,846				
	(Receipts) / Payments	(946,531,735)	68,634,261	106,081,150	-	-
CHC Investments (Pvt) Ltd	Investment in Shares	618,584,315	618,584,315	-	17%	At the quoted market price

30.4 Transactions with Key Management Personnel

Key Management Personnel include members of the Board of Directors of Taprobane Holdings PLC and its subsidiary companies. The transactions with Key Management Personnel are done on arms length basis.

30.4.1 Key Management Personnel Compensation

As at 31st March	GROUP		COMPANY	
	2017	2016	2017	2016
	LKR	LKR	LKR	LKR
Short-term employee benefits	264,978,345	203,588,752	15,240,707	10,210,000
Loan Granted	-	36,412,117	-	-
Loan Recovered	-	63,891,708	-	-
Loan Obtained	4,071,918	45,139,122	4,071,918	45,139,122
Settlement of Loan	6,924,853	8,637,840	5,424,853	8,637,840
Net Interest	2,049,454	1,807,510	329,917	760,469

30.5 Terms and conditions of transactions with related parties

Transactions with related parties are carried out in the ordinary course of the business. Outstanding current account balances at year end are unsecured and settlement occurs in cash. Interest bearing borrowings are at pre-determined interest rates and terms.

30.6 Non Recurrent Related Party Transactions

There were no non-recurrent related party transactions that exceeded the thresholds that required the immediate market disclosure or shareholder approval as required under Section 9 of the Continuing Listing Requirement of the Colombo Stock Exchange.

30.7 Recurrent Related Party Transactions

There were an instances where aggregated recurrent related party transactions exceeded the thresholds which required the disclosure in Financial Statements as per Section 9 of the Continuing Listing Requirements of the Colombo Stock Exchange . Accordingly, the required disclosure is given in note 30.2 to the Financial Statements.

31. Events Occurring After Reporting Period

No circumstances have arisen since the reporting date which would require adjustment to or disclosure in financial statement except for the following;

31.1 Browns Investments PLC

On 12 April 2017 Lanka Century Investments PLC disposed 370Mn shares of Browns Investment PLC at LKR 1.50 per share.

31.2 Lanka Century Investments PLC (LCI) and Group restructuring process

As part of the Group restructuring process, LCI is in the process of acquiring the shares held by the minority shareholders of Ceylon Leather Products PLC and issue new shares of the

Company amounting to Seven Million Six Hundred and Sixty Six Thousand One Hundred and Eight (7,666,108) of new shares through share SWAP arrangement.

31.3 Colombo City Holdings PLC (CCH) Asset Classified as Held for Sale

On 31 July 2017, the CCH entered into a Sales Agreement with Vision Care Optical Services (Private) Limited to sell an extent of 66.81 perches together with the building standing thereon, for a consideration of Sri Lankan Rupees One Thousand Million subject to obtaining approval of the shareholders at an Extraordinary General Meeting.

31.4 Taprobane Equities (Pvt) Ltd.

The Board of Directors of Taprobane Holdings PLC at their meeting held on 03 May 2017 agreed that in order to implement the proposed restructure of the Taprobane Group of companies, to amalgamate Taprobane Holdings PLC with its wholly owned subsidiary Taprobane Equities (Private) Limited subject to obtaining the relevant approval from the Registrar of Companies in accordance with the provisions of the Company Act. No. 07 of 2007.

Notes to the Financial Statements *Contd.*

32. Assets Pledged

The Company does not have any other assets that are pledged as security for liabilities. However, the subsidiaries of the Group has pledged the following assets.

		Carrying Amount		Included Under
		Pledged		
		2017	2016	
		LKR Mn	LKR Mn	
32.1 Assets Pledged by Taprobane Holdings PLC				
Investment in Shares - 290.6 Mn LCI Shares	Pledge for Facility Granted by Seylan Bank PLC & Pan Asia Bank	3,051.00	2,993.9	Investments in Subsidiaries
32.2 Assets Pledged by Lexinton Holdings (Pvt) Ltd				
Land & Buildings	Primary Mortgage for Loans and Borrowings NDB Bank	251	237	Property, Plant & Equipment
32.3 Assets Pledged by Taprobane Equities (Pvt) Ltd				
Investment in Shares - 60.3 Mn of LCI Shares	Pledge for Facility Granted by Pan Asia Banking Corporation	633	711.90	Investments in Subsidiaries
32.4 Assets Pledged by Lanka Century Investments PLC				
Quoted Equity Investments	Overdraft Facility	3,081.1	2,894.5	Investments in Subsidiaries
	Revolving Loan	449.18	-	Other Current Financial Assets
32.5 Assets Pledged by Ceylon Leather Products PLC				
Immovable Properties	Floating Mortgage for Loans and Borrowings	968.01	991.30	Property, Plant & Equipment
Plant & Machinery Other than leased	Floating Mortgage for Loans and Borrowings	55.37	138.30	Property, Plant & Equipment
Raw Materials, Finished Goods and Work in Progress	Floating Mortgage for Loans and Borrowings	326.62	-	Inventory
Trade Debtors	Floating Mortgage	179.71	-	Debtors
32.6 Assets Pledged by South Asia Textiles Ltd.				
Buildings	Primary Mortgage for Loans and Borrowings	577.33	583.58	Property, Plant & Equipment
Machineries	Primary Mortgage for Loans and Borrowings	1,326.20	772.78	Property, Plant & Equipment

		Carrying Amount		
		Pledged		
		2017	2016	
		LKR Mn	LKR Mn	Included Under
Raw Materials, Finished Goods and Work in Progress	Primary/Concurrent Mortgage for Loans and Borrowings	1,272.03	1,130.58	Inventories
Trade Debtors	Primary/Concurrent Mortgage for Loans and Borrowings	757.99	686.67	Trade and Other Receivables
Margin Accounts	Primary Mortgage for Loans and Borrowings	12.36	11.54	Other Financial Assets
Fixed Deposit	Primary Mortgage for Loans and Borrowings	-	340.00	Other Financial Assets

32.7 Assets Pledged by Palla & Company (Pvt) Ltd

Inventories	USD 19,000 and USD 41,975 short term import loan	-	2.16	Inventories
Trade Debtors	Facility granted by National Development Bank PLC	-	38.43	Trade and Other Receivables

32.8 Assets Pledged by Dankotuwa Porcelain PLC

Inventory and Trade Debtors	For Loans and Borrowings	6.60	602	Inventories and Recoverable
Machinery	Primary Mortgage for Loans and Borrowings	5.00	18.0	Property, Plant & Equipment

32.9 Assets Pledged by Royal Fernwood Porcelain Limited

Land and Buildings & immovable machinery	Term loans and short term borrowings	507.00	580.80	Property, Plant & Equipment
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Notes to the Financial Statements *Contd.*

33. Financial Instruments and Risk Management

Risk management framework

The Board of Directors has overall responsibility for the establishment and oversight of the Group's risk management framework.

The Group's risk management policies are established to identify and analyses the risks faced by the Group, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. All Group level risks are escalated to the parent company and the Board. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Group's activities.

The Group Audit Committee oversees the reports submitted by the Enterprise Risk Management and monitors compliance with the Group's risk management policies and procedures, and reviews the adequacy of the risk management framework in relation to the risks faced.

The Group Audit Committee is assisted in its oversight role by Internal Audit. Internal Audit undertakes both regular and adhoc reviews of risk management controls and procedures, the results of which are reported to the Audit Committee.

A financial instrument is any contract that gives rise to both a financial asset of one enterprise and a financial liability or equity instrument of another enterprise.

The Group has exposure to the following risks from its use of financial instruments:

- (i) Credit risk
- (ii) Liquidity risk
- (iii) Market risk

(i) Credit risk

Credit risk is the risk that one party to a financial instrument will fail to discharge an obligation and cause the other party to incur a financial loss. The Group's exposure to credit risk is as indicated by the carrying amount of its financial assets which consist principally of bank balance, due from related parties, trade and certain other receivables.

Exposure to credit risk

The Group limits its exposure to credit risk by investing only in liquid debt securities.

The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the reporting date was:

As at 31st March	Consolidated		Company	
	2017	2016	2017	2016
	LKR	LKR	LKR	LKR
Fair Value Through Profit & Loss	1,734,489,326	1,733,766,341	143,974,190	870,322,920
Held to Maturity Financial Assets	36,166,883	35,345,155	-	-
Loans & Receivables	12,480,663	489,584,266	-	-
Trade And Other Receivables	1,801,538,637	1,865,425,044	45,845,248	84,082,683
Cash And Cash Equivalents	815,416,259	438,103,963	106,750	699,718
	4,400,091,768	4,562,224,770	189,926,188	955,105,320

The financial assets that are past due and but not impaired and neither past due or impaired as follows:

As at 31st March 2017	Consolidated			Company		
	Neither past due or impaired	Past due and but not impaired	Total	Neither past due or impaired	Past due and but not impaired	Total
Fair Value Through Profit & Loss	-	1,817,179,883	1,817,179,883	-	143,547,920	143,547,920
- Change in fair value of investments	-	(82,690,557)	(82,690,557)	-	426,270	426,270
		1,734,489,326	1,734,489,326	-	143,974,190	143,974,190
Investments in other financial assets	-	48,647,547	48,647,547	-	-	-
Trade and other receivables	-	2,026,181,629	2,026,181,629	-	63,050,956	63,050,956
- Impairment of trade receivables	-	(224,642,992)	(224,642,992)	-	(17,205,708)	(17,205,708)
	-	1,801,538,637	1,801,538,637	-	45,845,248	45,845,248
Cash and cash equivalents	815,416,259	-	815,416,259	106,750	-	106,750
	815,416,259	3,584,675,510	4,400,091,768	106,750	189,819,438	189,926,188

As at 31st March 2016	Consolidated			Company		
	Neither past due or impaired	Past due and but not impaired	Total	Neither past due or impaired	Past due and but not impaired	Total
Fair Value Through Profit & Loss	-	1,906,288,188	1,906,288,188	-	955,007,512	955,007,512
- Change in fair value of investments	-	(172,521,847)	(172,521,847)	-	(84,684,592)	(84,684,592)
		1,733,766,341	1,733,766,341	-	870,322,920	870,322,920
Investments in other financial assets	-	524,929,421	524,929,421	-	-	-
Trade and other receivables	-	2,350,295,229	2,350,295,229	-	100,217,603	100,217,603
- Impairment of trade receivables	-	(484,870,185)	(484,870,185)	-	(16,134,920)	(16,134,920)
	-	1,865,425,044	1,865,425,044	-	84,082,683	84,082,683
Cash and cash equivalents	438,103,963	-	438,103,963	699,718	-	699,718
	438,103,963	4,124,120,806	4,562,224,769	699,718	954,405,603	955,105,321

Notes to the Financial Statements *Contd.*

(ii) Liquidity risk

Liquidity risk is the risk that cash may not be available to pay obligations when due. The Group manages its liquidity needs by carefully monitoring scheduled payments for financial liabilities as well as cash-outflows due in day-to-day business.

The following are the contractual maturities of non-derivative financial liabilities:

As at 31st March 2017	Consolidated						Company		
	Contractual cash out flows	On demand	Less than 3 months	3 to 12 months	1 to 5 years	> 5 years	Contractual cash out flows	On demand	Less than 3 months
Non-derivative financial liabilities									
Loans and borrowings	2,813,230,883	1,044,116,849	-	553,061,590	868,680,658	54,807,886	431,269,311	431,269,311	-
Trade & Other payables	1,654,215,855	1,654,215,855	-	262,020,146	30,543,754	-	1,037,991,760	1,037,991,760	-
Bank Overdraft	3,400,050,467	-	3,400,050,467	-	-	-	1,866,685,610	-	1,866,685,610
	7,867,497,205	2,698,332,704	3,400,050,467	815,081,736	899,224,412	54,807,886	3,335,946,681	1,469,261,071	1,866,685,610

As at 31st March 2016	Consolidated						Company		
	Contractual cash out flows	On demand	Less than 3 months	3 to 12 months	1 to 5 years	> 5 years	Contractual cash out flows	On demand	Less than 3 months
Non-derivative financial liabilities									
Loans and borrowings	3,553,485,609	2,443,738,355	-	118,233,759	672,002,038	61,792,904	1,158,893,733	1,158,893,733	-
Trade & Other payables	1,864,301,081	1,864,301,081	-	81,400,332	176,318,221	-	1,035,560,362	1,035,560,362	-
Bank Overdraft	2,677,979,088	-	2,677,979,088	-	-	-	1,536,767,614	-	1,536,767,614
	8,095,765,778	4,308,039,436	2,677,979,088	199,634,091	848,320,259	61,792,904	3,731,221,709	2,194,454,095	1,536,767,614

(iii) Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates and interest rates will affect the Group's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimizing the return.

Currency risk

Currency risk is the risk that the value of financial instruments will fluctuate due to changes on foreign exchange rates. All purchases and related payments due to suppliers are termed In Sri Lankan ("RS"),

US Dollar (USD) and Euro ("EUR"). RS is pegged against USD and hence, the Group's exposure to currency risk in terms of USD is minimal.

Interest rate risk

Interest rate risk is the risk to earnings or capital arising from movement of interest rates. The Group has negotiated overdrafts at a fixed interest rate basis, hence not subject to the interest rate risk. The following table demonstrates the sensitivity to a reasonably possible change in interest rates, with all other variables held constant, of the profit before tax (through the impact on floating rate borrowings)

	Increase/(Decrease) in basis points	Effect on Profit before Tax (LKR)	
		Group	Company
2017	+100	(7,683,222)	-
	-100	7,683,222	-
2016	+100	(10,108,921)	-
	-100	10,108,921	-

Capital management

The capital management strategy adopted by the Group is aimed at maintaining sufficient and adequate levels of working capital for day to day operations and long term capital for investment and growth.

A suitability structured capital base is essential in order to maintain investor confidence in the Group, and ensures that it achieves sustained long term growth while maintaining the capability to withstand fluctuating economic fortunes. The capital of the Group consists of equity and debt. The components of the equity capital are the stated capital, retained earnings and reserves while the debt capital consist of short term debt sources.

Five Year Summary of Profit or Loss and Other Comprehensive Income

For the year ended 31st March,	2017	2016	2015	2014	2013
	LKR.000	LKR.000	LKR.000	LKR.000	LKR.000
Revenue	10,967,821	9,506,231	9,733,107	711,658	563,101
Direct Cost	(9,112,771)	(7,904,990)	(7,798,644)	(196,022)	(86,795)
Investment and Other Income	276,089	228,497	143,795	40,646	274,023
Finance Cost	(713,808)	(472,333)	(459,526)	(406,460)	(662,408)
Profit /(Loss) Before Income Tax	102,101	(1,852,603)	268,901	(244,340)	387,924
Income Tax Expense	(125,169)	(22,284)	(67,306)	(38,685)	(9,775)
Profit/(Loss) for the Year from Continuing Operations	(23,068)	(1,874,887)	201,596	(283,026)	378,149
Profit/(Loss) after tax for the year from discontinued operations	144,976	(145,692)	(198,052)	-	-
Profit/(Loss) for the year	121,908	(2,020,579)	3,544	(283,026)	378,149

Five Year Summary of Financial Position

As at 31st March,	2017 LKR.000	2016 LKR.000	2015 LKR.000	2014 LKR.000	2013 LKR.000
ASSETS					
Non - Current Assets					
Property, Plant & Equipment	4,785,157	4,952,487	3,769,174	4,098,107	212,809
Leasehold Property	-	25,114	25,276	25,520	-
Intangible Assets	81,613	75,895	34,915	36,975	24,062
Biological Assets	45,882	39,702	53,178	51,419	51,387
Investment Property	1,164,601	1,802,670	1,500,012	1,135,967	161,727
Investments in Equity Accounted Investees	-	-	2,608,241	2,112,381	2,321,531
Other Financial Assets	36,167	35,345	590,177	149,351	-
Deferred Tax Asset	71,589	78,657	26,153	19,100	3,160
Deposit with Colombo Stock Exchange	2,750	2,750	2,750	2,750	2,750
	6,187,758	7,012,621	8,609,875	7,631,570	2,777,426
Current Assets					
Inventories	2,407,814	2,418,686	2,272,837	2,147,318	-
Other Financial Assets	1,746,970	2,223,351	1,516,417	797,217	763,491
Trade & Other Receivables	1,801,539	1,865,425	2,203,989	3,274,778	2,267,847
Income Tax Recoverable	32,258	30,031	19,076	30,911	7,894
Cash & Cash Equivalents	815,416	438,104	364,221	926,660	9,056
Assets classified as Held for Sale	945,070	-	44,618	-	-
	7,749,068	6,975,597	6,421,157	7,176,882	3,048,289
Total Assets	13,936,825	13,988,218	15,031,032	14,808,452	5,825,714
LIABILITIES AND EQUITY					
Equity					
Stated Capital	1,053,643	1,053,643	1,053,643	1,053,643	209,414
Retained Earnings	2,016,509	2,218,277	3,683,431	2,276,462	2,704,872
Available For Sale Reserve	-	-	33,175	-	-
Foreign Currency Translation Reserve	(395)	(6,023)	-	-	-
Revaluation Reserves	445,802	407,065	-	-	-
Other Capital Reserves	-	-	192,364	-	-
Equity Attributable to Equity Holders of the Company	3,515,559	3,672,962	4,962,614	3,330,105	2,914,286
Non Controlling Interests	2,069,496	1,730,158	1,834,860	4,651,618	1,688
Total Equity	5,585,055	5,403,120	6,797,474	7,981,724	2,915,974
Non Current Liabilities					
Interest Bearing Loans & Borrowings	913,472	583,396	516,176	577,979	-
Retirement Benefit Obligations	260,078	267,158	236,741	232,764	7,023
Deferred Tax Liability	239,772	250,823	274,205	279,835	-
Deferred Income	388	811	1,234	1,657	-
	1,413,710	1,102,187	1,028,356	1,092,234	7,023
Current Liabilities					
Trade and Other Payables	1,654,216	1,864,301	2,044,188	1,824,107	692,424
Income Tax Payable	52,648	46,551	82,682	74,274	2,238
Interest Bearing Loans & Borrowings	5,227,464	5,572,058	5,040,062	3,836,114	2,208,056
Liabilities Directly Associated with Assets Classified as Held For Sale	3,732	-	38,270	-	-
	6,938,060	7,482,910	7,205,202	5,734,494	2,902,718
Total Equity and Liabilities	13,936,825	13,988,218	15,031,032	14,808,452	5,825,714

Investor Information

STOCK EXCHANGE LISTING

The issued Ordinary Shares of Taprobane Holdings PLC are listed with the Colombo Stock Exchange.

ORDINARY SHAREHOLDERS

Share Structure as at 31 March 2017.

	No. of Holders	Total Holding	% Holding
Range of Shares			
1 to 1,000 Shares	380	80,048	0.01
1,001 to 10,000 Shares	149	666,060	0.07
10,001 to 100,000 Shares	68	2,459,876	0.25
100,001 to 1,000,000 Shares	23	6,233,663	0.62
1,000,001 to 10,000,000 Shares	-	-	-
Over 10,000,001 Shares	4	993,285,168	99.06
	624	1,002,724,815	100.00
Categories of Shareholders			
Local Individuals	581	8,019,638	0.80
Local Institutions	35	994,320,577	99.16
Foreign Individuals	7	276,361	0.03
Foreign Institutions	1	108,239	0.01
	624	1,002,724,815	100.00

The Twenty Major Shareholders of the Company as at 31 March 2017 were;

	No. of Shares	%
1 CHC Investment (Pvt) Ltd	568,327,024	56.68
2 Seylan Bank PLC/ARRC Capital (Pvt) Limited	355,526,332	35.46
3 Commercial Bank Ceylon PLC/ARRC Capital (Pvt) Ltd	51,190,106	5.11
4 Seylan Bank Limited/Ruwan Prasanna Sugathadasa	18,241,706	1.82
5 Mr. Sarinda Wasanth Unamboowe	915,700	0.09
6 Ms Fleur Annaleen Ann Mack	699,049	0.07
7 Mr. Kumar Viraj Hewavitarne	550,000	0.05
8 Mr. Ranil Prasad Pathirana	500,000	0.05
9 Mrs. Shirani Sunila Silva	430,000	0.04
10 Mrs. Banuri Kumari Vanya Wickramasinghe	430,000	0.04
11 Mr. Kangasu Chelvadurai Vignarajah	274,547	0.03
12 Bansei Securities Capital (Pvt) Ltd/W.B.S. De Alwis	234,912	0.02
13 Mr. Ram Pritamdas	200,801	0.02
14 Dr. Dushantha Harshin Herath Wariyapola	200,000	0.02
15 Mr. Kalyanapriya Jayantha Kiriella	200,000	0.02
16 Mr. Ravindra Erle Rambukwelle	199,147	0.02
17 Mr. Michael De Saram	190,000	0.02
18 Seylan Bank PLC/Dr. Thirugnanasambandar Senthilvel	167,632	0.02
19 Mr. Ponnahennadige Channa Dias	150,000	0.01
20 Mr. Mohamed Thasim Rajabkhan	133,000	0.01
Sub Total	998,759,956	99.60
Others	3,964,859	0.40
Grand Total	1,002,724,815	100.00

Public Holding

Percentage of Shares held by the Public	0.80%
No of public share holders as at 31st March 2017	614

Market Value

The Market Value of Taprobane Holdings PLC Ordinary Shares:	2017	2016
Highest during the year	4.80	6.00
Lowest during the year	3.20	3.60
As at end of the year	4.00	4.00

Notice of Meeting

NOTICE IS HEREBY GIVEN that the Sixth Annual General Meeting of Taprobane Holdings PLC will be held at Havelock City Club House No. 324, Havelock Road, Colombo 07. on Thursday 28 September 2017 at 3.00 p.m. for the following purposes:

1. To receive and consider the Annual Report of the Board of Directors and the Financial Statements of the Company for the year ended 31st March 2017 and the Report of the Auditors thereon.
2. To re-elect as a Director, Mr. Priyantha Damian Joseph Fernando who retires by rotation in terms of Article 87 of the Articles of Association of the Company and being eligible, offers himself for re-election as a Director.
3. To propose the following resolution as an ordinary resolution for the re-appointment of Mr. Parakrama Devasiri Rodrigo who is over 70 years of age.

"IT IS HEREBY RESOLVED that the age limit referred to in section 210 of the Companies Act No.07 of 2007 shall not apply to Mr. Parakrama Devasiri Rodrigo who is over 70 years of age prior to the Annual General Meeting and that he be re-appointed as a Director of the Company".

4. To re-appoint the retiring Auditors Messrs. Ernst & Young, Chartered Accountants as the Auditors of the Company to hold office from the conclusion of this meeting until the conclusion of the next Annual General Meeting and to authorize the Directors to determine their remuneration.

By Order of the Board

TAPROBANE HOLDINGS PLC

MANAGERS & SECRETARIES (PRIVATE) LIMITED

Director/Secretaries

23 August 2017

Colombo.

NOTE:

1. A member entitled to attend and vote at the above meeting is entitled to appoint a proxy to attend and vote on his/her behalf. A proxy need not be a member of the Company.
2. A form of proxy is enclosed for this purpose.
3. The instrument appointing a proxy must be completed and deposited at the Registered Office of the Company, No.10, Gothami Road, Colombo 8, not less than forty eight hours prior to the time appointed for holding the meeting.

Form of Proxy

I/We,.....of.....

being a member/s* of Taprobane Holdings PLC do hereby appoint.....

of.....or failing him.

Mr. S.E. Gardiner	or failing him,
Mr. A.L. Devasurendra	or failing him,
Mr. N.M. Prakash	or failing him,
Mr. P.D. Rodrigo	or failing him,
Mr. S.W. Unamboowe	or failing him,
Mr. S.H. Amarasekara	or failing him,
Mr. R.P. Pathirana	or failing him,
Mr P. D. J. Fernando	

As my/our* Proxy to vote and speak as indicated hereunder for me/us* and on my/our* behalf at the Sixth Annual General Meeting of the Company to be held on Thursday, 28 September 2017 at Havelock City Club House at 3.00 p.m. and at any adjournment thereof, and at every poll which may be taken in consequence thereof:

- | | For | Against |
|--|--------------------------|--------------------------|
| 1. To receive and consider the Annual Report of the Board of Directors and the Financial Statements of the Company for the year ended 31st March 2017 and the Report of the Auditors thereon. | ☐ | ☐ |
| 2. To re-elect as a Director, Mr. Priyantha Damian Joseph Fernando who retires by rotation in terms of Article 87 of the Articles of Association of the Company and being eligible, offers himself for re-election as a Director. | ☐ | ☐ |
| 3. To propose the re- appointment of Mr. Parakrama Devasiri Rodrigo who is over 70 years of age. | ☐ | ☐ |
| 4. To re- appoint the retiring Auditors Messrs. Ernst & Young, Chartered Accountants as the Auditors of the Company to hold office from the conclusion of this meeting until the conclusion of the next Annual General Meeting and to authorize the Directors to determine their remuneration. | ☐ | ☐ |

Signed this.....day of.....Two Thousand and Seventeen

.....
Signature of Shareholder/s

Note:

- * Please delete the inappropriate words.
- Instructions as to completion are noted on the reverse hereof.

Instructions for Completion of Form of Proxy

1. Kindly perfect the Form of Proxy by filling in legibly your full name and address, signing in the space provided and filling in the date of signature.
2. In the case of a company/corporation, the proxy must be under its common seal, which should be affixed and attested in the manner prescribed by its Articles of Association.
3. The completed Form of Proxy should be deposited at the Registered Office of the Company at No.10, Gothami Road, Colombo 8, not less than forty eight hours prior to the time appointed for holding the meeting.

Notes

Corporate Information

The Company

Taprobane Holdings PLC

Legal Form

The Company was incorporated in Sri Lanka on 20th September 2006 as a public limited liability company and re-registered under the Company's Act No. 07 of 2007 on 3rd August 2009. On 17th May 2012 the company was successfully listed on the Diri Savi Board of Colombo Stock Exchange.

Company Registration No

PB 1090 PQ

Registered & Business Office.

No. 10, Gothami Road, Colombo 08.

Tel:+94 115 328100

Fax:+94115 328109

E-mail:info@taprobane.lk

Website:www.taprobane.lk

Board of Directors

Mr. Sanjeev Gardiner

- *Chairman*

Mr. Ajith Devasurendra

- *Deputy Chairman*

Mr. Murali Prakash

- *Group Managing Director/CEO*

Mr. Priyantha Fernando

- *Director*

Mr. Harsha Amarasekera

- *Director*

Mr. Ranil Pathirana

- *Director*

Mr. Sarinda Unamboowe

- *Director*

Desamanya Deva Rodrigo

- *Director*

Company Secretary

Managers & Secretaries (Pvt) Ltd.

No.08, Tickell Road, Colombo 08.

Tel:+94 112 015 900

Fax:+94 112 015 960

E-mail: secretariat@msl.lk

Auditors to the Company

Messers Ernst & Young

Chartered Accountants

No. 201, De Saram Place,
Colombo 10.

Bankers to the Company

Seylan Bank PLC

No. 90, Galle Road,
Colombo 03.

Pan Asia Banking Corporation PLC

450, Galle Road,
Colombo 03.

National Development Bank PLC

No. 40, Nawam Mawatha,
Colombo 02.

